

Performance Indicators			FY2023		FY2024		FY2025	
Employees By Gender (Categorised by Job Category – Group)								
Senior Management	Male	1	25%	3	50%	3	50%	
	Female	3	75%	3	50%	3	50%	
Management	Male	7	58%	12	63%	15	58%	
	Female	5	42%	7	37%	11	42%	
Executive	Male	15	44%	11	31%	22	35%	
	Female	19	56%	25	69%	40	65%	
Non-Executive	Male	23	56%	25	53%	22	33%	
	Female	18	44%	22	47%	45	67%	
Employees by Job Category, Age and Gender – REIT Manager								
Job Category	Senior Management	3	23%	4	24%	4	19%	
	Management	5	38.5%	6	35%	6	28%	
	Executive	5	38.5%	7	41%	10	48%	
	Non-executive	0	0%	0	0%	1	5%	
Age	< 30	3	23%	0	0%	5	24%	
	30-50	8	62%	15	88%	14	67%	
	> 50	2	15%	2	12%	2	9%	
Gender	Male	3	23%	4	24%	8	38%	
	Female	10	77%	13	76%	13	62%	
Employees by Job Category, Age and Gender – Service Provider								
Job Category	Senior Management	1	1%	2	2%	2	2%	
	Management	7	9%	13	14%	20	14%	
	Executive	29	37%	29	32%	52	37%	
	Non-executive	41	53%	47	52%	66	47%	
Age	< 30	24	31%	30	33%	47	33.5%	
	30-50	48	61%	53	58%	81	58%	
	> 50	6	8%	8	9%	12	8.5%	
Gender	Male	43	55%	47	52%	54	39%	
	Female	35	45%	44	48%	86	61%	
Employees by Job Category, Age and Gender – Group								
Job Category	Senior Management	4	5%	6	6%	6	4%	
	Management	12	13%	19	18%	26	16%	
	Executive	34	37%	36	33%	62	38%	
	Non-executive	41	45%	47	43%	67	42%	
Age	< 30	27	30%	30	28%	52	32%	
	30-50	56	61%	68	63%	95	59%	
	> 50	8	9%	10	9%	14	9%	
Gender	Male	46	51%	51	47%	62	39%	
	Female	45	49%	57	53%	99	61%	
New Hires by Job Category, Age and Gender – REIT Manager								
Job Category	Senior Management	2	15%	1	12.5%	0	0%	
	Management	6	46%	4	50%	2	22%	
	Executive	5	39%	3	37.5%	6	67%	
	Non-executive	0	0%	0	0%	1	11%	

PERFORMANCE DATA TABLE

Performance Indicators		FY2023		FY2024		FY2025	
Age	< 30	3	23%	1	12.5%	6	67%
	30-50	9	69%	7	87.5%	3	33%
	> 50	1	8%	0	0%	0	0%
Gender	Male	2	15%	2	25%	4	44%
	Female	11	85%	6	75%	5	56%
New Hires by Job Category, Age and Gender – Service Provider							
Job Category	Senior Management	0	0%	0	0%	0	0%
	Management	2	6%	3	9%	10	13%
	Executive	9	26%	12	33%	24	31%
	Non-executive	23	68%	21	58%	43	56%
Age	< 30	1	3%	17	47%	36	47%
	30-50	17	50%	18	50%	40	52%
	> 50	16	47%	1	3%	1	1%
Gender	Male	20	59%	19	53%	48	62%
	Female	14	41%	17	47%	29	38%
New Hires by Job Category, Age and Gender – Group							
Job Category	Senior Management	2	4%	1	2%	0	0%
	Management	8	17%	7	16%	12	14%
	Executive	14	30%	15	34%	30	35%
	Non-executive	23	49%	21	48%	44	51%
Age	< 30	4	9%	18	41%	42	49%
	30-50	26	55%	25	57%	43	50%
	> 50	17	36%	1	2%	1	1%
Gender	Male	22	47%	21	48%	52	60%
	Female	25	53%	23	52%	34	40%
Employee Wellness and Wellbeing							
Employee Turnover Rate							
REIT Manager		77%		29%		19%	
Service Provider		36%		23%		23%	
Group		42%		24%		22%	
Number of Employee Departures							
REIT Manager		10		5		4	
Service Provider		28		21		32	
Group		38		26		36	
Employee Net Promoter Score							
REIT Manager		56%		62%		76%	
Service Provider		40%		54%		69%	
Average		48%		58%		73%	
Human Capital Development							
Total Amount Invested in Training (RM)							
REIT Manager		12,827.25		30,974.05		62,407.90	
Service Provider		22,320.00		29,344.00		11,144.00	
Group		35,147.25		60,318.05		73,551.90	
Total Training Hours by Entities							
REIT Manager		124		397		723.5	
Service Provider		1,790		2,011		2,251	
Group		1,914		2,408		2,974.5	

Performance Indicators		FY2023	FY2024	FY2025
Total Training Hours by Gender				
REIT Manager	Male	N/A	90	369.5
	Female	N/A	307	354
Service Provider	Male	N/A	1,033	952.5
	Female	N/A	978	1,298.5
Group	Male	N/A	1,123	1,322
	Female	N/A	1,285	1,652.5
Total Training Hours by Job Category				
REIT Manager	Senior Management	26	50	87.5
	Management	73	147	320
	Executive	17	200	296
	Non-executive	8	0	20
Service Provider	Senior Management	44	126	79
	Management	298	334	271.5
	Executive	701	592	1,012.5
	Non-executive	747	959	888
Group	Senior Management	70	176	166.5
	Management	371	481	591.5
	Executive	718	792	1,308.5
	Non-executive	755	959	908
Occupational Safety and Health				
Numbers of Hours Worked				
REIT Manager				
Number of hours worked		21,552	24,156	43,680
Number of fatalities		0	0	0
Number of lost time injuries (LTIs)		0	0	0
Number of restricted work cases (RWCs)		0	0	0
Number of medical treatment cases (MTCs)		0	0	0
Number of minor first-aid cases		0	0	0
Lost time incident rate		0	0	0
Service Provider				
Number of hours worked		160,512	178,980	320,320
Number of fatalities		0	0	0
Number of lost time injuries (LTIs)		0	0	0
Number of restricted work cases (RWCs)		0	0	0
Number of medical treatment cases (MTCs)		0	0	0
Number of minor first-aid cases		0	0	0
Lost time incident rate		0	0	0
Supply Chain Management				
ESG Assessment Assessed		N/A	43%	100%
Local Suppliers		100%	100%	100%
Proportion of spending on local suppliers		100%	100%	100%
Annual Supplier Evaluation		100%	100%	100%
Community Investment and Development				
Total Number of Beneficiaries		N/A	7,002	17,248
Total Amount Invested in the Community (RM)		N/A	22,406	59,241.53

PERFORMANCE DATA TABLE

Indicator	Measurement Unit	2023	2024	2025
Bursa (Anti-corruption)				
Bursa C1(a) Percentage of employees who have received training on anti-corruption by employee category				
Senior Management	Percentage	-	100.00 *	100.00
Management	Percentage	-	100.00	100.00
Executive	Percentage	-	100.00	100.00
Non-executive	Percentage	-	100.00 *	100.00
Bursa C1(b) Percentage of operations assessed for corruption-related risks	Percentage	-	0.00	100.00
Bursa C1(c) Confirmed incidents of corruption and action taken	Number	-	0	0
Bursa (Data privacy and security)				
Bursa C8(a) Number of substantiated complaints concerning breaches of customer privacy and losses of customer data	Number	0	0	0
Bursa (Energy management)				
Bursa C4(a) Total energy consumption	Megawatt	9,218.33 *	14,201.39 *	13,881.11
Bursa (Emissions management)				
Bursa C11(a) Scope 1 emissions in tonnes of CO2e	Metric tonnes	0.95 *	1.07 *	14.45
Bursa C11(b) Scope 2 emissions in tonnes of CO2e	Metric tonnes	3,617.00 *	7,062.00 *	6,964.00
Bursa C11(c) Scope 3 emissions in tonnes of CO2e (at least for the categories of business travel and employee commuting)	Metric tonnes	112.76 *	103.87 *	168.61
Bursa (Water)				
Bursa C9(a) Total volume of water used	Megalitres	206.420000 *	204.883000 *	216.576000
Bursa (Waste management)				
Bursa C10(a) Total waste generated	Metric tonnes	-	5,856.59 *	5,442.77
Bursa C10(a)(i) Total waste diverted from disposal	Metric tonnes	-	96.59 *	195.77
Bursa C10(a)(iii) Total waste directed to disposal	Metric tonnes	-	5,760.00 *	5,247.00
Bursa (Labour practices and standards)				
Bursa C6(a) Total hours of training by employee category				
Senior Management	Hours	70 *	176 *	167
Management	Hours	371 *	481 *	592
Executive	Hours	718	792	1,309
Non-executive	Hours	755 *	959 *	908
Bursa C6(b) Percentage of employees that are contractors or temporary staff	Percentage	21.98 *	10.19 *	8.70
Bursa C6(c) Total number of employee turnover by employee category				
Senior Management	Number	3 *	1 *	0
Management	Number	6 *	3 *	5
Executive	Number	8	9	12
Non-executive	Number	21 *	13 *	19
Bursa C6(d) Number of substantiated complaints concerning human rights violations	Number	0	0	0
Bursa (Diversity)				
Bursa C3(a) Percentage of employees by gender and age group, for each employee category				
Age Group by Employee Category				
Senior Management	Percentage	0.00	0.00	0.00
Under 30				
Senior Management	Percentage	75.00 *	66.67 *	66.67
Between 30-50				

Internal assurance External assurance No assurance

(*) Restated

Indicator	Measurement Unit	2023	2024	2025
Senior Management Above 50	Percentage	25.00 *	33.33 *	33.33
Management Under 30	Percentage	8.33 *	0.00	0.00
Management Between 30-50	Percentage	75.00 *	84.21 *	80.77
Management Above 50	Percentage	16.67 *	15.79 *	19.23
Executive Under 30	Percentage	17.65 *	13.88 *	22.58
Executive Between 30-50	Percentage	73.53 *	80.56 *	69.35
Executive Above 50	Percentage	8.82 *	5.56 *	8.07
Non-Executive Under 30	Percentage	48.78 *	53.19 *	56.72
Non-Executive Between 30-50	Percentage	46.34 *	40.43 *	40.30
Non-Executive Above 50	Percentage	4.88 *	6.38 *	2.98
Gender Group by Employee Category				
Male Senior Management	Percentage	25.00 *	50.00 *	50.00
Male Senior Management	Percentage	75.00 *	50.00 *	50.00
Female Management Male	Percentage	58.33 *	63.16 *	57.69
Female Management Female	Percentage	41.67 *	36.84 *	42.31
Executive Male	Percentage	44.12 *	30.56 *	35.48
Executive Female	Percentage	55.88 *	69.44 *	64.52
Non-Executive Male	Percentage	56.10 *	53.19 *	32.84
Non-Executive Female	Percentage	43.90 *	46.81 *	67.16
Bursa C3(b) Percentage of directors by gender and age group				
Male	Percentage	66.67 *	66.67 *	66.67
Female	Percentage	33.33 *	33.33 *	33.33
Under 30	Percentage	0.00	0.00	0.00
Between 30-50	Percentage	33.33 *	33.33 *	33.33
Above 50	Percentage	66.67 *	66.67 *	66.67
Bursa (Health and safety)				
Bursa C5(a) Number of work-related fatalities	Number	0	0	0
Bursa C5(b) Lost time incident rate ("LTIR")	Rate	0.00	0.00	0.00
Bursa C5(c) Number of employees trained on health and safety standards	Number	-	169	118
Bursa (Supply chain management)				
Bursa C7(a) Proportion of spending on local suppliers	Percentage	100.00	100.00	100.00
Bursa (Community/Society)				
Bursa C2(a) Total amount invested in the community where the target beneficiaries are external to the listed issuer	MYR	-	22,406.00	59,241.53
Bursa C2(b) Total number of beneficiaries of the investment in communities	Number	-	7,002	17,248

Internal assurance External assurance No assurance

(*)Restated



SUSTAINABILITY ASSURANCE STATEMENT

Deloitte.

Deloitte PLT (LLP0010145-LCA)
Chartered Accountants (AF0080)
Level 16, Menara LGB
1 Jalan Wan Kadir
Taman Tun Dr. Ismail
60000 Kuala Lumpur

P.O. Box 10093
50704 Kuala Lumpur
Malaysia

Tel: +60 3 7610 8888
Fax: +60 3 7726 8986
myaaa@deloitte.com
www.deloitte.com/my

INDEPENDENT PRACTITIONER'S LIMITED ASSURANCE REPORT ON SUBJECT MATTER INFORMATION IN KIP REAL ESTATE INVESTMENT TRUST SUSTAINABILITY STATEMENT FOR THE YEAR ENDED 30 JUNE 2025

To the Board of Directors of KIP REIT Management Sdn Bhd

We have been engaged by KIP Real Estate Investment Trust ("the REIT") to perform an independent limited assurance engagement on selected sustainability indicators (collectively, the "Subject Matter Information") as reported by the REIT in its Sustainability Statement for the year ended 30 June 2025 (the "Sustainability Statement 2025").

The Subject Matter Information in the Sustainability Statement 2025 on which we provide limited assurance is included in the Appendix to this report which has been stamped for identification purposes.

Limited Assurance Conclusion

Based on the procedures we have performed as described under the "Summary of the work we performed as the basis of our assurance conclusion" and the evidence we have obtained, nothing has come to our attention that causes us to believe that the Subject Matter Information contained in the REIT's Sustainability Statement 2025, has not been prepared, in all material respects, in accordance with the Applicable Criteria.

We do not express an assurance conclusion on information in respect of earlier periods included in, linked to, or from the Sustainability Statement 2025 or any other information accompanying the said document.

Applicable Criteria

The Subject Matter Information as included to the attached Appendix needs to be read and understood together with the Applicable Criteria, which the REIT is exclusively responsible for selecting and applying.

The Applicable Criteria used for the reporting of the Subject Matter Information are as follows:

- The Global Reporting Initiative ("GRI") Universal Standards 2021 disclosures;
- Greenhouse Gas ("GHG") Protocol;
- The Bursa's Sustainability Reporting Guide (3rd Edition).

Independence and Quality Management

We have complied with the independence and other ethical requirements of the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("MIA") and the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards), which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour.

(Forwards)

The firm applies International Standard on Quality Management 1 ("ISQM-1") Quality Management for Firms that Perform Audits or Reviews of Historical Financial Statements, or Other Assurance or Related Services Engagements, which requires the firm to design, implement and operate a system of quality management including policies and procedures regarding compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements.

The Manager's Responsibilities

The Manager of the REIT is responsible for:

- Selecting or establishing the suitable Applicable Criteria for preparing the Subject Matter Information;
- Preparing the Subject Matter Information included in the Sustainability Statement 2025 in accordance with the Applicable Criteria; and
- Designing, implementing, and maintaining internal control over information relevant to the preparation of the Subject Matter Information that is free from material misstatement, whether due to fraud or error.
- Providing sufficient access and making available all necessary records, correspondence, information, and explanations to allow successful completion of services.

Our Responsibilities

Our responsibility is to form a conclusion whether, based on the procedures performed, anything has come to our attention that causes us to believe Subject Matter Information contained in the REIT's Sustainability Statement 2025, has not been prepared, in all material respects, in accordance with the Applicable Criteria.

We conducted our engagement in accordance with the approved standard for with *International Standard on Assurance Engagements 3000 (Revised) Assurance Engagements other than Audits or Reviews of Historical Financial Information* ("ISAE 3000 (Revised)"). That standard requires that we plan and perform this engagement to obtain limited assurance about whether the Subject Matter Information is free from material misstatement.

A limited assurance engagement undertaken in accordance with ISAE 3000 (Revised) involves assessing the suitability in the circumstances of the REIT's use of the Applicable Criteria as the basis for the preparation of the Subject Matter Information, assessing the risks of material misstatement whether due to fraud or error, responding to the assessed risks as necessary in the circumstances, and evaluating the overall presentation of Subject Matter Information. A limited assurance engagement is substantially less in scope than a reasonable assurance engagement in relation to both the risk assessment procedures, including an understanding of internal control, and the procedures performed in response to the assessed risks.

Summary of the work we performed as the basis of our assurance conclusion

Our engagement included such procedures as we consider necessary in the circumstances, including, but not limited to:

- Evaluated the suitability in the circumstances of the REIT's use of the Applicable Criteria, as the basis for preparing the Subject Matter Information;
- Through inquiries, obtained an understanding of the REIT's control environment, processes and information systems relevant to the preparation of the Subject Matter Information, but we did not evaluate the design, implementation, or operating effectiveness of any particular control activity;
- Evaluated whether the REIT's methods for developing estimates are appropriate and had been consistently applied. Our procedures did not include testing the data on which the estimates were based, and we did not separately develop our own estimates against which to evaluate the REIT's estimates;
- Tested a number of selected items to or from supporting records, as appropriate;
- Performed analytical procedures by comparing the expected targets to actual emissions or consumption, and by comparing current period to prior period, and made inquiries of management to obtain explanations for any significant differences we identified; and
- Considered the presentation and disclosure of the Subject Matter Information.

(Forwards)

SUSTAINABILITY ASSURANCE STATEMENT

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had we performed a reasonable assurance engagement. Accordingly, we do not express a reasonable assurance opinion about whether the Subject Matter Information report has been prepared, in all material respects, in accordance with the Applicable Criteria.

Inherent Limitations

The absence of a commonly used generally accepted reporting framework or a significant body of established practice on which to draw, to evaluate and measure the Subject Matter Information allows for different, but acceptable, measurement techniques that can affect comparability between entities and over time.

Consequently, the Subject Matter Information needs to be read and understood together with the Applicable Criteria and Reporting Standards, set out in the Sustainability Statement 2025, which the REIT has used to prepare the Subject Matter Information.

Restriction on Use

This report is made solely to the Board of Directors of the REIT in accordance with the terms of our engagement. Our work has been undertaken for the purpose of providing a limited assurance conclusion on the Subject Matter Information. As a result, this report may not be suitable for another purpose. We consent to the inclusion of this report in the REIT's Sustainability Statement 2025 to be disclosed on the website of the REIT at www.kipreit.com.my, to assist the Board of Directors in responding to their governance responsibilities by obtaining an independent limited assurance report on the Subject Matter Information for 2025.

We do not accept or assume responsibility to anyone other than the Board of Directors of the REIT for our work, for this limited assurance report, or for the conclusions we have reached.



DELOITTE PLT (LLP0010145-LCA)
Chartered Accountants (AF 0080)
Kuala Lumpur
10 September 2025

Appendix Subject Matter Information

The Subject Matter Information reported in KIP REIT's Sustainability Statement 2025 on which we provide limited assurance, consists of:

Common Sustainability Matters	Applicable Criteria	Business Units Subjected to Limited Assurance	Reported Amount in 2025	Reference to Sustainability Report (Page No.)
Social				
Labour Practices and Standards	GRI 404-1: Average hours of training per year per employee	Kuala Lumpur - KIP REIT Management Sdn Bhd - KIP Property Services Sdn Bhd Selangor - KIPMall Bangi - KIPMall Kota Warisan Negeri Sembilan - KIPMall Senawang Melaka - KIPMall Melaka Johor - KIPMall Masai - KIPMall Kota Tinggi - KIPMall Tampoi	15 hours	Page 213
Environment				
Energy Management	GRI 302-1: Total Energy Consumption	Kuala Lumpur - KIP REIT Management Sdn Bhd - KIP Property Services Sdn Bhd	49,972 GJ <i>Elec. Consumption: 32,537 GJ</i> <i>Fuel Consumption: 219 GJ</i> <i>Renewable Energy: 17,216 GJ</i>	Page 143
Water	GRI 303: Total Volume of Water Used	Selangor - KIPMall Bangi - KIPMall Kota Warisan	216,576 m ³	Page 152
Waste Management	GRI 306: Total waste generated, and a breakdown of the following: - total waste diverted from disposal; - total waste directed to disposal.	Negeri Sembilan - KIPMall Senawang Melaka - KIPMall Melaka	195.77 tonne 5,247 tonne	Page 161 Page 160
Emissions Management	GRI 305-1: Direct (Scope 1) GHG Emissions - Mobile Combustion	Johor - KIPMall Masai - KIPMall Kota Tinggi - KIPMall Tampoi	14.45 tCO ₂ e	Page 145
	GRI 305-2: Energy Indirect (Scope 2) GHG Emissions – Purchased Electricity		6,964 tCO ₂ e	Page 145
	GRI 305-3: Other indirect (Scope 3) GHG emissions – Category 6 Business Travel		4.98 tCO ₂ e <i>Manager: 0.75 tCO₂e</i> <i>Service Provider: 4.23 tCO₂e</i>	Page 145

BOARD OF DIRECTORS' PROFILES



Standing, from left to right: -

MS. ONG TZU CHUEN
DATO' ONG KOOK LIONG
MS. ONG PUI SHAN

Sitting, from left to right: -

MR. CHIAM TAU MENG
DATUK DR SYED HUSSAIN BIN
SYED HUSMAN, PJN. JP
DATUK MOHAMED ARSAD
BIN SEHAN



Datuk Dr Syed Hussain bin Syed Husman, PJN. JP was appointed to the Board as a Senior Independent Non-Executive Director on 20 April 2016. He is the Chairman of the Board and is also a member of Audit and Risk Management Committee ("ARMC"), Nomination Committee ("NC") and Remuneration Committee ("RC").

He holds a Bachelor in Business Studies and a Master in Business Administration ("MBA") from Western Illinois University, United States of America ("USA"). He further advanced his academic credentials by obtaining a Doctorate of Philosophy in Labour Relations in London, United Kingdom, as well as a Doctorate in Business Administration from Asia e University, Malaysia. In 2002, he attended the Senior Management Development Programme at Harvard Business School, USA.

Over the years, he has gained extensive leadership experience in the field of human resources, having held senior positions at Procter & Gamble Malaysia and Singapore, Rothmans of Pall Mall (Malaysia) Berhad, British American Tobacco Berhad, Ramunia Holdings Berhad, and Petrofield (M) Sdn Bhd.

Datuk Dr Syed Hussain is currently the Executive Director and Chief Executive Officer ("CEO") of SVTT Resources Sdn Bhd, a position he has held since 2011. He is also an Independent Non-Executive Director of Can-One Berhad.

In addition, he holds prominent roles in public and professional bodies, including serving as the President of the Malaysian Employers Federation and a member of the Board of the Employees Provident Fund as an Employers' Representative. Additionally, he is also appointed to the Ahli Majlis Negara Bagi Keselamatan dan Kesihatan Pekerjaan, the Advisory Council of Malaysian Society for Occupational Health and Safety, National Wages Consultative Council, Ahli Majlis Penasihat Buruh Kebangsaan, Ahli Majlis Pekerjaan Negara, Ahli Majlis TVET Negara, council member of the Malaysian Qualifications Agency under the Ministry of Higher Education and also a governing board member of the International Labour Organisation.

Datuk Dr Syed Hussain does not have any family relationships with any Director and/ or major unitholder of KIP REIT. He has attended all nine (9) Board meetings held during FYE 2025.

DATUK DR SYED HUSSAIN BIN SYED HUSMAN, PJN. JP

*Chairman/Senior Independent
Non-Executive Director*

AGE
68



BOARD OF DIRECTORS' PROFILES



Dato' Ong Kook Liong was appointed to the Board as an Executive Director on 18 December 2015 and was subsequently redesignated as Managing Director on 18 August 2022. He is also the Chairman of KIP REIT's ISC.

A licensed CMSL holder under the Capital Markets and Services Act 2007, Dato' Ong brings over thirty years of proven expertise in property development and management services, retail management and hospitality. He began his career in 1989 with MBF Property Services Sdn Bhd before moving on to Tanco Properties Sdn Bhd. By 1993, he was appointed Executive Director of Media Group of Companies' property development division, where he played a pivotal role in delivering landmark projects such as Summit Square, Summit Parade, Summit City and Plaza Bukit Mertajam.

Since co-founding the KIP Group of Companies in 1997, Dato' Ong has been instrumental in conceptualising and delivering the KIPMall brand, overseeing their construction and retail positioning. His vision in establishing a sustainable community-centric retail model laid the foundation for KIP REIT's portfolio today. Under his leadership, the Group has expanded into a diversified mix of retail and industrial assets, reinforcing its position as a trusted and resilient REIT in Malaysia.

Dato' Ong is a major unitholder of KIP REIT, a substantial shareholder of the Manager and the father of Ms. Ong Pui Shan, the Executive Director cum CEO of KIP REIT. He does not hold directorships in any other public company and listed issuer. He demonstrated his strong commitment to governance by attending all nine (9) Board meetings held during FYE 2025.

DATO' ONG KOOK LIONG

Managing Director

AGE
65





Ms. Ong Pui Shan was appointed to the Board as a Non-Independent Non-Executive Director on 30 November 2018. She was subsequently redesignated as an Executive Director on 18 August 2022. On 5 April 2023, she was appointed as Chief Executive Officer. She also chairs the Sustainability Steering Committee in her capacity as Chief Sustainability Officer ("CSO"), and serves as Chief Investment Officer ("CIO") of the ISC.

Armed with a Bachelor of Arts from the University of Melbourne and a Master of Science in Marketing from the University of the West of England, Ms. Ong began her career in 2011 with Summit Holidays as Marketing and Branding Manager, where she drove brand visibility and market expansion. In 2012, she joined the KIP Group of Companies, and was appointed Group CEO in 2017. In this role, she spearheaded the execution of business strategies and oversaw the development, operations and financial performance of the Group, which spans property development, mall management and hospitality.

Today, as CEO of KIP REIT, Ms. Ong provides strategic direction and leadership across the organisation. She partners closely with division heads to ensure delivery of operational and financial targets, while working with the Chief Financial Officer ("CFO") on budgeting, investment risk assessments and returns analysis for the Board. Her dual focus on sustainability and investment ensures that KIP REIT remains resilient and positioned for long-term growth.

Ms. Ong Pui Shan is the daughter of Dato' Ong Kook Liong, the Managing Director of KIP REIT. She does not hold directorships in any other public company and listed issuer. She has attended all nine (9) Board meetings held during FYE 2025.

MS. ONG PUI SHAN

Executive Director cum CEO

AGE
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BOARD OF DIRECTORS' PROFILES



Ms. Ong Tzu Chuen was appointed to the Board as an Executive Director on 18 August 2022. She also serves as the Deputy Chairman of the ISC.

She graduated with a Bachelor of Commerce (Accounting) from Macquarie University, Australia. She is a member of the Certified Practising Accountant ("CPA"), Australia since 2004 and a member of the Malaysian Institute of Accountants ("MIA") since 2020. Her professional career began in 2003 as a Junior Accountant in Sydney, Australia. In 2006, she returned to Malaysia and joined Hextar Group of Companies, where she held various finance and management roles.

With over a decade of corporate management experience, she has developed expertise in identifying, evaluating and developing investment opportunities as well as overseeing the establishment and expansion of various companies across many industries in Southeast Asia.

Currently, she is also a Non-Independent Non-Executive Director of Hextar Industries Berhad. She is the sister of Dato' Ong Choo Meng, a major unitholder of KIP REIT. She has attended all nine (9) Board meetings held during FYE 2025.

MS. ONG TZU CHUEN

Executive Director

AGE
42





Datuk Mohamed Arsad bin Sehan was appointed to the Board as an Independent Non-Executive Director on 20 April 2016. He is the Chairman of the NC and also a member of the ARMC and RC.

He holds a Bachelor of Economics (Statistics) from the University of Malaya. His professional experience spans over three (3) decades in the banking industry, having worked with Bank Bumiputera Malaysia Berhad and Bank Kerjasama Rakyat Malaysia Berhad ("Bank Rakyat"). During his tenure at Bank Rakyat, he held various senior management positions, including General Manager of Commercial Banking, Assistant General Manager of Banking Operations, Sector Head of Financing and Division Head of Planning and Development and Corporate Services. He also spent seven (7) years as the Managing Director and CEO of a private limited company dealing in the manufacturing and supply of standby power systems while on secondment from Bank Rakyat.

After retiring from Bank Rakyat, Datuk Mohamed Arsad spent eight (8) years as the Managing Director and Executive Director of PureCircle Sdn Bhd, a subsidiary of PureCircle Limited.

He is currently an Independent Non-Executive Director of Inari Amertron Berhad and Insas Berhad. He is also a member of Board of Trustees of Yayasan Can Wan Kian Joo. He does not have any family relationships with any Director and/ or major unitholder of KIP REIT. Datuk Mohamed Arsad has attended all nine (9) Board meetings held during FYE 2025.

DATUK MOHAMED ARSAD BIN SEHAN

*Independent Non-Executive
Director*

AGE
72



BOARD OF DIRECTORS' PROFILES



Mr. Chiam Tau Meng was appointed to the Board as an Independent Non-Executive Director on 15 April 2019. He is also the Chairman of the ARMC and RC and a member of the NC.

He holds a Bachelor of Commerce Degree majoring in Accountancy from the University of Otago, Dunedin, New Zealand. Mr. Chiam is an Associate Chartered Accountant with Chartered Accountants Australia and New Zealand, as well as a Chartered Accountant with the MIA.

Mr. Chiam began his professional career in 1977 with Tolley Industries Ltd in New Zealand as a Corporate Accountant. In 1979, he returned to Malaysia and joined Malaysian Containers Bhd as a Finance Manager cum Company Secretary. In

1984, he joined Menang Corporation (M) Bhd as the General Manager of Corporate Services. He left Menang Corporation (M) Bhd in 1989 and joined Bee Hin Holdings Sdn Bhd as a General Manager of Corporate Finance. In 1993, he joined BDO Binder Management Consultants Sdn Bhd as a Director until 1994. In the same year, he incorporated CTM Consulting as a Principal, a position he still holds.

He is currently an Independent Non-Executive Director of Tri-Mode System (M) Berhad. He does not have any family relationships with any Director and/ or major unitholder of KIP REIT. He has attended all nine (9) Board meetings held during FYE 2025.

MR. CHIAM TAU MENG

Independent Non-Executive Director

AGE
72



Notes: -

Saved as disclosed above, none of the Directors: -

- (a) has conflict of interest or potential conflict of interest with the Company and its subsidiary including any interest in any competing business with the Company.
- (b) has been convicted of any offence in the past five (5) years other than traffic offences, if any.
- (c) was publicly sanctioned or imposed with penalty by the regulatory bodies during FYE 2025.

MANAGEMENT TEAM PROFILES



Managing Director

**DATO' ONG
KOOK LIONG***



Executive Director / CEO

**MS. ONG PUI
SHAN***



Executive Director

**MS. ONG TZU
CHUEN***

* For more information, please refer to the Board of Directors' Profiles section.

MANAGEMENT TEAM PROFILES



Chief Financial Officer

MS. LIM BOON BOON

AGE
46



Ms. Lim Boon Boon was appointed as the CFO of KIP REIT on 13 June 2024. She is a Chartered Accountant with the MIA and holds a fellowship with the Associate of Chartered Certified Accountants ("ACCA").

Ms. Lim holds a Bachelor of Arts in Accounting and Financial Management from the University of Sheffield, UK. Her professional journey began in 2004 with Ernst & Young in Shanghai, where she served as Audit Manager for approximately four (4) years. She subsequently joined Kencana Petroleum Berhad, holding the position of Finance Manager from 2009 to 2013. In 2014, she became the AVP Performance Reporting, Tax and Capital Management of AXA Affin General Insurance Malaysia Berhad. In 2018, she joined QBE Insurance Malaysia Berhad as the Head of Finance MY and Head of Finance Ops, Asia.

Prior to her current appointment, Ms. Lim was the Group Financial Controller of Fuse Group, where she was responsible for overseeing all aspects of financial management and reporting functions across operations in multiple Southeast Asian countries.



Chief Operating Officer, Northern and Central Region

MR. DESMOND LEE KHIM LEONG

AGE
60



Mr. Desmond Lee Khim Leong was appointed as KIP REIT's Chief Operating Officer ("COO"), Northern and Central Region on 1 July 2024.

He graduated from upper secondary education with strong academic foundation in Arts and Music.

Drawing from over 28 years of expertise across property and retail sectors, Mr Desmond Lee has transformed KIPMalls into vibrant, thriving destinations through his strategic vision, proven sales performance, and creative insight.

His career journey spans three distinct phases: 15 years in the music industry, followed by 5 years in property sales, before transitioning into retail leasing and management where he built more than 23 years of specialised expertise.

In 2017, he joined KIP Property Services Sdn Bhd to lead the management of KIP REIT portfolio, bringing his expertise in tenant acquisition strategies, retail mix curation, lease optimisation, and occupancy maximisation that consistently delivers enhanced rental yields and commercial performance for stakeholders.

Riding a wave of success in FY2025, he has rewritten the playbook: turned KIPMall Senawang from underperformer to standout, landed the game-changing DPulse Shopping Centre acquisition, and unleashed KIPMall Bangi's potential with a transformation that is already turning heads.



Chief Operating Officer, Southern Region

MR. MOHD NIZAM BIN HJ. ABD. HAMID

AGE
46



Mr. Mohd Nizam Bin Hj. Abd. Hamid was appointed as KIP REIT's COO, Southern Region on 1 July 2024.

After completing his Diploma in Architecture from Petaling Jaya Community College, he began his career in the retail industry and joined KIP REIT in 2003 as a Marketing Executive. Over the years, he developed strong leadership skills and an in-depth understanding of mall operations, progressing to hold several key positions within the KIP REIT, particularly in leasing, marketing, advertising and tenant management.

With over 20 years of experience in the retail property sector, he has played an instrumental role in the growth and repositioning of multiple assets under KIP REIT. He currently oversees the operational and leasing functions for all KIP REIT assets in Johor and Melaka, with responsibilities that include driving AEs, optimising tenant mix, and delivering operational efficiencies to enhance overall mall performance.

In recent years, he has also spearheaded key ESG initiatives in the Southern Region, such as the adoption of solar energy systems, implementation of energy-efficient solutions and structured waste management programs, in line with KIP REIT's sustainability goals.

Hailing from Johor Bahru, Mr. Nizam continues to be a core leader in aligning on-ground operations with the long-term strategic direction of KIP REIT.



Senior Manager, Business Development

MR. SEAN LIM SENG YEOW

AGE
41



Mr. Sean Lim Seng Yeow was appointed as the Senior Manager of Business Development department at KIP REIT on 2 January 2024. Graduated with a Diploma in Construction Management from Imperial College, he brings over a decade of dynamic experience in real estate development and strategic business growth.

Mr. Lim began his career in 2005 with the KIP Group of Companies as a Sales and Marketing Executive, rapidly ascending to Sales and Marketing Manager over eight (8) successful years. He spearheaded the development and execution of innovative sales and marketing strategies that drove numerous high-profile projects to completion.

Demonstrating his entrepreneurial spirit, Mr. Lim ventured out in 2013 to establish his own thriving real estate practice, handling complex project sales and strategic land/building transactions. His business acumen shone in 2018 when he forged a successful partnership with TNO Molecq Development Sdn Bhd, delivering an impressive first project with a gross development value of approximately RM48 million.

Since joining KIP REIT, Mr. Lim has delivered exceptional results, successfully completing approximately RM550 million worth of strategic property acquisitions that have significantly expanded and enhanced KIP REIT's portfolio diversification and market presence.

MANAGEMENT TEAM PROFILES



Legal & Compliance Manager

MR. NORTON LEE TZE SIANG

AGE
38



Mr. Northon Lee Tze Siang was appointed as the Legal Manager of KIP REIT on 29 September 2023, bringing extensive expertise in corporate law and capital markets. His appointment as the Compliance Officer of KIP REIT was subsequently approved by the Securities Commission Malaysia in November 2024.

He graduated with a Bachelor of Laws degree from the University of London and a Master of Commercial Law from the University of Malaya. He was admitted to the Malaysian Bar in December 2015 and completed the Certified ESG Professional Programme in 2024, positioning him at the forefront of sustainable business practices and legal expertise.

His professional journey began with Messrs. Philip Ting & Kwan, where he served as a Legal Associate, specialising in sophisticated financial transactions, including mergers and acquisitions, private equity investments, venture capital structuring, and complex corporate restructuring matters. He subsequently joined GHL Systems Berhad as an Assistant Manager of Legal, Compliance and Sustainability, where he demonstrated exceptional versatility in managing commercial contract negotiations, strategic acquisitions, complex litigation, intellectual property protection, regulatory compliance oversight, third party audit coordination, and sustainability initiatives.

Since joining KIP REIT, Mr. Lee has successfully spearheaded the acquisition of DPulze Shopping Centre – the largest acquisition undertaken by KIP REIT since its initial public offering. He also led both debt capital and equity capital market transactions to fund this strategic acquisition, demonstrating remarkable financial acumen and comprehensive understanding of capital markets.

In addition to his transactional achievements, Mr. Lee has since FYE 2025 also driven KIP REIT's ESG initiatives, leveraging his certified ESG professional credentials to advance the fund's sustainability framework. His leadership has established robust ESG practices that align with responsible investment principles and reinforce KIP REIT's commitment to creating long-term sustainable value for all stakeholders.



Group Human Resource Manager

MS. LINDA YAU OI KAM

AGE
58



Ms. Linda Yau Oi Kam was appointed as the Group Human Resource ("HR") Manager on 1 November 2022.

She graduated from Stamford College Malaysia with a Diploma in Executive Secretaryship. She also holds a Diploma in Human Resource Management from the University of Newcastle, Australia.

Ms. Linda has more than 20 years' experience in human resources with comprehensive expertise in HR management. Prior to joining KIP REIT, she held the position of Head of HR at several other private organisations, such as Meda Group and Binanamik Group. She has also served in the HR department of KIP private group, including its hospitality division.

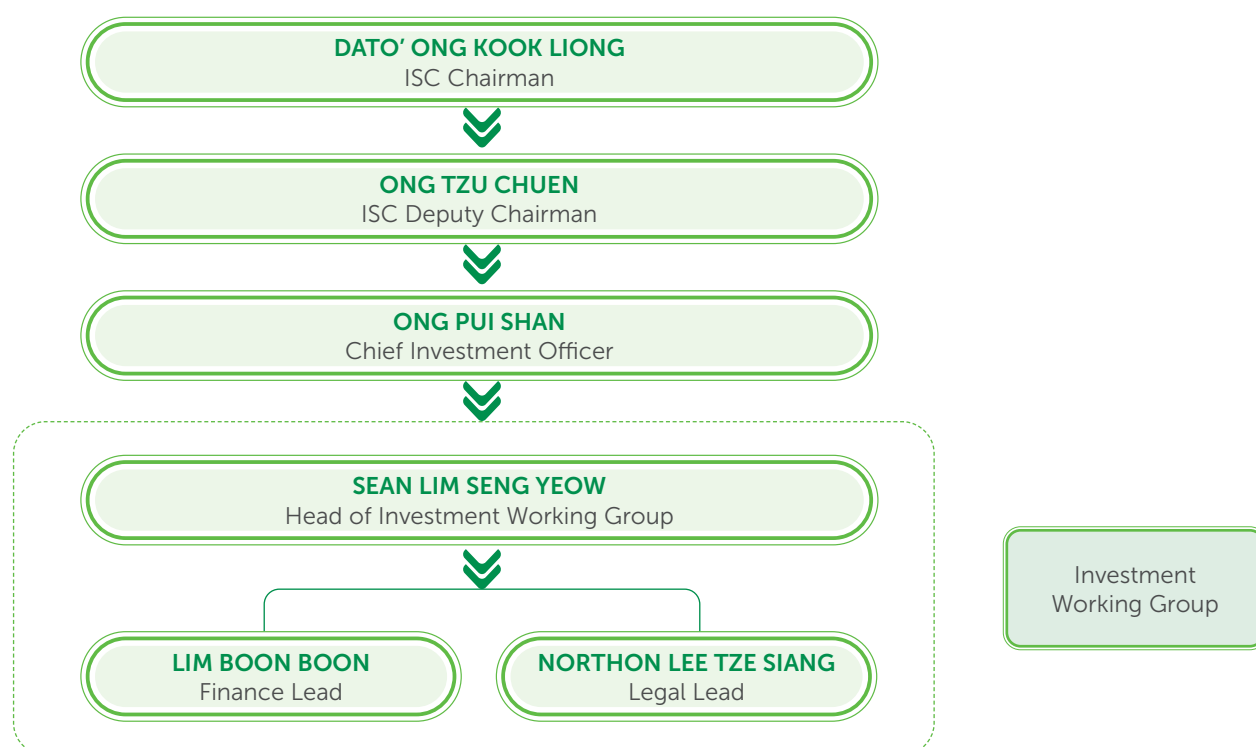
In the capacity of Group HR Manager of KIP REIT, she manages the full spectrum of HR and office administration functions at KIP REIT, encompassing talent acquisition and recruitment, employee relation, performance management, HR policy and compliance, learning and development and employee welfare and compensation. She also oversees the HR for KIP Property Services Sdn Bhd, the service provider of KIP REIT, by collaborating closely with their HR team on all HR related matters.

Notes: -

Save as disclosed above, none of the Senior Management: -

- (a) has conflict of interest or potential conflict of interest with the Company and its subsidiary including any interest in any competing business with the Company.
- (b) has been convicted of any offence in the past five (5) years other than traffic offences, if any.
- (c) was publicly sanctioned or imposed with penalty by the regulatory bodies during FYE 2025.

INVESTMENT STEERING COMMITTEE PROFILES



The Manager remains dedicated to enhancing both overall income and value of investment properties by implementing active asset management and enhancement strategy, acquisition growth strategy, capital and risk management and return of investment. To provide unitholders with regular consistent and stable returns, the ISC plays a pivotal role in overseeing the operation and administration of investments, acquisitions and divestments in KIP REIT. The ISC holds managerial control over the investment process and procedures, ensuring strategic alignment with KIP REIT's objectives. Additionally, the ISC conducts assessments of investment proposals based on a set of prescribed criteria and reports directly to the Board with comprehensive recommendations, including the rationale for or against the investment and key considerations, for approval or rejection.

As of 30 June 2025, ISC is made up of six (6) members, comprising three (3) Executive Directors and three (3) Senior Management. During FYE 2025, there were a total of twelve (12) ISC meetings held and the attendance records are as follows: -

Members of ISC	Position in ISC	Date of Appointment to ISC	Meetings Attendance
Dato' Ong Kook Liong	ISC Chairman	18 August 2022	12/12
Ms. Ong Tzu Chuen	ISC Deputy Chairman	18 August 2022	12/12
Ms. Ong Pui Shan	Chief Investment Officer	18 August 2022	12/12
Mr. Sean Lim Seng Yeow	Head of Investment Working Group	25 March 2024	12/12
Ms. Lim Boon Boon	Finance Lead	28 June 2024	12/12
Mr. Northon Lee Tze Siang	Legal Lead	24 October 2023	12/12

The profiles of ISC members are set out in the Board of Directors' Profiles or Management Team Profiles in this Annual Report. None of the ISC members has conflict of interest or potential conflict of interest, including any interest in any competing business with KIP REIT and has been convicted of any offence within the past five (5) years and has been imposed any penalty by the relevant regulatory bodies during the FYE 2025.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

In today's fast-changing business landscape, strong corporate governance is the foundation of resilience and long-term value creation. Guided by this principle, the Board places strong emphasis on upholding robust corporate governance practices in KIP REIT to protect and enhance our unitholders' value and stakeholders' interests. This commitment is reflected in our adherence to the principles and recommendations of the MCCG, ensuring that our governance framework not only remains effective but also evolves in step with the needs of our business and the expectations of the market.

In accordance with Paragraph 15.25(1) and Practice Note 9 of the MMLR, the Board is pleased to present this Corporate Governance Overview Statement ("CG Statement"), which provides a concise overview of KIP REIT's application on the following three (3) key corporate governance principles outlined in the MCCG during FYE 2025: -

Principle A

Board Leadership
and Effectiveness

Principle B

Effective Audit and
Risk Management

Principle C

Integrity in Corporate Reporting
and Meaningful Relationship with
Stakeholders

The Manager

KIP REIT is constituted by the Deeds entered into between the Manager and the Trustee. In accordance with these Deeds, the Manager is entrusted to manage KIP REIT with due care and diligence to safeguard the best interests of the unitholders. The Manager holds a valid CMSL licensed by the SC to perform such management activities. The Trustee, on the other hand, is tasked with the responsibility to oversee such management on behalf of unitholders.

The Manager is primarily responsible to carry out all necessary activities related to the management of KIP REIT and its assets. This includes executing measures aligned with the strategic direction set by the Board and implementing KIP REIT's investment strategy. Key management activities encompass various areas such as formulating overall strategy, managing risks, carrying out acquisitions and disposals activities, developing business plans as well as monitoring its performance against market performance.

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS

BOARD OF DIRECTORS

Serving as the highest governing authority, the Board provides overall leadership, strategic direction and guidance to both the Manager and KIP REIT. To this end, it has established a clear set of vision, mission and core values to ensure the fulfilment of obligations to unitholders and other stakeholders. In discharging its fiduciary duties and responsibilities, the Board is guided by prevailing legal and regulatory requirements including the CA 2016, MMLR and MCCG, as well as the Manager's constitution and Board Charter.

At KIP REIT, the Board Charter serves as a primary governance framework, setting out the Board's roles, responsibilities, authority and processes to ensure effective oversight and discharge of responsibilities. It covers, among others, the following key areas: -

- (i) Board composition, size and balance;
- (ii) Roles and responsibilities of the Manager, the Board, Board Committees and individual Directors;
- (iii) Segregation of duties between Board Chairman and Chief Executive Officer;
- (iv) Appointment and re-election of Directors;
- (v) Annual performance evaluation of the Board, Board Committees and individual Directors, and issues and decisions reserved for the Board.

To ensure continued legal compliance and relevance, the Board Charter was last reviewed and updated by the Board on 24 July 2025. The Board Charter is made publicly available for public's reference on KIP REIT's website at www.kipreit.com.my/corporate-governance-and-policies.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

BOARD OF DIRECTORS (CONT'D)

The Board is led by Datuk Dr. Syed Hussain bin Syed Husman, PJN, JP, the Chairman / Senior Independent Non-Executive Director, who provides stewardship, ensures overall effectiveness and instils high standards of corporate governance in the Board. The Board Chairman is a Senior Independent Non-Executive Director and he is free from any relationships or conflicts of interest within KIP REIT, thereby acting independently and in the best interest of KIP REIT's unitholders. To ensure a balance of power and impartial oversight, the roles of Board Chairman and Chief Executive Officer are held by two (2) distinct individuals with clearly defined responsibilities as follows: -

Board Chairman

Datuk Dr. Syed Hussain bin Syed Husman, PJN, JP

Provides overall leadership to the Board by guiding its strategic direction and governance framework, ensuring overall effectiveness, fostering open and constructive discussions, setting meeting agendas and promoting cohesive decision-making in the best interests of unitholders and stakeholders.

Executive Director / Chief Executive Officer

Ong Pui Shan

Leads the execution of the Board's strategies by translating them into day-to-day business operations, focusing on driving performance, optimising resource management and delivering operational and financial results, while keeping the Board informed on key developments and risks.

To ensure the effective discharge of its duties, the Board is further supported by the Board Committees and Company Secretary, as outlined below: -

Board Committees

The Board has delegated certain responsibilities and authorities to three (3) Board Committees, namely the ARMC, NC and RC, to enhance its efficiency and effectiveness. The Terms of Reference governing ARMC, NC and RC are clearly outlined and available on KIP REIT's website at www.kipreit.com.my/corporate-governance-and-policies.

Currently, the Board Chairman is also a member of the ARMC, NC and RC. However, this does not compromise his objectivity when deliberating on the findings and recommendations reported by the Board Committees. This is because all Independent Non-Executive Directors collectively discuss meeting affairs as a team during the respective Board Committees' meetings. Additionally, the Board Chairman does not engage in KIP REIT's day-to-day managerial and operational affairs.

Company Secretary

The Board is supported by a qualified and competent Company Secretary, Ms. Foo Siew Loon, who is qualified under Section 235(2)(a) of the CA 2016 and is a member of the Malaysian Institute of Chartered Secretaries and Administrators ("MAICSA"). She is entrusted to advise the Board on administrative matters, governance practices, meeting procedures and regulatory compliance. During FYE 2025, she attended all Board and Board Committee meetings and recorded all the deliberations, discussions and decisions made during the meetings.

In ensuring the continued effectiveness of her role, the Company Secretary remains committed to staying abreast of the latest regulatory and corporate governance developments through continuous training and industry updates. The Board is satisfied with her performance and competency in discharging her duties during FYE 2025.

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

BOARD AND BOARD COMMITTEES MEETING

According to the Board Charter, the Board is required to meet at least once every quarter to facilitate the effective discharge of its responsibilities. Meeting schedules for the Board and Board Committees were arranged in advance, allowing Directors to reserve their dates and coordinate their schedule. Prior to each meeting, notices, agendas and meeting papers containing relevant reports were circulated within three (3) to seven (7) days in advance, enabling the Directors with ample time to review materials and consider agenda items thoroughly, and when necessary, to seek clarification from Management to support their informed decision-making. All Directors have unrestricted access to all information pertaining to KIP REIT's business and affairs, as well as the advice and services from the Management, Company Secretary, External Auditor and Internal Auditor to facilitate their decision-making process. Following the conclusion of each meeting, the meeting minutes were circulated to the Board and/or Board Committee within four (4) weeks for review and subsequently tabled for confirmation at the next meeting.

The Board is satisfied with the Directors' dedication, effort and time commitment through full attendance at all Board and Board Committees meetings during FYE 2025, summarised as follows: -

Directors	Board Meeting	Board Committees		
		ARMC	NC	RC
Datuk Dr Syed Hussain bin Syed Husman, PJN. JP <i>Chairman / Senior Independent Non-Executive Director</i>	9/9	8/8	1/1	3/3
Dato' Ong Kook Liong <i>Managing Director</i>	9/9	-	-	-
Ms. Ong Pui Shan <i>Executive Director / Chief Executive Officer</i>	9/9	-	-	-
Ms. Ong Tzu Chuen <i>Executive Director</i>	9/9	-	-	-
Datuk Mohamed Arsad bin Sehan <i>Independent Non-Executive Director</i>	9/9	8/8	1/1	3/3
Mr. Chiam Tau Meng <i>Independent Non-Executive Director</i>	9/9	8/8	1/1	3/3

NOMINATION COMMITTEE REPORT

The NC is solely made up by Independent Non-Executive Directors as follows: -

Position	Director	Directorship
Chairman	Datuk Mohamed Arsad bin Sehan	Independent Non-Executive Director
Member	Datuk Dr Syed Hussain bin Syed Husman, PJN. JP	Chairman / Senior Independent Non-Executive Director
Member	Mr. Chiam Tau Meng	Independent Non-Executive Director

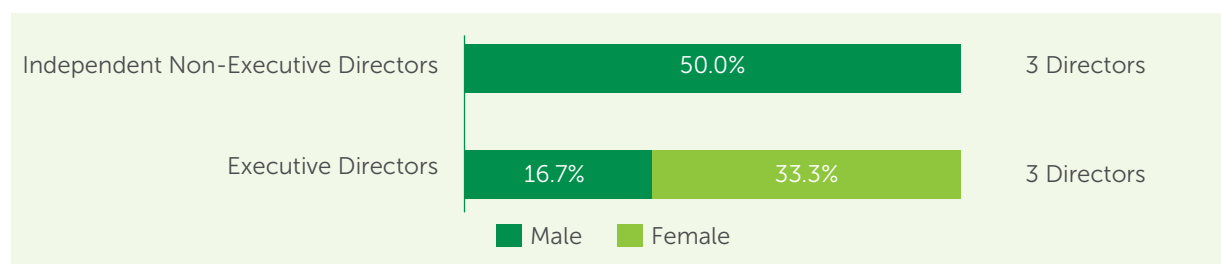
CORPORATE GOVERNANCE OVERVIEW STATEMENT

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

NOMINATION COMMITTEE REPORT (CONT'D)

(A) Board Balance, Composition and Diversity

As at 30 June 2025, the Board comprises six (6) Directors, with the overall composition as follows: -



The Board through the NC regularly reviews the structure, size and composition of the Board to ensure the mix of Directors' skills remain aligned with KIP REIT's strategy. To support this, the Board has adopted a Diversity Policy to guide the recruitment, development and appointment of individuals to the Board and Senior Management, focusing on skill sets, knowledge and experience. The Diversity Policy also sets a target of at least 30.0% of women representation on the Board and at least 20.0% of women representation in Senior Management. The Diversity Policy is published in KIP REIT's website at <https://www.kipreit.com.my/corporate-governance-and-policies/>.

As at 30 June 2025, the Board comprises two (2) women Directors, constituting 33.3% female Board representation, exceeding the 30.0% female Board representation target. In order to maintain and improve the gender ratio of the Board, we have incorporated gender diversity considerations into our Board nomination and selection processes to ensure balanced representation across all Board appointments. As part of our continued commitment to advancing gender diversity and strengthening our governance capabilities, we have set a target to appoint a qualified female independent non-executive director to join our Board with effect from 1 July 2026, being the commencement of our FYE 2027. This strategic appointment will further enhance our female Board representation beyond the regulatory threshold and reinforce our dedication to fostering an inclusive and diverse boardroom environment that drives stakeholder value creation.

In accordance to Paragraph 15.02(1)(a) of the MMLR and Practice 5.2 of the MCCG, half of the Board comprises Independent Directors. During FYE 2025, the Board was satisfied that none of the Independent Directors had any relationships or conflicts of interest that could, or could be perceived to, materially interfere with their independent judgement or their ability to act in the best interests of KIP REIT. In addition, to preserve Board independence, Independent Directors are subject to a maximum cumulative tenure of twelve (12) years, as prescribed in the Board Charter and Paragraph 1.01 of the MMLR. As at 30 June 2025, all our Independent Non-Executive Directors remain within the prescribed tenure limit.

The Board members bring with them diverse professional backgrounds and industry experience, contributing a wide range of perspectives, skills and insights to the decision-making and oversight process. This collective expertise forms a strong foundation for effective governance and supports KIP REIT in achieving its strategic and operational objectives. Further details on each Director's qualifications and experience are set out in the Board of Directors' Profiles section within this Annual Report.

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

NOMINATION COMMITTEE REPORT (CONT'D)

(B) Directors' Appointment and Re-election

The NC is also delegated with the responsibility of screening and conducting an initial selection of candidates for Board and Senior Management appointment before making recommendations to the Board for approval. In this aspect, the Fit and Proper Policy serves as a guiding framework for both the NC and the Board by setting out the following three (3) fit and proper criteria for reviewing and assessing the suitability of individuals for these roles: -

Character and Integrity

Experience and Competence

Time and Commitment

The Fit and Proper Policy is made publicly available on KIP REIT's website at <https://www.kipreit.com.my/corporate-governance-and-policies/>. Where necessary, the Board and the NC may engage independent sources, such as the Institute of Corporate Directors Malaysia and Lead Women Sdn Bhd, to identify suitably qualified candidates for appointment to the Board.

The Fit and Proper Policy is also applicable for the re-election of Directors. Pursuant to the Manager's Articles of Association, one-third (1/3) of the Board for the time being, shall retire from office and be eligible for re-election provided that at all times, each Director shall retire from office once at least in each three (3) years, but shall be eligible for re-election. In this regard, Mr. Chiam Tau Meng and Ms. Ong Tzu Chuen shall retire from office this financial year and, being eligible, they have offered themselves for re-election. The NC has reviewed and recommended such re-election to the Board with the following justifications: -

- (i) Mr. Chiam Tau Meng, as an Independent Non-Executive Director, enriched Board discussions with his impartial perspective and dedicated sufficient time and effort to his role during FYE 2025. As an Associate Chartered Accountant with Chartered Accountants Australia and a Chartered Accountant with the MIA, he leveraged his financial expertise, governance knowledge and industry insight in his capacity as Chairman of the ARMC, effectively leading the ARMC in overseeing financial reporting as well as risk management and internal control system; and
- (ii) Ms. Ong Tzu Chuen, being the Executive Director, leveraged her extensive industry knowledge and operational expertise to bring valuable insights grounded in market realities and operational performance to the Board. She had been instrumental in translating the Board's strategic vision into measurable business outcomes during FYE 2025.

(C) Board Evaluation

During FYE 2025, the Board, through the NC, conducted an annual evaluation of the overall effectiveness and performance of the Board, the Board Committees and individual Directors. Supported by Company Secretary, this evaluation involved internal self-assessments, where Directors evaluated their own individual performance as well as the performance of the Board and each Board Committee.

The assessment criteria encompassed various dimensions, including fit and proper evaluation, contribution, performance, personal calibre and personality. Specific consideration was also given to the independence of Independent Directors, particularly their relationship with KIP REIT and involvement in significant transactions with KIP REIT, if any.

Based on the assessment results for FYE 2025, the Board is satisfied with the current size and composition of the Board and Board Committees, which are considered well-balanced with the right mix of high-calibre individuals possessing the necessary skills, qualifications, experience and credibility. The Board, through the NC, also ensured that all Independent Non-Executive Directors remain objective, independent of management and are free from any business or other relationships that may impair their ability to exercise independent judgement in the best interests of KIP REIT and unitholders.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

NOMINATION COMMITTEE REPORT (CONT'D)

(D) Directors' Professional Development

To uphold the overall competence and effectiveness of the Board, our Directors actively pursued continuous professional development by participating in seminars and training programmes. These initiatives kept them abreast of the latest industry trends, regulatory updates, best governance practices and other emerging matters relevant to their roles and responsibilities.

During FYE 2025, the Directors have attended the following training programmes: -

Director	Training Programmes Attended	Date
Datuk Dr Syed Hussain bin Syed Husman, PJN. JP	• Achieving Boardroom Excellence: Redefining Corporate Directorship for The Modern Era	20/11/2024
	• Navigating ISSB: Regulatory Updates and Insights	27/05/2025
	• PDPA Amendments 2024: Key Changes and Compliance Priorities	27/05/2025
	• Anti-Bribery Management – Are you ready?	27/05/2025
Dato' Ong Kook Liong	• Invest Malaysia 2024	26/09/2024
	• PKJ771: ESG, Stakeholder Capitalism and Sustainable and Responsible Investment	19/12/2024
	• Navigating ISSB: Regulatory Updates and Insights	27/05/2025
	• PDPA Amendments 2024: Key Changes and Compliance Priorities	27/05/2025
	• Anti-Bribery Management – Are you ready?	27/05/2025
Ms. Ong Pui Shan	• Bursa Academy: Conflict of Interest and Governance of Conflict of Interest	13/08/2024
	• M-REITs Reconfigured: Growth Markets, Prospects & Alternative Asset Classes	10/09/2024
	• Invest Malaysia 2024	26/09/2024
	• Natural Language Processing 2024: Unleashing Your Business & Personal Potential	23-29/11/2024
	• Navigating ISSB: Regulatory Updates and Insights	27/05/2025
	• PDPA Amendments 2024: Key Changes and Compliance Priorities	27/05/2025
	• Anti-Bribery Management – Are you ready?	27/05/2025
Ms. Ong Tzu Chuen	• Navigating ISSB: Regulatory Updates and Insights	27/05/2025
	• PDPA Amendments 2024: Key Changes and Compliance Priorities	27/05/2025
	• Anti-Bribery Management – Are you ready?	27/05/2025
Mr. Chiam Tau Meng	• Bursa Academy: Conflict of Interest and Governance of Conflict of Interest	13/08/2024
	• Building Sustainable Credibility: Assurance, Greenwashing and the Rise of Green-Hushing	24/09/2024
	• Mandatory Accreditation Programme Part II: Leading for Impact	09-10/10/2024
	• Navigating ISSB: Regulatory Updates and Insights	27/05/2025
	• PDPA Amendments 2024: Key Changes and Compliance Priorities	27/05/2025
	• Anti-Bribery Management – Are you ready?	27/05/2025
Datuk Mohamed Arsad bin Sehan	• Navigating ISSB: Regulatory Updates and Insights	27/05/2025
	• PDPA Amendments 2024: Key Changes and Compliance Priorities	27/05/2025
	• Anti-Bribery Management – Are you ready?	27/05/2025

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

REMUNERATION COMMITTEE REPORT

The RC comprises solely Independent Non-Executive Directors, as follows: -

Position	Director	Directorship
Chairman	Mr. Chiam Tau Meng	Independent Non-Executive Director
Member	Datuk Mohamed Arsad bin Sehan	Independent Non-Executive Director
Member	Datuk Dr Syed Hussain bin Syed Husman, PJN. JP	Chairman / Senior Independent Non-Executive Director

(A) Board and Senior Management Remuneration

The Board has established a Remuneration Policy to determine the remuneration of the Board and Senior Management based on the principle of fostering a strong, performance-oriented environment that attracts, motivates and retains high-calibre talent while ensuring that they are fairly rewarded for their contributions. This Remuneration Policy is published on KIP REIT's website at <https://www.kipreit.com.my/corporate-governance-and-policies/>, subject to periodic review by the RC to ensure alignment with current market practices.

According to the Remuneration Policy, the remuneration for Executive Directors and Senior Management is determined based on their scope of duties and responsibilities, skills and experience, corporate and individual performance as well as prevailing market practice and economic situation. In contrast, the Non-Executive Directors shall only receive directors' fees and meeting allowances aligned their roles and responsibilities, time commitment, contributions to the Board and market rate. The fee shall be fixed in sum and not based on commissions or a percentage of profits or turnover.

Under the REIT structure, the Directors are remunerated by the Manager from the fees it generates, rather than by KIP REIT. As the Manager and KIP REIT are separate entities, there is no direct remuneration link between the management team and KIP REIT. However, the Manager determines remuneration packages with reference to both the overall performance of KIP REIT as well as respective departmental and individual objectives, such as sustainability and training initiatives alongside financial performance. This ensures a well-rounded and comprehensive approach that is not solely driven by financial outcomes.

On an annual basis, the RC assesses the remuneration packages of the Executive Directors and Senior Management of KIP REIT before making recommendation to the Board. Each Director shall abstain from the deliberation and voting on matters pertaining to their own remuneration.

The Board acknowledged the recommendation of Practice 8.1 of the MCGG to disclose the remuneration of Directors a named basis. However, the Board is of the view that the disclosure of individual remuneration information on a named basis may not be in the best interest of the Manager. After due consideration of sensitivity and confidentiality of remuneration details, the Board opted for the disclosure of the remuneration of our Directors for FYE 2025 in bands of RM50,000 on an unnamed basis as follows: -

Range of Remuneration	Executive Directors	Non-Executive Directors
RM50,000 – RM100,000	-	3
RM500,000 – RM550,000	1	-
RM900,000 – RM950,000	1	-
RM950,000 – RM1,000,000	1	-

CORPORATE GOVERNANCE OVERVIEW STATEMENT

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

ETHICS AND INTEGRITY

Beyond composition, evaluation and remuneration, the Board recognises that effective corporate governance also rests on a strong ethical foundation. In this regard, the Board remains committed to fostering sound business conduct and cultivating a strong corporate culture anchored in integrity, transparency and fairness. To this end, the Manager has formalised a Directors' Code of Conduct and an Employee Code of Conduct Policy (collectively known as "the Codes") to set out the ethical standards expected of all Directors and employees in handling KIP REIT's information, assets and dealings with external parties. All Directors and employees are required to uphold values such as integrity, transparency, fairness, responsibility, excellence, commitment, dedication, diligence and professionalism, while contributing to the social and environmental well-being of the communities in which KIP REIT operates.

To reinforce our governance practices, the Board reviewed and updated the Anti-Bribery and Corruption Policy ("ABC Policy") on 21 April 2025. The updated ABC Policy reinforces KIP REIT's unwavering zero-tolerance stance against all forms of bribery and corruption by establishing robust frameworks for prevention, detection and reporting. The policy provides detailed guidelines covering high-risk areas including gifts and hospitality, money laundering prevention, conflict of interest management, third-party transactions, procurement activities, and real estate dealings. Additionally, it incorporates due diligence processes, comprehensive training programs and protected whistleblowing mechanisms to ensure full compliance with applicable anti-corruption laws and maintain the highest standards of integrity across all business operations and stakeholder relationships.

The Manager has also established a Whistleblowing Policy to support the implementation of the Codes and ABC Policy, providing a secure and confidential channel for individuals to report any illegal, unethical or improper conduct without fear of retaliation. This Whistleblowing Policy was latest reviewed and updated on 17 February 2025. Guided by the policy, whistleblower may rise their concerns to the Compliance Officer or the Chairman of ARMC, through either one of the following approaches: -

By Post

KIP REIT Management Sdn Bhd

Unit B-6, Block B, Tingkat 6, Menara KIP, No.1, Jalan Seri Utara 1, Sri Utara Off Jalan Ipoh, 68100 Kuala Lumpur

By Email

whistleblower@kipreit.com.my

Website Submission

<https://www.kipreit.com.my/whistleblowing/>

All the Codes, ABC Policy and Whistleblowing Policy can be found on KIP REIT's website at <https://www.kipreit.com.my/corporate-governance-and-policies/>. For FYE 2025, the Board reports that the Manager received one (1) report made by a whistleblower regarding alleged improper dealings between employees and service providers. However, upon investigation, no substantial evidence was found to substantiate the allegation.

Recognising the importance of sustainable business practices in generating long-term value and enhancing business resilience, the Board reviewed and revised the Sustainability Policy on 17 February 2025, outlining KIP REIT's sustainability framework, governance structure and reporting approach. With the Sustainability Policy in place, KIP REIT is committed to integrate ESG values across all aspects of management, operations and decision-making processes, wherever viable.

At KIP REIT, the Board is ultimately responsible for setting KIP REIT's sustainability direction and ensuring that strong governance principles, anchored in integrity and ethics, support the achievement of its sustainability objectives. The SSC, led by the CSO who is also our Executive Director / Chief Executive Officer, Ms. Ong Pui Shan, is responsible for overseeing KIP REIT's ESG related risks and opportunities as well as setting the strategic direction. Supporting the SSC, the SWG, comprising several management personnel, is tasked to execute the sustainability initiatives, manage material sustainability matters and develop relevant policies and targets.

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

SUSTAINABILITY MANAGEMENT (CONT'D)

The Board acknowledges the importance of regular engagement with various stakeholders in developing and refining KIP REIT's sustainable strategies and priorities. These interactions support KIP REIT to better understand the evolving needs and expectations from various stakeholders in order to ensure that the sustainability strategies remain relevant and effective. Further details of KIP REIT's stakeholder engagement approach are delineated in the Sustainability Statement within this Annual Report.

To ensure continuous improvement, our Directors attended sustainability-related trainings during FYE 2025 to stay abreast with the latest sustainability trend. A comprehensive list of Directors' training is available in the NC Report within this CG Statement. The Board also receives updates from the SSC on the mapping of risks identified in the risk register to sustainability risks for materiality assessment purposes in FYE 2025.. Furthermore, the Board is continuously updated with the latest sustainability issues and trends through updates from the Limited Assurance Auditor and the SSC. In view of the dynamic business landscape, the Board has continued to integrate sustainability-related criteria into the performance evaluations of the Board and Senior Management for FYE 2025.

PRINCIPLE B: EFFECTIVE AUDIT AND RISK MANAGEMENT

AUDIT AND RISK MANAGEMENT COMMITTEE REPORT

The ARMC is primarily responsible to oversee the financial integrity as well as the overall risk management and internal controls in KIP REIT. To ensure its independence and effectiveness, the ARMC comprises exclusively Independent Non-Executive Directors, as follows: -

Position	Director	Directorship
Chairman	Mr. Chiam Tau Meng	Independent Non-Executive Director
Member	Datuk Mohamed Arsad bin Sehan	Independent Non-Executive Director
Member	Datuk Dr Syed Hussain bin Syed Husman, PJN. JP	Chairman / Senior Independent Non-Executive Director

The positions of Board Chairman and ARMC Chairman are held by separate individuals, namely Datuk Dr Syed Hussain bin Syed Husman, PJN. JP and Mr. Chiam Tau Meng respectively. This clear segregation of roles enhances the Board's objectivity and independence in assessing the findings and recommendations presented by the ARMC.

Mr. Chiam Tau Meng is an Associate Chartered Accountant with the Chartered Accountants Australia and New Zealand and a Chartered Accountant with the MIA. He has more than 45 years of working experience in finance, accounting and corporate affairs. Meanwhile, Datuk Mohamed Arsad bin Sehan has developed his accounting and financial expertise more than 30 years of experience in the banking industry.

While two-third (2/3) of the ARMC members are financial expert, the ARMC as a whole is financial literate and possesses the necessary skills and knowledge to understand KIP REIT's business and to oversee the matters under their purview, including the financial reporting and auditing process. All ARMC members also keep themselves updated with the latest developments in accounting and auditing standards, practices and rules through continuous professional development and updates by the Management and External Auditor.

The ARMC's independence is further safeguarded through a provision in its Terms of Reference, which mandates a cooling-off period of at least three (3) years prior to the appointment of any former partner from the external audit firm as a member of the ARMC. To date, none of the current ARMC members is a former key audit partner for KIP REIT.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

PRINCIPLE B: EFFECTIVE AUDIT AND RISK MANAGEMENT (CONT'D)

AUDIT AND RISK MANAGEMENT COMMITTEE REPORT (CONT'D)

Summary of Activities

The activities undertaken by the ARMC in discharging its functions and duties during FYE 2025 are summarised as follows: -

(A) Financial Reporting

- (i) Ensured the following processes and controls have been implemented in line with KIP REIT's Finance Department Policies to support an effective financial reporting function: -
 - Verification and approval of financial transactions in accordance with prescribed authority matrix;
 - Execution of proper month end closing according to the stipulated checklist and timeline;
 - Preparation and review of annual budget and cash flow projection within the stipulated timeframe; and
 - Consultations from Company Secretary and External Auditor to ensure the compliance with the MMLR and relevant disclosure requirements.
- (ii) Reviewed and deliberated on the unaudited quarterly financial results and annual audited financial statements and recommended the same to the Board for consideration and approval. Both the unaudited quarterly financial results and annual audited financial statements were made in compliance with the Deeds, REIT Guidelines, MFRS, IFRS, CA 2016 and MMLR;
- (iii) Discussed with both the Management and the External Auditor on the accounting policy, principles and standards applied as well as their judgement of the items that may affect the financial statements as well as issues arising from the statutory audit;
- (iv) Reviewed the proposed income distribution together with the solvency test of KIP REIT and recommended the same for the Board's approval; and
- (v) Reviewed the quarterly rolling forecast, the gap between targets and actual performance of the five-year strategic plan and the annual budget for financial year ending 30 June 2026, and recommended to the Board for notation and/or approval.

(B) External Audit

- (i) Reviewed the audit plan for FYE 2025 presented by the External Auditor, detailing the areas of technology integrated audit approach, audit scope, potential key audit matters, target audit timeline, audit procedures and proposed audit fee prior to the commencement of audit and recommended the same for the Board's approval.

To uphold a high level of transparency and independence, the engagement partner responsible for auditing KIP REIT's financial statements is required to be rotated every five (5) years. Hence, before accepting the audit engagement, the ARMC has reviewed the External Auditor's audit plan for the FYE 2025 and has ensured that the independence of the engagement partner is in compliance with the relevant professional and regulatory requirements;
- (ii) Reviewed and discussed with the External Auditor on the audit findings and significant accounting adjustments as well as the judgements and accounting estimates which had been reviewed and evaluated by the External Auditor;
- (iii) Reviewed key audit matters identified by External Auditor with regards to the financial statements;
- (iv) Conducted two (2) private meetings with the External Auditor on 25 July 2024 and 21 April 2025 without the presence of Managing Director, Executive Directors and Management to discuss over key issues of concern arising from audit engagement in an objective manner; and
- (v) Conducted an annual assessment and evaluation of External Auditor's suitability, independence, performance and effectiveness, by taking the considerations of qualifications, experience, objectivity, competency, resources and reliability as well as provision of non-audit services. As a result, the ARMC is satisfied with the suitability and independence of the External Auditor and recommended the re-appointment of PwC to the Board for approval.

PRINCIPLE B: EFFECTIVE AUDIT AND RISK MANAGEMENT (CONT'D)

AUDIT AND RISK MANAGEMENT COMMITTEE REPORT (CONT'D)

Summary of Activities (Cont'd)

(C) Internal Audit

- (i) Reviewed and approved internal audit plan presented by the Internal Auditor, outlining the proposed audit scope, areas, objective, timeline, key risk and fees;
- (ii) Reviewed and deliberated on the internal audit reports, including the audit findings, key risks, proposed recommendations for improvements as well as the Management's responses for proposed action plan along with target implementation timeframe;
- (iii) Monitored the outcome of the follow-up status on the previous audit findings presented by the Internal Auditor to ascertain the extent to which agreed action plans have been implemented by the Management;
- (iv) Conducted two (2) private sessions with the Internal Auditor on 21 October 2024 and 21 April 2025 respectively, without the presence of Managing Director, Executive Directors and Management, to discuss over the key issues of concern arising from audit engagement in an objective manner; and
- (v) Evaluated the performance and effectiveness of the internal audit function and satisfied with the competence and independence of the Internal Auditor in performing their scope of duties in FYE 2025.

(D) Risk Management and Internal Control

- (i) Reviewed KIP REIT's Risk Register and deliberated on the meetings minutes of the Risk Management Working Group on a quarterly basis;
- (ii) Reviewed the performance of the ABMS on a quarterly basis; and
- (iii) Evaluated the effectiveness of KIP REIT's risk management procedures by the Risk Management Working Group for the FYE 2025, covering the consideration of risk appetite, risk profile and risk management framework.

(E) RPT and Conflict of Interest

- (i) Reviewed the RPT entered or to be entered into by KIP REIT on a quarterly basis. The key consideration during RPT review include: -
 - The RPT should be in the best interest of KIP REIT;
 - The RPT should not be less favourable to KIP REIT than an arm's length transaction between independent parties;
 - The RPT should be compared with at least two (2) other contemporaneous transactions with unrelated third parties, wherever practicable;
 - The RPT should be appropriately approved and disclosed in compliance with the REIT Guidelines and the MMLR;
 - The RPT should be abstained from voting at the Board meetings for interested parties; and
 - The RPT should be properly documented.

During FYE 2025, the ARMC has ensured that RPTs involving the proposed acquisition of properties and leases from respective vendors related to major unitholders were conducted in compliance with regulatory requirements and best practices. The ARMC verified that these transactions were executed on an arm's length basis and normal business terms, supported by independent professional valuations. All necessary approvals were obtained from the ARMC, Board and relevant regulatory authorities, with adequate disclosure made to Bursa Securities and unitholders to ensure transparency and protection of minority interests; and

- (ii) Reviewed the conflict of interest and/or potential conflict of interest situation that may arise in KIP REIT by the consideration of its nature, extend and materiality of the conflict. For FYE 2025, the ARMC concluded that none of the Directors have any conflict of interest and/or potential conflict of interest with KIP REIT.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

PRINCIPLE B: EFFECTIVE AUDIT AND RISK MANAGEMENT (CONT'D)

AUDIT AND RISK MANAGEMENT COMMITTEE REPORT (CONT'D)

Summary of Activities (Cont'd)

(E) Annual Report

- (i) Reviewed the ARMC Report and Statement on Risk Management and Internal Control, and recommended to the Board for approval and inclusion in the Annual Report 2024.

Internal Audit Function

The Board has outsourced its internal audit function to an independent professional firm, Baker Tilly Monteiro Heng Governance Sdn Bhd ("Baker Tilly Malaysia"), to review the adequacy and effectiveness of KIP REIT's risk management and internal control system.

During FYE 2025, the Board, through the ARMC, satisfied that the Internal Auditor is independent and free from any relationships or conflict of interests, enabling them to perform their internal audit review objectively, impartially, proficiently and with due professional care. The Internal Auditor was led by Mr. Kuan Yew Choong, the Partner of Internal Audit & Risk Advisory of Baker Tilly Malaysia. Mr. Kuan is a Fellow member of the ACCA, a Chartered Accountant with the MIA and a Chartered Member of the Institute of Internal Auditors ("IIA") Malaysia. Depending on the scope of works, 3 to 4 personnel, including an experienced Team Leader, were assigned to carry out the internal audit engagement. The internal audit reviews were carried out based on the approved internal audit plan in compliance with the International Standards for the Professional Practice of Internal Auditing, which forms part of the International Professional Practices Framework ("IPPF") by the IIA.

During FYE 2025, the Internal Auditor conducted four (4) internal audit reviews and four (4) follow-up reviews in the following areas: -

Internal Audit Coverage Area	Internal Audit Cycle
Human Resource & Compensation Management	Q1, FYE 2025
Compliance Review – Corporate Liability Obligations	
Follow-up Review on Mall Operation – Billing and Credit Control Management and Leasing & Tenant Management	
Follow-up Review of Investment Management and Legal and Compliance Management	
Mall Operation – Tenant Performance, Customer Complaint, Incident Reporting Management	Q3, FYE 2025
Mall Operation – Security and Safety & Health Management	
Follow-up Review on Human Resource & Compensation Management and Compliance Review – Corporate Liability Obligations	
Follow-up Review on previous pending issues as per Follow-up Audit Report issued in October 2024	

To ensure a smooth conduct of internal audit review, the Internal Auditor was granted comprehensive and unrestricted access to all relevant internal documents which were necessary for the conduct of internal audit engagement. The ARMC also has full and unrestricted access to all necessary information and resources in KIP REIT to support the Internal Auditor, whenever necessary. Additionally, to uphold the highest level of independence, the Internal Auditor was authorised to report directly to the ARMC.

Upon conclusion of audit reviews, the Internal Auditor presented the internal audit report, covering the identified weaknesses along with proposed corrective actions, to the ARMC during the scheduled meetings. The Management was then responsible for implementing the recommended corrective actions to address the identified weaknesses within the stipulated timeframe. The Internal Auditor subsequently conducted follow-up reviews to ensure proper implementation of the said action plans, and reported the same to the ARMC.

PRINCIPLE B: EFFECTIVE AUDIT AND RISK MANAGEMENT (CONT'D)

ADEQUATE RISK MANAGEMENT AND INTERNAL CONTROL SYSTEM

At KIP REIT, the Board affirms its overall responsibility to maintain a sound risk management and internal control system, which encompasses financial, operational, legal and regulatory compliance, to safeguard unitholders' investments, stakeholders' interests and KIP REIT's assets. Through the ARMC, the Board has implemented an ERM system with reference to ISO 31000:2018, which outlines structured framework and processes to identify, evaluate and manage risks effectively.

The ERM Framework is supported by several key internal control measures in place, such as Standard Operating Procedures ("SOPs"), Business Continuity Plan ("BCP"), annual budget, five-year strategic plan, ABC Policy and ABMS. Collectively, these measures address four (4) core control areas, namely operation controls, financial controls, investment controls and compliance controls.

Further details on the risk management and internal control system are set out in the Statement on Risk Management and Internal Control in this Annual Report.

PRINCIPLE C: INTEGRITY IN CORPORATE REPORTING AND MEANINGFUL RELATIONSHIP WITH STAKEHOLDERS

STAKEHOLDERS COMMUNICATION

The Board acknowledges that fostering transparent, regular and effective communication with stakeholders is vital to achieve a mutual understanding of respective objectives and expectations. During FYE 2025, the Manager leveraged on the following communication channels and platforms to disseminate meaningful information on a timely basis: -

- (i) Corporate website at www.kipreit.com.my;
- (ii) Investor relations;
- (iii) Meetings and discussions with fund managers and financial analysts for equity research coverage;
- (iv) Quarterly financial results and annual report;
- (v) Corporate announcements made to Bursa Securities; and
- (vi) AGM and Unitholders' Meeting ("UM").

General public may also reach out to the Manager through the "Send Us a Message" section on our website at www.kipreit.com.my/contact/ to raise enquiries, suggest improvements or lodge complaints, if any.

By leveraging these communication channels, the Board is able to engage with stakeholders in an effective, transparent and continuous manner, thereby enabling them to make well-informed investment decisions. While the Board is dedicated to publishing as much information as possible, it also remains mindful of the legal and regulatory requirements governing the disclosure of material and price-sensitive information.

MEANINGFUL GENERAL MEETINGS

AGM and UM continue to serve as the primary platforms for engaging with unitholders, providing them with quality information about KIP REIT. These sessions offer unitholders the opportunity to address and clarify concerns while gaining deeper insights into KIP REIT's business and corporate developments.

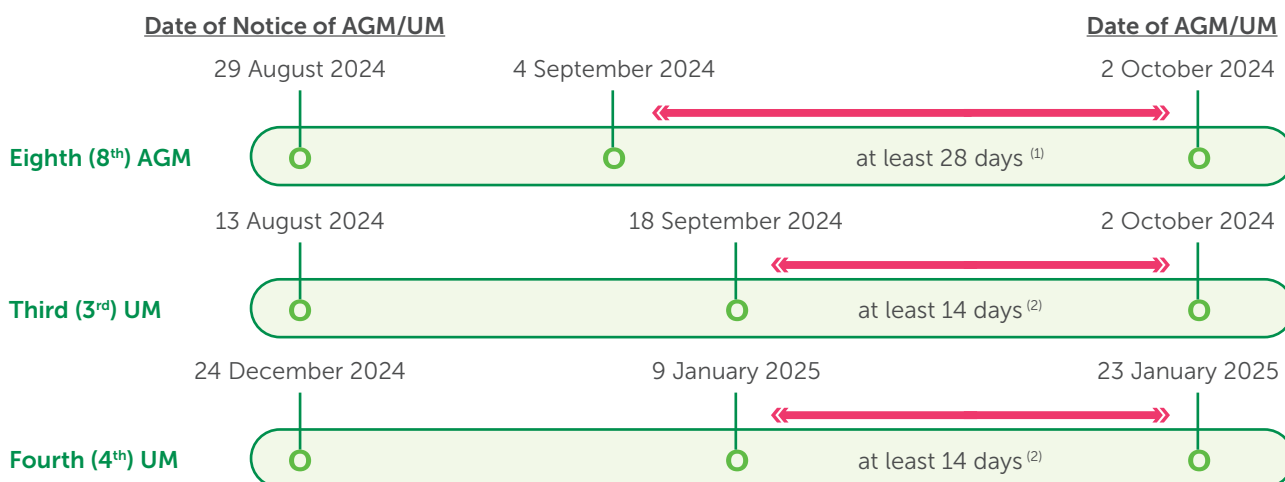
During FYE 2025, KIP REIT convened both the Eighth (8th) AGM and an UM on 2 October 2024, followed by another UM on 23 January 2025. All general meetings were conducted virtually via Remote Participation Electronic Voting ("RPEV") facility provided by Boardroom Share Registrars Sdn Bhd ("Boardroom").

CORPORATE GOVERNANCE OVERVIEW STATEMENT

PRINCIPLE C: INTEGRITY IN CORPORATE REPORTING AND MEANINGFUL RELATIONSHIP WITH STAKEHOLDERS (CONT'D)

MEANINGFUL GENERAL MEETINGS (CONT'D)

To ensure that unitholders had sufficient time to prepare themselves and make necessary arrangements to attend meetings, the notices and agendas of all general meetings were circulated in advance in compliance with MCCG and MMLR as illustrated as follows: -



Notes: -

⁽¹⁾ As recommended by Practice 13.1 of the MCCG.

⁽²⁾ As required by Paragraph 7.15 of the MMLR.

In view of the virtual conduct of the 8th AGM and UMs, the Board is cognisant of the importance to protect unitholders' personal data and privacy. In this regard, the Board sought confirmation from the Boardroom regarding its cyber hygiene practices. All Boardroom's Lumi AGM application system ("Lumi") and suppliers' services were developed by trained and highly skilled in-house developers in accordance to Open Worldwide Application Security Project ("OWASP") principles and are certified to the ISO/IEC 27001:2013 international standard. In addition, Lumi is hosted on a secured cloud platform and is regularly and extensively conducted with penetration testing by independent and accredited third-party experts. Lumi is also adopting strong and industry best-practice encryption techniques and audit trail to protect customers' data from unauthorised access.

The general meetings were attended by all Directors, demonstrating their commitment to engage with unitholders. During the general meetings, unitholders were given ample time and opportunity to submit questions through the RPEV platform, with all questions transparently displayed on screen for real-time visibility. The Board then addressed these questions and concerns in an adequate and effective manner. The Company Secretary and Senior Management also attended the general meetings to support the Board by providing additional clarification in response to the queries, if required.

The Board appointed Sky Corporate Services Sdn Bhd as the independent scrutineer to verify the poll results at the general meetings. Upon the conclusion of the general meetings, the outcomes of all proposed resolutions were duly announced to Bursa Securities on the same day. The minutes of the 8th AGM and UMs were published on KIP REIT's website at www.kipreit.com.my/annual-general-meeting and www.kipreit.com.my/investor-relations/unitholders-meeting within 30 business days after the conclusion of the meetings.

COMPLIANCE STATEMENT

Saved as disclosed above, the Board is of the view that KIP REIT has complied with and shall remain committed to attaining the highest possible corporate governance standards through the continuous adoption of the principles and best practices as set out in the MCCG and all other applicable laws, where applicable and appropriate. The Board will continue to improve and advance in corporate governance policies and procedures as necessary.

This CG Statement was reviewed and approved by the Board on 10 September 2025.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

Pursuant to Paragraph 15.26(b) of the MMLR, the Board is pleased to present the Statement on Risk Management and Internal Control, which outlines the main features and scope of KIP REIT's risk management and internal control system for the FYE 2025. This statement is prepared in accordance with the Practice 10.1 and 10.2 of the MCCG and is guided by the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers issued by Bursa Securities and Guidelines on Listed Real Estate Investment Trusts issued by Securities Commission Malaysia.

BOARD RESPONSIBILITIES

The Board holds the ultimate responsibility over KIP REIT's risk management and internal control system. Guided by the Board Charter, the Board is responsible for reviewing the adequacy and effectiveness of KIP REIT's internal control framework and ensuring that all identified risks are appropriately managed to safeguard unitholders' investments, stakeholders' interests and KIP REIT's assets.

In this regard, the Board has established an ongoing process for reviewing and assessing KIP REIT's risk management and internal control system in alignment with its risk appetite and tolerance level in this dynamic business environment. To ensure an effective discharge of responsibility, the Board is supported by the ARMC to regularly oversee and monitor the effectiveness and adequacy of the risk management and internal control system.

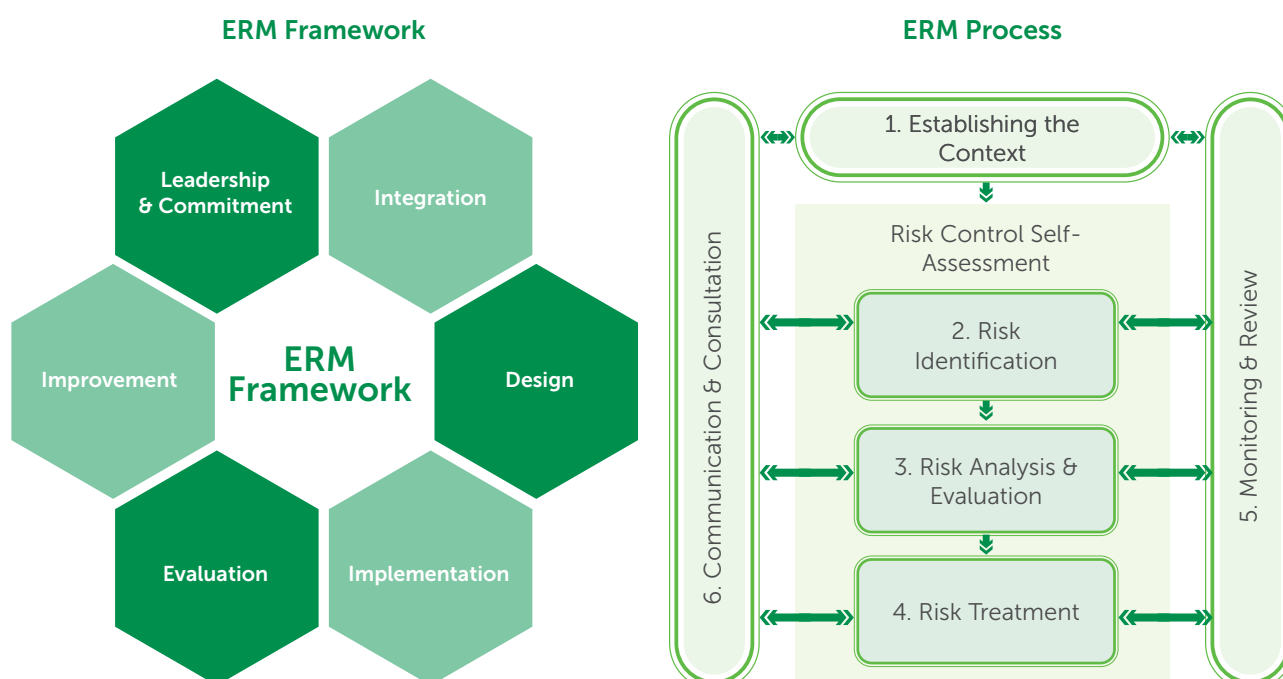
Given the inherent limitations of any risk management and internal control system, such system is designed to identify and manage risks within an acceptable level, rather than eliminate them. As such, it can only provide reasonable but not absolute assurance of its effectiveness against any material financial misstatements, losses, fraud or any unforeseeable events. Nevertheless, the Board, together with the ARMC, is committed to strengthening KIP REIT's risk management and internal control system to uphold a culture of resilience and strong governance.

MAIN FEATURES OF RISK MANAGEMENT SYSTEM

The Board recognises that effective risk management is essential in today's dynamic business environment. In response, the Board has adopted an ERM system in accordance with ISO 31000:2018, an internationally recognised standard issued by the International Organisation for Standardisation ("ISO") that sets out a structured and systematic framework for effective risk management.

KIP REIT's Directors and employees are guided by the ERM Standard Operating Manual, which provides a comprehensive description and procedures of the ERM system. All risks identified by the ARMC are recorded in the Risk Register to facilitate ongoing reviews with appropriate mitigation plans, ensuring that the risks are managed within acceptable levels.

The overview of KIP REIT's ERM framework and process are illustrated as below: -



STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

MAIN FEATURES OF RISK MANAGEMENT SYSTEM (CONT'D)

Both the ERM framework and process are interconnected. In particular, the ERM framework delineates the approaches adopted by KIP REIT to integrate ERM within the organisation, while the ERM process outlines the overall procedures for identifying, managing and addressing risks.

The ERM framework is built upon six (6) key components and is fundamentally driven by the leadership direction and decision-making of the Board and Senior Management. In demonstrating leadership and setting the tone from the top, the Board is responsible for defining KIP REIT's risk appetite and tolerance levels to ensure alignment with its risk management objectives. This direction ensures the integration of ERM into KIP REIT's governance, strategic planning, and operational processes. Additionally, the Board shall instil the Management's accountability and oversight in embedding the ERM framework to ensure its overall efficiency and effectiveness.

Meanwhile, the remaining four (4) components, i.e. design, implementation, evaluation and improvement, refer to the key elements and procedures in the ERM framework to ensure its relevance to KIP REIT's business nature and the industry in which it operates in.

With the adoption of ERM framework, the Board has implemented a 6-step ERM process, covering stages from establishing the context to communication and consultation. Firstly, the Board, together with the ARMC, establishes a common understanding on the basis in which the risk management activities operate in. In this phase, the Board and ARMC shall consider both KIP REIT's internal and external environment in order to determine the strategic and organisational context, risk management context, risk evaluation criteria and stakeholder identification.

Next, the Board and the ARMC undertake a set of risk control self-assessment process within the context established earlier. All the potential and existing risks related to KIP REIT are identified and documented in the Risk Register and subsequently analysed for their likelihood and impact by aligning the existing control within KIP REIT. These results are then documented in the Risk Heat Map, Risk Register and Corporate Risk Profile.

If the Board and ARMC determine that existing control is inadequate, an appropriate risk treatment strategy will be developed to address the identified risks. These may include risk avoidance, risk reduction, risk sharing and risk acceptance. As part of this process, the Board and ARMC will perform a cost-benefit analysis to select the most suitable risk treatment approach, ensuring that it brings the expected protection/impact within the desired risk tolerance level.

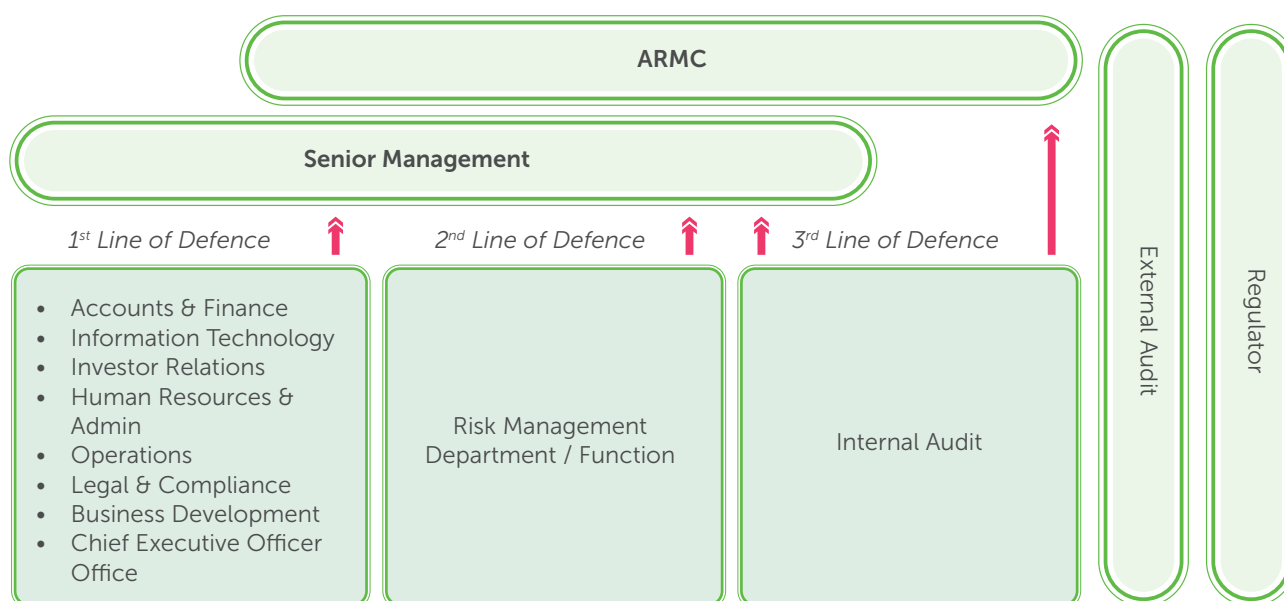
Subsequently, the Risk Register is reviewed quarterly by the Board and ARMC to ensure that identified risks reflect the current business environment and that the risk responses remain effective to address the relevant risks within the acceptable tolerance levels. Each Head of Department is responsible for maintaining risk records within their purview and regularly reporting to the Legal and Compliance Manager, who in turn reports to the ARMC.

Lastly, the Board and ARMC shall ensure that communication and consultation are consistently present throughout the implementation of the ERM framework. This continuous engagement promotes a common understanding among stakeholders regarding KIP REIT's risk management framework and overall risk appetite. Where necessary, risk related training sessions will be conducted to enhance employees' risk management knowledge and awareness.

On 19 August 2024, the SC revised the Guidelines on Technology Risk Management to broaden its scope to include technology risks with immediate effect. In response, the Manager has formalised a Technology Risk Management Framework. To support the effectiveness of the disaster recovery planning, the Manager also implemented the IT disaster recovery exercise, which involved the upgrading of its existing IT system to enhance resilience.

MAIN FEATURES OF RISK MANAGEMENT SYSTEM (CONT'D)

ERM Governance Structure



To ensure an effective risk management, the Board has established a governance structure to oversee the implementation of the ERM system within the organisation. Under this governance structure, whilst the Board is supported by the External Auditor and governed by the local regulator, it has also established three (3) lines of defence, as illustrated in the figure above.

The first (1st) line of defence, which also known as operational management, refers to the controls implemented at operational levels, where each department/function is responsible for managing its respective risks within its purview.

The second (2nd) line of defence refers to the risk management department/function, which is tasked to monitor risk management practices and performance within the organisation. They are also empowered to facilitate the top-down communication of risk information to relevant stakeholders. The Risk Management Working Group, led by both the Managing Director and Executive Director/CEO, conducted quarterly review of the Risk Register and provides regular updates to the ARMC during the scheduled ARMC meetings, including any emerging risks that may be identified.

The third (3rd) line of defence consists of the Internal Auditor, who provides independent assurance on the effectiveness of KIP REIT's governance as well as risk management and internal control system which are supported by the 1st and 2nd lines of defence. The Internal Auditor plays a critical role in the governance of the ERM framework by evaluating and examining the existing controls to identify any internal control deficiencies that require improvement and enhancement.

Both the Senior Management and the ARMC serve as the governing bodies to oversee KIP REIT's risk management activities. Senior Management is responsible for monitoring all three (3) lines of defences, while the ARMC oversees the internal audit function directly. Additionally, the ARMC reviews the adequacy of KIP REIT's risk appetite and tolerance level on an annual basis. The Board, serving as the ultimate governing body, remains dedicated to reviewing KIP REIT's risk management system regularly or as and when necessary.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

MAIN FEATURES OF INTERNAL CONTROL SYSTEM

The Board is cognisant of the importance of sound internal control to support the effective functioning of the risk management system. In this regard, the ARMC is entrusted with overseeing the effectiveness of internal control activities, while the Management is accountable for the implementation of internal control practices into the daily operations. In the event if any significant internal control deficiencies are identified, the ARMC shall highlight such issues to the Board.

The key features of KIP REIT's internal control system include: -

Operational Controls

(a) SOPs

To ensure smooth functioning of operations, the Board has established several policies and/or procedures which serve as the guidance for all employees in managing of KIP REIT's portfolio.

The Board acknowledges that regular reviews and continuous improvements on SOPs are essential to remain current and relevant with the latest business environment which KIP REIT operates. During the financial year under review, the Board has introduced a new SOP alongside revisions to some existing SOPs as follows: -

Introduction of New SOP

1. Employee Performance Management Policy

Amendments on Existing SOPs

1. Payroll Processing Policy
2. KRM & KPS Employee Handbook
3. KRM ED and C-Suite Handbook

(b) Business Continuity Plan ("BCP")

The Manager, as a CMSL holder, is required to maintain a business continuity arrangement for the assurance of timely resumption and continuation of core activities in the event of any operational disruption. In this regard, the Manager has in place a BCP across all KIP REIT's portfolio. In compliance with the Securities Commission Malaysia's Guiding Principles on Business Continuity, the Manager had on 15 May 2025 conducted an annual BCP test and reported such outcome to the Board for review and approval.

Financial Controls

(a) Five-Year Strategic Plan

In the stewardship of KIP REIT, the Manager has maintained a Five-Year Strategic Plan that provides a clear strategic direction in portfolio management, taking into account the evolving business environment. The plan outlines the strategic targets for KIP REIT's growth, both organically by leveraging on its current competitive advantage and inorganically via acquisition opportunities. The Board, through the ARMC, reviewed KIP REIT's actual performance against the targets set in the Five-Year Strategic Plan on a half yearly basis.

(b) Annual Budget

KIP REIT's annual budget is prepared through a target-setting process that carried out by each department with detailed reviews at all operational levels. The preparation of the annual budget is also further guided by the Five-Year Strategic Plan. Throughout FYE 2025, the Manager is guided by the annual budget approved by the Board in managing KIP REIT's portfolio and making appropriate decision-making. The Management will report to the Board and ARMC on the variance noted between actual financial performance and the approved annual budget during scheduled meetings on a quarterly basis.

(c) Related Party Transactions ("RPTs")

The ARMC conducted review of the RPTs entered or to be entered into by KIP REIT on a quarterly basis to ensure that all RPTs are conducted at arm's length basis under normal commercial terms with proper disclosure made to Bursa Securities.

During the financial year under review, KIP REIT did not seek any mandate from its unitholders in relation to the approval of Recurrent Related Party Transactions ("RRPT").

MAIN FEATURES OF INTERNAL CONTROL SYSTEM (CONT'D)

Compliance Controls

The Board recognises that regular reviews and continuous improvements to governance policies are essential for upholding integrity, strengthening ethical conduct, and ensuring alignment with current regulatory requirements and industry best practices. During the financial year under review, the Board demonstrated its commitment to robust governance through strategic policy development and systematic enhancement of existing frameworks.

(a) Policies

As part of its governance strengthening initiatives, the Board focused on enhancing its policy framework during the financial year through the introduction of new policies and comprehensive review of existing ones. These policy developments ensure that KIP REIT's governance framework remains current, robust, and aligned with evolving regulatory expectations:

Introduction of New Policies

1. Directors' Conflict of Interest Policy

Enhancements to Existing Policies

1. ABC Policy
2. Gifts, Hospitality, Donations and Similar Benefits Policy
3. Employees' Conflict of Interest Policy
4. Whistleblowing Policy

(b) Anti-bribery Management System ("ABMS")

Building on its established compliance framework, KIP REIT continued to operate its comprehensive ABMS during the financial year. This system operates through a structured governance framework, with the Compliance Officer providing quarterly progress updates that are regularly reviewed by both the ARMC and the Board.

(c) Annual Compliance Plan

In line with recommendations from the Internal Auditor, KIP REIT has established a formal annual compliance planning process. The comprehensive annual compliance plan is presented to both the ARMC and the Board for approval on an annual basis, ensuring strategic oversight and alignment with KIP REIT's risk management framework and regulatory obligations.

(d) Compliance Training Program

To reinforce compliance awareness across the organisation, KIP REIT also implemented a structured Compliance Training Program. This program features annual refresher training sessions for all employees, providing comprehensive coverage of key compliance areas including anti-bribery and anti-corruption requirements, updates on enhanced policies and procedures, employees' code of conduct, and personal data protection obligations.

Through this systematic approach to training and awareness, KIP REIT ensures that all personnel maintain current understanding of their compliance obligations, thereby supporting the organisation's commitment to maintaining the highest standards of corporate governance and ethical conduct.

Investment Controls

At KIP REIT, ISC holds overall responsibility for the operation and administration of investment, acquisition and divestment. The ISC is supported by the Investment Steering Working Group ("ISWG"), led by the Chief Investment Officer. A set of prescribed criteria is used by the ISC to assess for investment proposals and conduct due diligence process to ensure alignment with KIP REIT's strategic objectives. The ISC's findings, which outline the merits and risks of the investment proposals, are reported directly to the Board for consideration and approval. In the case of related party transactions, the findings are first presented to the ARMC for review and approval before being submitted to the Board.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

INTERNAL AUDIT FUNCTION

The Manager outsourced its internal audit function to an independent professional firm, Baker Tilly Monteiro Heng Governance Sdn Bhd ("Internal Auditor"), to assist the Board and ARMC in providing independent assessment on the overall adequacy and effectiveness of KIP REIT's internal control system.

During FYE 2025, as outlined in the approved internal audit plan, the Internal Auditor conducted four (4) internal audit reviews and four (4) follow-up reviews in the following operational areas: -

Internal Audit Coverage Area	Internal Audit Cycle
Human Resource & Compensation Management	Q1, FYE 2025
Compliance Review – Corporate Liability Obligations	
Follow-up Review on Mall Operation – Billing and Credit Control Management and Leasing & Tenant Management	
Follow-up Review of Investment Management and Legal and Compliance Management	
Mall Operation – Tenant Performance, Customer Complaint, Incident Reporting Management	Q3, FYE 2025
Mall Operation – Security and Safety & Health Management	
Follow-up Review on Human Resource & Compensation Management and Compliance Review – Corporate Liability Obligations	
Follow-up Review on previous pending issues as per Follow-up Audit Report issued in October 2024	

Following the completion of audit reviews, the Internal Auditor reported directly to the ARMC by presenting the audit findings along with the proposed corrective actions at the ARMC meetings. The Management was then responsible for implementing the recommended corrective actions to address the identified issues within the stipulated timeframe. The Internal Auditor subsequently conducted follow-up review on the implementation of these corrective actions and reports the outcomes to the ARMC.

Based on the internal audit review conducted during FYE 2025, the Board, through the ARMC, is satisfied that there were no significant weaknesses identified that would result in material losses, contingencies or uncertainties requiring separate disclosure in this Annual Report.

The total professional fees incurred for the outsourced internal audit function for the FYE 2025 amounted to RM88,000.

MANAGEMENT'S ASSURANCE

The Executive Director / Chief Executive Officer, representing the Management, have provided the Board with reasonable assurance that KIP REIT's risk management and internal control system operated adequately and effectively in all material respects throughout the financial year under review and up to the date of approval of this statement.

During FYE 2025, no significant internal control deficiencies or material weaknesses were identified that resulted in material losses, contingencies or uncertainties would require separate disclosure in this Annual Report. The Board is of the view that the existing system is satisfactory and adequate to safeguard unitholders' investments, stakeholders' interests and KIP REIT's assets.

REVIEW OF THIS STATEMENT BY THE EXTERNAL AUDITOR

Pursuant to Paragraph 15.23 of the MMLR, the External Auditor has reviewed this statement. The External Auditor's review was performed in accordance with the Audit and Assurance Practice Guide 3 issued by the MIA. Audit and Assurance Practice Guide 3 does not require the External Auditor to consider whether this statement covers all risks and controls or to form an opinion on the adequacy and effectiveness of KIP REIT's risk management and internal control system.

This statement was reviewed and approved by the Board on 10 September 2025.

INVESTOR RELATIONS AND CORPORATE COMMUNICATIONS

At KIP REIT, the Manager acknowledges that open and transparent communication is essential to fostering trust, building value and instilling confidence among stakeholders. We believe that timely and accurate information provides our stakeholders with meaningful insights and enables them to make informed decisions aligned with their interests and objectives.

As such, the Manager has established a corporate communication framework that outlines the engagement approach and frequency for each stakeholders' group, catering to different levels of engagement and information required. The framework is reviewed annually by the Board to ensure the effectiveness of communication channels adopted by the Manager. By engaging stakeholders through various communications channels shown in the following sections, the Manager gains a better understanding of the stakeholders' expectations.

Press Release and Media Coverage

In line with our commitment to transparent communication and fostering strong relationships with stakeholders, the Manager actively engages with the investment community through press releases. This initiative offers a valuable platform to share comprehensive insights into our business developments, trends, challenges and future prospects.

During the FYE 2025, the Manager, through the Investor Relations ("IR") Team, has shared our financial performance and achievements via the following press releases published on Bursa Securities: -

Date	Title
25 July 2024	KIP REIT Announces 25.2% Increase in NPI to RM77.8 million for FY2024
21 October 2024	KIP REIT Posts 19.4% Growth in NPI and Declares 1.52 sen DPU For Q1FY25
21 January 2025	KIP REIT Reports Robust Q2FY25 Performance With 32.7% Revenue Growth
23 January 2025	KIP REIT Unitholders Approve RM98.3 million Acquisitions
21 April 2025	KIP REIT's Revenue Soars 61.1%

In addition to the press releases announced on Bursa Securities, we have leveraged broader media exposure through newspaper publications such as Berita Harian, Berita Kini, Bernama, Business Times, Business Today, China Press, Dagang News, EdgeProp, eNanyang, Oriental Daily, Sin Chew Daily, The Edge, The Malaysian Reserve, The Star, The Sun and Utusan Malaysia. These media releases are accessible on our company's website at <https://www.kipreit.com.my/newsroom>.

Equity Research via Bursa Research Incentive Scheme ("Bursa RISE")

KIP REIT is among the first batch of listed companies to participate in the Bursa RISE programme, which aims to enhance the visibility of listed companies and their trading activity through research coverage and marketing activities by engaging licensed research analysts.

During the FYE 2025, we continued to engage TA Securities Holdings Berhad ("TA Securities") and Affin Hwang Investment Bank Berhad ("Affin Hwang Investment") to improve our corporate profile through the dissemination of updates on KIP REIT's financial and operational performance, ensuring stakeholders were well-informed about our progress and overall market positioning. In addition, the IR Team and the Manager provided quarterly updates on KIP REIT's corporate profile presentation, portfolio status, prospects and outlook, as well as ESG initiatives at the Analyst and Fund Managers Meeting Day after the quarterly results announcements. We also organised one-on-one meetings with other analysts and fund managers, allowing for more focused discussions.

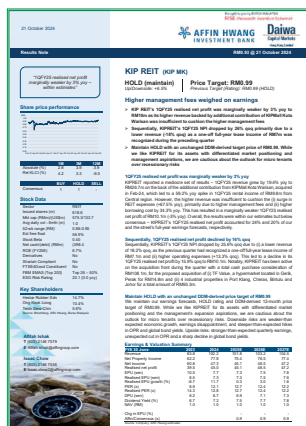
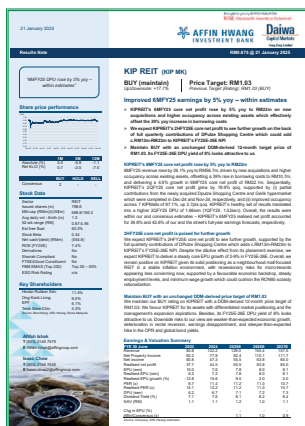
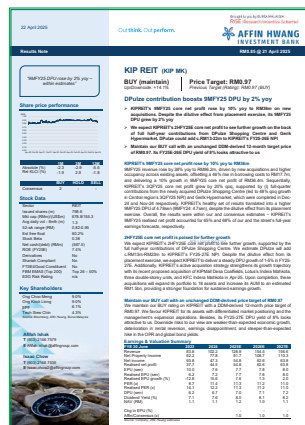
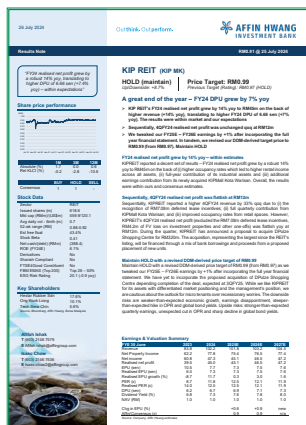
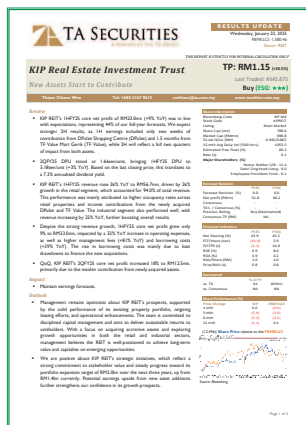
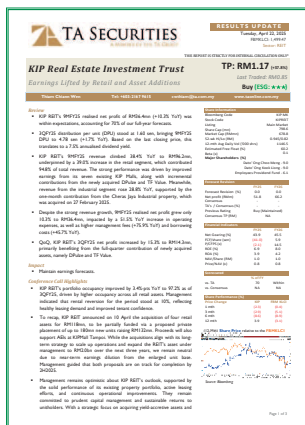
INVESTOR RELATIONS AND CORPORATE COMMUNICATIONS

Equity Research via Bursa Research Incentive Scheme ("Bursa RISE") (Cont'd)

The engagement events held during the FYE 2025 are shown as below: -

Date	Event
17 July 2024	One-on-one Meeting with Malacca Securities Sdn Bhd
25 July 2024	Analyst and Fund Managers Briefing on Q4 FYE 2024 Results
26 July 2024	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - Resilience of Essential Retail Amid Rising Living Costs" by TA Securities
26 August 2024	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - Acquiring Hypermarket in Gerik for RM14.8 million" by TA Securities
30 August 2024	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - Acquiring Four Industrial Properties for RM98.3 million" by TA Securities
20 September 2024	Virtual Meeting with Investment Analyst from Principal Asset Management Berhad
2 October 2024	KIP REIT's 8th AGM & EGM
22 October 2024	Analyst and Fund Managers Briefing on Q1 FYE 2025 Results
22 October 2024	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - Positioned for Accelerated Growth" by TA Securities
24 October 2024	Work-in-Progress Meeting with Ms. Lim Boon Boon (CFO)
11 November 2024	Small Group Meeting with Kenanga Research and Malaysian Timber Council
18 December 2024	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - Net Assets to Propel Growth" by TA Securities
19 December 2024	Virtual Meeting with Senior Analyst from TA Securities
21 January 2025	Analyst and Fund Managers Briefing on Q2 FYE 2025 Results
23 January 2025	KIP's EGM on Proposed Acquisition of four (4) Industrial Properties
4 February 2025	Interview by Starbiz Media
13 February 2025	One-on-one Meeting with Senior Analyst from TA Securities
27 February 2025	One-on-one Meeting with AIA
11 March 2025	One-on-one Meeting with CIMB Securities Sdn Bhd
19 March 2025	One-on-one Meeting with Equity Analyst from Hong Leong Asset Management Berhad
28 March 2025	One-on-one Meeting with Maybank Investment Research
8 April 2025	One-on-one Meeting with Research Analysts from Apex Securities, held as part of the Bursa RISE Programme Initiative
10 April 2025	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - Acquiring RM118.0 million Worth of Assets from Sponsor" by TA Securities
11 April 2025	Small Group Meeting and Site Visit with Kenanga Research and Doh Capital Sdn Bhd
21 April 2025	Analyst and Fund Managers Briefing on Q3 FYE 2025 Results
22 April 2025	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - Earnings Lifted by Retail and Asset Additions" by TA Securities
22 April 2025	Publication of Analyst Report entitled "DPulze Contribution Boosts 9MFY25 DPU by 2% YOY" by Affin Hwang Investment
30 April 2025	One-to-one Meeting with Research Analysts from Affin Hwang Investment
2 May 2025	Work-in-Progress Meeting with Ms Valerie Ong (CEO) and Ms Lim Boon Boon (CFO)
6 May 2025	One-on-one Meeting with UOB Kay Hian Securities (M) Sdn Bhd
22 June 2025	Participation by Ms Valerie Ong (CEO) as a panelist at Invest Fair Malaysia 2024 in the session titled "Are REITs Still a Smart Investment in 2025? Opportunities, Challenges & What's Next"

Equity Research via Bursa Research Incentive Scheme ("Bursa RISE") (Cont'd)



Analyst Reports by TA Securities and Affin Hwang

Malaysian REIT Managers Association ("MRMA")

As an active member of MRMA, KIP REIT participated in the *Malaysian REIT Forum 2024* held on 10 September 2024, organised by MRMA, to exchange insights on industry trends, regulatory updates, and best practices within the REIT industry.

INVESTOR RELATIONS AND CORPORATE COMMUNICATIONS

Quarterly Financial Results, Annual Report and Announcement Made via Bursa Securities

Pursuant to the Supplementary Trust Deed dated 29 September 2020 between the Trustee and the Manager, the issuance of reports and related documents has been digitalised, enhancing the timeliness of information dissemination.

KIP REIT provides timely and accurate disclosures, including quarterly financial results, annual reports, press releases, income distributions, changes in corporate information and etc through company announcements on Bursa Securities website. These announcements are also accessible on KIP REIT's website at <https://www.kipreit.com.my/investor-relations/bursa-announcements/>.

Both the quarterly financial results and annual report are prepared in accordance with the MMLR and REIT Guidelines to provide our stakeholders with comprehensive information on KIP REIT's financial and operational performance, business development and prospect. While we aim to maintain high level of transparency by disclosing as much information as possible, we are also mindful of the legal and regulatory framework governing the release of material and price-sensitive information.

General Meetings

During FYE 2025, KIP REIT convened both Eighth (8th) AGM and Unitholders' Meeting on 2 October 2024, followed by another Unitholders' Meeting on 23 January 2025. All meetings were conducted virtually.

The AGM serves as the principal forum for engagement between the Board and unitholders. It provides a platform for the Board to update unitholders on KIP REIT's strategic development and portfolio updates. The Board is also committed to addressing queries and providing clarity on matters of interest to unitholders. Through the AGM, unitholders are able to gain a better understanding on KIP REIT's strategic direction, performance and future prospects. Unitholders are encouraged to exercise their voting rights during the AGM to ensure their views are effectively represented. From the financial year ended 30 June 2021 ("FYE 2021") onwards, the Manager has conducted virtual AGM through live streaming and online voting via RPEV facilities to enhance accessibility and convenience for unitholders.

Whilst KIP REIT conducts the AGM every year, the Manager may call for Unitholders' Meetings for any specific situations that require attention and approval of unitholders beyond the AGM. On 2 October 2024, a Unitholders' Meeting was held to seek approval for the proposed acquisition of DPulze Shopping Centre and proposed private placement. Subsequently, on 23 January 2025, another Unitholders' Meeting was held to seek approval for the proposed acquisition of four (4) industrial properties. Unitholders were allowed to raise their queries or concerns and exercise their voting rights during the Unitholders' Meeting.

In adherence to Practice 13.1 of the MCCG, the Manager ensures that the notice of AGM is circulated to unitholders at least 28 days prior to the AGM. This allows the unitholders sufficient time to review the annual report and make necessary arrangements.

IR Portal and E-Mail

The messaging function on our company's website at <https://www.kipreit.com.my/contact/> and the email of IR Team (info@kipreit.com.my) provides an avenue for inquiries and encourages interactions with unitholders and/or other stakeholders. The IR Team will then address the queries/concerns accordingly.

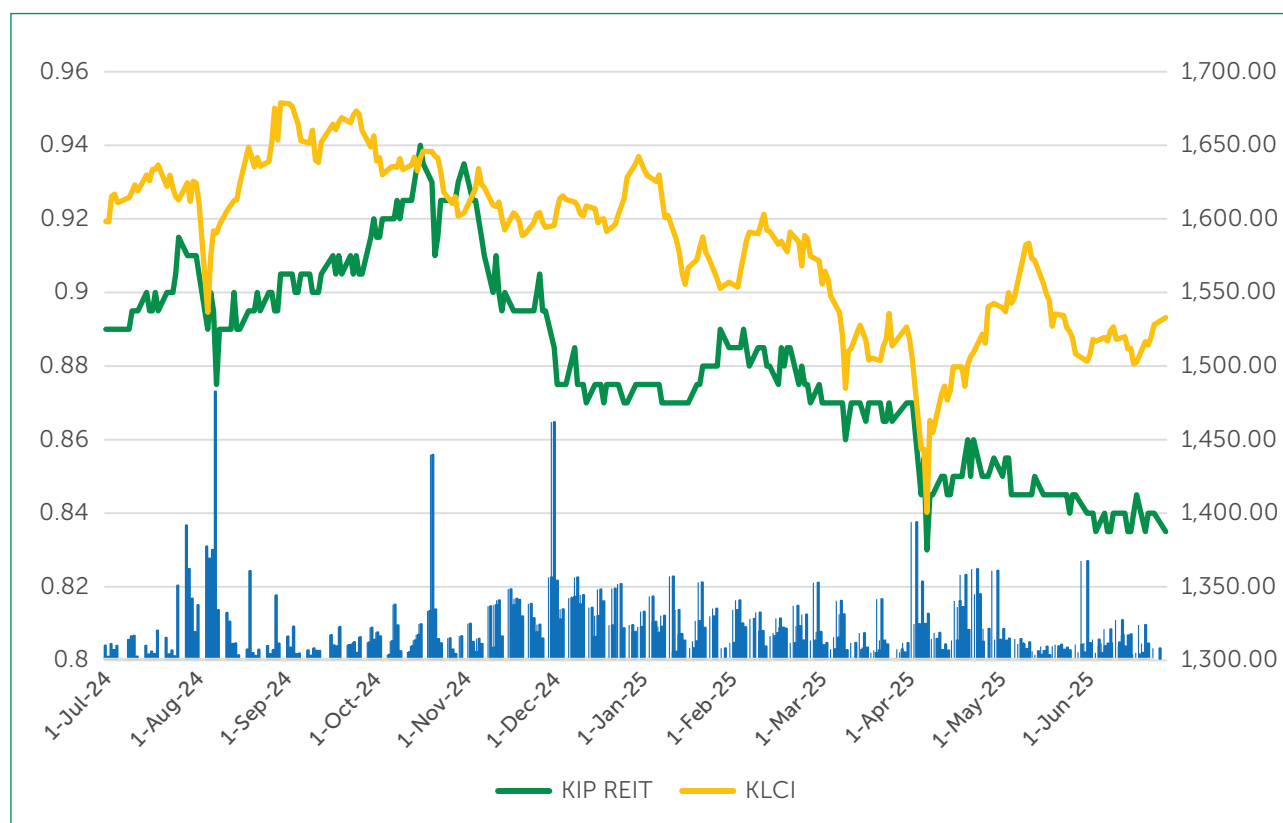
Trading Performance

	FYE 2021	FYE 2022	FYE 2023	FYE 2024	FYE 2025
Share Price as at 30 June (RM)	0.845	0.890	0.900	0.895	0.835
Highest Traded Share Price (RM)	0.910	0.920	0.920	0.910	0.945
Lowest Traded Share Price (RM)	0.790	0.820	0.880	0.885	0.820
NAV per Unit after income distribution (RM)	1.016	1.097	1.088	1.095	1.120
Total Trading Volume ('000)	52,697	132,604	113,146	132,672	276,903
Market Capitalisation ('000)	426,979	449,717	545,724	553,674	666,856
Total Units ('000)	505,300	505,300	606,360	618,630	798,630

Note: -

Source: Yahoo Finance & Company announcement on Bursa Securities website.

KIP REIT's Share Price Performance against KLCI's Performance



DIRECTORS' RESPONSIBILITY STATEMENT FOR PREPARATION OF THE FINANCIAL STATEMENTS

Pursuant to the Paragraph 15.26(a) of the MMLR, the Directors are pleased to report that the financial statements of KIP REIT for the FYE 2025 have been prepared in accordance with the applicable MFRS, IFRS, the Deeds, REIT Guidelines, the provisions of the CA 2016 and the MMLR.

The Directors are responsible for ensuring that the financial statements give a true and fair view of the state of affairs of KIP REIT as at the end of the financial year, as well as the financial performance and cash flows for the financial year then ended.

In preparing the financial statements for the FYE 2025, the Directors have: -

- applied appropriate accounting policies consistently;
- ensured compliance with the applicable accounting standards, including MFRS and IFRS, subject to any material departure being explained in the financial statements;
- made reasonable and prudent judgements and estimates; and
- ensured the financial statements have been prepared on a going concern basis.

The Directors are also responsible for ensuring that the proper accounting records and other relevant documentation for the preparation of financial statements are maintained with reasonable accuracy. Additionally, the Directors have overall responsibility for taking reasonable measures to safeguard KIP REIT's assets, detect and prevent fraud and other irregularities.

This statement was approved by the Board on 10 September 2025 .

MANAGER'S REPORT

The Manager of KIP Real Estate Investment Trust ("KIP REIT" or "Fund"), KIP REIT Management Sdn. Bhd. ("Manager"), is pleased to submit their report and audited financial statements of KIP REIT and its wholly-owned subsidiary, KIP REIT Capital Sdn. Bhd. ("Group") for the financial year ended 30 June 2025.

PRINCIPAL ACTIVITY OF THE MANAGER

The principal activity of the Manager is the management of KIP REIT. There has been no significant change in the nature of this activity during the financial year.

THE FUND AND ITS INVESTMENT OBJECTIVE

KIP REIT is a Malaysia-domiciled real estate investment trust ("REIT") established on 2 November 2016 pursuant to the deed of trust dated 2 November 2016, an amended and restated deed dated 12 December 2019, and a supplementary deed dated 29 September 2020 (collectively referred to as the "Deeds") between the Manager and Pacific Trustees Berhad ("Trustee"), listed on Main Market of Bursa Malaysia Securities Berhad ("Bursa Securities") on 6 February 2017 and regulated by the Securities Commission Act 1993, the Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines"), the Listing Requirements of Bursa Securities, the Rules of Bursa Malaysia Depository ("Depository") and taxation laws and rulings.

The principal investment policy of KIP REIT is to invest, directly and indirectly, in a portfolio of income producing real estate used for retail purposes, and for industrial or commercial purposes, including, without limiting the generality of the foregoing, warehousing facilities, logistic facilities and manufacturing sites as well as real estate-related assets. The nature of KIP REIT's investment shall be long-term, with a period of at least five years.

DISTRIBUTION OF INCOME

KIP REIT had declared distributions in the financial year as follows:-

- 1.522 sen per unit for the period from 1 July 2024 to 30 September 2024, which was paid on 26 November 2024.
- 1.180 sen per unit for the period from 1 October 2024 to 30 November 2024, which was paid on 23 December 2024.
- 0.480 sen per unit for the period from 1 December 2024 to 31 December 2024, which was paid on 28 February 2025.
- 1.600 sen per unit for the period from 1 January 2025 to 31 March 2025, which was paid on 30 May 2025.
- 2.018 sen per unit for the period from 1 April 2025 to 30 June 2025, which is payable on 29 August 2025.

RESERVES AND PROVISIONS

All material transfers to or from reserves and provisions during the financial year are shown in the financial statements.

DIRECTORS

The Directors who have served on the Board of the Manager, during the financial year and during the period from the end of the financial year to the date of this report are as follows:-

Datuk Dr Syed Hussain bin Syed Husman, PJN. JP
 Dato' Ong Kook Liong
 Datuk Mohamed Arsad bin Sehan
 Ong Pui Shan
 Chiam Tau Meng
 Ong Tzu Chuen

MANAGER'S REPORT

DIRECTORS' BENEFITS

During and at the end of the financial year, no arrangement subsisted to which the Manager is a party, with the object or objects of enabling the Directors of the Manager to acquire benefits by means of the acquisition of units in or debentures of KIP REIT or any other body corporate, other than as disclosed in Directors' interest.

For the financial year ended 30 June 2025, no Director has received or become entitled to receive a benefit (other than certain directors receive remuneration as a result of their employment with the Manager or related corporations).

DIRECTORS' INTEREST

The following Directors of the Manager who held office at the end of the financial year had, according to the register of unit holdings in KIP REIT, interests in the units of KIP REIT as follows:-

	Number of units			Balance at 30.06.2025
	Balance at 01.07.2024	Addition	Disposal /Transferred	
Datuk Dr Syed Hussain bin Syed Husman, PJN. JP				
Direct	60,000	-	-	60,000
Dato' Ong Kook Liong				
Direct	62,486,283	9,100,000	-	71,586,283
Indirect	3,878,492	-	(200,000)	3,678,492
Datuk Mohamed Arsad bin Sehan				
Direct	300,000	-	-	300,000
Ong Pui Shan				
Direct	200,000	3,610,000	-	3,810,000
Ong Tzu Chuen				
Indirect	120,857,000	-	(109,000,000)	11,857,000

Other than as disclosed above, the other Directors who held office at the end of the financial year did not have interests in the units of KIP REIT.

OTHER INFORMATION ON THE FINANCIAL STATEMENTS

Before the financial statements of the Group and of the Fund were prepared, the Manager took reasonable steps:-

- to ascertain that proper action had been taken in relation to the writing off of bad debts and the making of provision for doubtful debts and satisfied themselves that all known bad debts had been written off and that adequate provision had been made for doubtful debts; and
- to ensure that any current assets, which were unlikely to realise in the ordinary course of business including the value of current assets as shown in the accounting records of the Group and of the Fund had been written down to an amount which the current assets might be expected so to realise.

At the date of this report, the Manager is not aware of any circumstances:-

- which would render the amounts written off for bad debts or the amount of the provision for doubtful debts in the financial statements of the Group and of the Fund inadequate to any substantial extent; or
- which would render the values attributed to current assets in the financial statements of the Group and of the Fund misleading; or
- which have arisen which render adherence to the existing method of valuation of assets or liabilities of the Group and of the Fund misleading or inappropriate.

OTHER INFORMATION ON THE FINANCIAL STATEMENTS (CONT'D)

No contingent or other liability has become enforceable or is likely to become enforceable within the period of twelve (12) months after the end of the financial year which, in the opinion of the Manager, will or may affect the ability of the Group or of the Fund to meet its obligations when they fall due.

At the date of this report, there does not exist:-

- (a) any charge on the assets of the Group and of the Fund which has arisen since the end of the financial year which secures the liability of any other person; and
- (b) any contingent liability of the Group and of the Fund which have arisen since the end of the financial year.

At the date of this report, the Manager is not aware of any circumstances not otherwise dealt with in this report or the financial statements of the Group and of the Fund which would render any amount stated in the respective financial statements misleading.

In the opinion of the Manager:-

- (a) the results of the Group's and of the Fund's operations during the financial year were not substantially affected by any item, transaction or event of a material and unusual nature; and
- (b) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of the operations of the Group and of the Fund for the financial year in which this report is made.

MATERIAL LITIGATION

The Manager is not aware of any material litigation as at the date of statement of financial position and up to the date of this report.

SOFT COMMISSION

There was no soft commission received by the Manager and/or its delegates during the financial year.

CIRCUMSTANCES THAT MATERIALLY AFFECT THE INTERESTS OF UNITHOLDERS

There are no circumstances which materially affect the interests of the unitholders.

INDEMNITY FOR AUDITORS

To the extent permitted by law, the Manager has agreed to indemnify its auditors, PricewaterhouseCoopers PLT, as part of the terms of its audit engagement against claims by third parties arising from the audit (for an unspecified amount). No payment has been made to indemnify PricewaterhouseCoopers PLT for the financial year ended 30 June 2025.

AUDITORS

The auditors, PricewaterhouseCoopers PLT (LLP0014401-LCA & AF 1146), have expressed their willingness to continue in office.

Signed on behalf of the Board of the Manager in accordance with a resolution of the Directors of the Manager dated 10 September 2025.

DATO' ONG KOOK LIONG
MANAGING DIRECTOR

ONG PUI SHAN
EXECUTIVE DIRECTOR /
CHIEF EXECUTIVE OFFICER

STATEMENT BY THE MANAGER

In the opinion of the Directors of the Manager, the financial statements set out on pages 312 to 363 are drawn up in accordance with the provisions of the Deeds, the REIT Guidelines, applicable securities laws, Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Group and of the Fund as at 30 June 2025 and of their financial performance and cash flows for the financial year ended 30 June 2025.

Signed on behalf of the Board of the Manager in accordance with a resolution of the Directors of the Manager dated 10 September 2025.

DATO' ONG KOOK LIONG
MANAGING DIRECTOR

ONG PUI SHAN
EXECUTIVE DIRECTOR /
CHIEF EXECUTIVE OFFICER

STATUTORY DECLARATION

I, Lim Boon Boon, the Chief Financial Officer, primarily responsible for the financial management of KIP Real Estate Investment Trust, do solemnly and sincerely declare that the financial statements set out on pages 312 to 363 are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true, and by virtue of the provisions of the Statutory Declarations Act, 1960.

LIM BOON BOON
(MIA No.: 45180)

Subscribed and solemnly declared by the abovenamed Lim Boon Boon at Kuala Lumpur in the State of Federal Territory on 10 September 2025.

Before me:

COMMISSIONER FOR OATHS

TRUSTEE'S REPORT

TO THE UNITHOLDERS OF KIP REAL ESTATE INVESTMENT TRUST

(Established in Malaysia)

We have acted as Trustee of KIP Real Estate Investment Trust ("KIP REIT" or "Fund") for the financial year ended 30 June 2025. In our opinion and to the best of our knowledge, KIP REIT Management Sdn. Bhd. ("Manager") has managed KIP REIT during the period covered by these financial statements, set out on pages 312 to 363, in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the deed of trust dated 2 November 2016, an amended and restated deed dated 12 December 2019, and a supplementary deed dated 29 September 2020, the Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts and the applicable securities laws.

We have ensured the procedures and processes employed by the Manager to value and price the units of KIP REIT are adequate and that such valuation/pricing is carried out in accordance with the Deeds and other regulatory requirements.

We also confirm the income distributions declared during the financial year ended 30 June 2025 are in line with and are reflective of the objectives of KIP REIT. Income distributions have been declared for the financial year ended 30 June 2025 as follows:

- 1.522 sen per unit for the period from 1 July 2024 to 30 September 2024, which was paid on 26 November 2024.
- 1.180 sen per unit for the period from 1 October 2024 to 30 November 2024, which was paid on 23 December 2024.
- 0.480 sen per unit for the period from 1 December 2024 to 31 December 2024, which was paid on 28 February 2025.
- 1.600 sen per unit for the period from 1 January 2025 to 31 March 2025, which was paid on 30 May 2025.
- 2.018 sen per unit for the period from 1 April 2025 to 30 June 2025, which is payable on 29 August 2025.

For and on behalf of the Trustee,
PACIFIC TRUSTEES BERHAD

MOHD RADZUAN BIN AHMAD TAJUDDIN
Chief Executive Officer

Kuala Lumpur,
Date: 10 September 2025

INDEPENDENT AUDITORS' REPORT

TO THE UNITHOLDERS OF KIP REAL ESTATE INVESTMENT TRUST (ESTABLISHED IN MALAYSIA)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Our opinion

In our opinion, the financial statements of KIP Real Estate Investment Trust ("the Fund") and its subsidiary ("the Group") give a true and fair view of the financial position of the Group and of the Fund as at 30 June 2025, and of their financial performance and their cash flows for the financial year then ended in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards.

What we have audited

We have audited the financial statements of the Group and of the Fund, which comprise the statements of financial position as at 30 June 2025 of the Group and of the Fund, and the statements of comprehensive income, statements of changes in net asset value and statements of cash flows of the Group and of the Fund for the financial year then ended, and notes to the financial statements, including material accounting policies, as set out on pages 312 to 363.

Basis for opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the "Auditors' responsibilities for the audit of the financial statements" section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and other ethical responsibilities

We are independent of the Group and of the Fund in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Our audit approach

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the financial statements of the Group and of the Fund. In particular, we considered where the Directors of the Manager made subjective judgements; for example, in respect of significant accounting estimates that involved making assumptions and considering future events that are inherently uncertain. As in all of our audits, we also addressed the risk of management override of internal controls, including among other matters, consideration of whether there was evidence of bias that represented a risk of material misstatement due to fraud.

We tailored the scope of our audit in order to perform sufficient work to enable us to provide an opinion on the financial statements as a whole, taking into account the structure of the Group and of the Fund, the accounting processes and controls, and the industry in which the Group and the Fund operate.

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONT'D)

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of the Fund for the current financial year. These matters were addressed in the context of our audit of the financial statements of the Group and of the Fund as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
Fair value of investment properties The Group's and the Fund's accounting policy is to carry its investment properties at fair value. As at 30 June 2025, the carrying amount of the Group's and the Fund's investment properties amounted to RM1,484.8 million. During the financial year ended 30 June 2025, the Group and the Fund recognised a gain on changes in fair value of investment properties amounting to RM61.8 million. The Group and the Fund engaged an independent external valuer to perform valuation of the investment properties using the income approach method. We focused on the valuation of the investment properties due to the magnitude of the balance and the significant judgement involved in determining the key assumptions used in the valuation model, i.e. capitalisation rates for term period and reversionary period. Refer to Note 3(b) on Material Accounting Policies, Note 4 Critical Accounting Estimates and Judgements and Note 6 Investment Properties.	We evaluated the competence, qualification and experience as well as the independence of the external valuer engaged by management. We discussed with the independent external valuer on the methodology and key assumptions used in the valuation model. We also discussed with the valuer to understand the factors considered in adjusting the inputs. We checked the rental rates, rental term and net lettable area used in the valuation, on a sample basis, to the underlying lease agreements. We assessed the reasonableness of key assumptions used by the independent external valuer in the valuation model i.e. capitalisation rates for term period and reversionary period to comparable real estate investment trusts, outgoing expense, allowance of void, car park income and other income to historical trends. We assessed the appropriateness of the sensitivity analysis performed on a reasonably possible change in capitalisation rates for term period and reversionary period on the fair value of the investment properties. We assessed the adequacy of the disclosures in the Group's and the Fund's financial statements. Based on the above procedures performed, we did not identify any material exceptions.

Information other than the financial statements and auditors' report thereon

The Directors of the Manager are responsible for the other information. The other information comprises the 2025 Annual Report, the Manager's Report and the Trustee's Report, but does not include the financial statements of the Group and of the Fund and our auditors' report thereon.

Our opinion on the financial statements of the Group and of the Fund does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of the Fund, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Group and of the Fund or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

INDEPENDENT AUDITORS' REPORT

TO THE UNITHOLDERS OF KIP REAL ESTATE INVESTMENT TRUST (ESTABLISHED IN MALAYSIA)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONT'D)

Responsibilities of the Directors of the Manager for the financial statements

The Directors of the Manager are responsible for the preparation of the financial statements of the Group and of the Fund that give a true and fair view in accordance with the provisions of the deed of trust dated 2 November 2016, an amended and restated deed dated 12 December 2019, and a supplementary deed dated 29 September 2020, the Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts, applicable securities laws, Malaysian Financial Reporting Standards and International Financial Reporting Standards. The Directors of the Manager are also responsible for such internal control as the Directors of the Manager determine is necessary to enable the preparation of financial statements of the Group and of the Fund that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of the Fund, the Directors of the Manager are responsible for assessing the Group's and the Fund's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors of the Manager either intend to liquidate the Group or the Fund or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of the Fund as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- (a) Identify and assess the risks of material misstatement of the financial statements of the Group and of the Fund, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- (b) Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and of the Fund's internal control.
- (c) Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors of the Manager.
- (d) Conclude on the appropriateness of the Directors of the Managers' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's or on the Fund's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Group and of the Fund or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group or the Fund to cease to continue as a going concern.
- (e) Evaluate the overall presentation, structure and content of the financial statements of the Group and of the Fund, including the disclosures, and whether the financial statements of the Group and of the Fund represent the underlying transactions and events in a manner that achieves fair presentation.
- (f) Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the Group's financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONT'D)

Auditors' responsibilities for the audit of the financial statements (cont'd)

We communicate with the Directors of the Manager regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Directors of the Manager with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the Directors of the Manager, we determine those matters that were of most significance in the audit of the financial statements of the Group and of the Fund for the current financial year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

OTHER MATTERS

This report is made solely to the unitholders of the Fund and for no other purpose. We do not assume responsibility to any other person for the content of this report.

PRICEWATERHOUSECOOPERS PLT
LLP0014401-LCA & AF 1146
Chartered Accountants

Kuala Lumpur
10 September 2025

CHONG TZE JIUN
03763/07/2027 J
Chartered Accountant

STATEMENTS OF FINANCIAL POSITION

AS AT 30 JUNE 2025

		Group		Fund	
	Note	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Non-current assets					
Equipment	5	1,374	1,406	1,374	1,406
Investment properties	6	1,484,820	1,054,523	1,484,820	1,054,523
Right of use assets	8	1,009	1,278	1,009	1,278
Other non-current assets	9	15,974	-	15,974	-
Deferred lease incentives	9	9,180	7,077	9,180	7,077
Total non-current assets		1,512,357	1,064,284	1,512,357	1,064,284
Current assets					
Trade and other receivables	9	7,609	36,772	7,609	36,772
Cash and bank balances	10	57,081	34,892	41,806	24,153
Total current assets		64,690	71,664	49,415	60,925
Total assets		1,577,047	1,135,948	1,561,772	1,125,209
Financed by:					
Unitholders' fund					
Unitholders' capital	11	730,496	583,626	730,496	583,626
Retained earnings		163,655	94,003	163,655	94,003
Total unitholders' fund		894,151	677,629	894,151	677,629
Non-current liabilities					
Borrowings	12	606,373	109,457	-	-
Payables and accruals	13	22,482	12,185	617,983	120,589
Lease liabilities	8	768	1,071	768	1,071
Total non-current liabilities		629,623	122,713	618,751	121,660
Current liabilities					
Borrowings	12	16,403	313,869	12,000	-
Payables and accruals	13	36,567	21,504	36,567	325,687
Lease liabilities	8	303	233	303	233
Total current liabilities		53,273	335,606	48,870	325,920
Total liabilities		682,896	458,319	667,621	447,580
Total unitholders' fund and liabilities		1,577,047	1,135,948	1,561,772	1,125,209
Net asset value ("NAV")					
- before income distribution		939,634	717,126	939,634	717,126
- after income distribution		894,151	677,629	894,151	677,629
Number of units in circulation ('000 units)	11	798,630	618,630	798,630	618,630
NAV per unit (RM)					
- before income distribution		1.1766	1.1592	1.1766	1.1592
- after income distribution		1.1196	1.0954	1.1196	1.0954

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF COMPREHENSIVE INCOME

FOR THE FINANCIAL YEAR ENDED 30 JUNE 2025

	Note	Group and Fund	
		2025 RM'000	2024 RM'000
Lease income		119,919	95,318
Revenue from contracts with customers		16,214	6,841
Gross revenue	14	136,133	102,159
Utilities expenses		(19,812)	(11,653)
Maintenance and housekeeping expenses		(4,901)	(2,856)
Marketing expenses		(715)	(403)
Quit rent and assessment		(2,547)	(2,058)
Reimbursement costs	15	(7,408)	(4,477)
Property manager fee		(192)	(170)
Other operating expenses		(3,735)	(2,725)
Property operating expenses		(39,310)	(24,342)
Net property income		96,823	77,817
Changes in fair value on investment properties	6	61,767	(4,230)
Interest income		1,132	857
Net investment income		159,722	74,444
Manager's management fee	16	(15,035)	(7,035)
Trustees' fee		(429)	(259)
Auditors' remuneration		(142)	(132)
Valuers' fee		(300)	(82)
Other trust expenses		(3,754)	(2,933)
Borrowing costs	17	(24,927)	(16,689)
Profit before taxation		115,135	47,314
Taxation	18	-	-
Profit after taxation		115,135	47,314
Other comprehensive income, net of tax		-	-
Total comprehensive income attributable to unitholders		115,135	47,314
Profit after taxation is made up as follows:			
Realised		51,265	44,467
Unrealised		63,870	2,847
		115,135	47,314
Basic earnings per unit (sen)	19	15.9424	7.7163
Diluted earnings per unit (sen)	19	15.9424	7.7163
Total comprehensive income		115,135	47,314
Distribution adjustments	20	(62,412)	(1,737)
Distributable income		52,723	45,577
Distribution per unit (sen)	20	6.8000	6.6650

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CHANGES IN NET ASSET VALUE

FOR THE FINANCIAL YEAR ENDED 30 JUNE 2025

	Note	Unitholders' capital RM'000	Retained earnings RM'000	Total unitholders' funds RM'000
Group and Fund				
As at 1 July 2024		583,626	94,003	677,629
Profit of the financial year		-	115,135	115,135
Total comprehensive income for the financial year attributable to unitholders		-	115,135	115,135
Unitholders' transactions				
Distribution to unitholders	20	-	(45,483)	(45,483)
Issuance and placement of units		148,500	-	148,500
Issuing expenses		(1,630)	-	(1,630)
Increase/(decrease) in net assets resulting from unitholders' transactions		146,870	(45,483)	101,387
As at 30 June 2025		730,496	163,655	894,151
Group and Fund				
As at 1 July 2023		573,785	86,186	659,971
Profit of the financial year		-	47,314	47,314
Total comprehensive income for the financial year attributable to unitholders		-	47,314	47,314
Unitholders' transactions				
Distribution to unitholders	20	-	(39,497)	(39,497)
Issuance and placement of units		10,000	-	10,000
Issuing expenses		(159)	-	(159)
Increase/(decrease) in net assets resulting from unitholders' transactions		9,841	(39,497)	(29,656)
As at 30 June 2024		583,626	94,003	677,629

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CASH FLOWS

FOR THE FINANCIAL YEAR ENDED 30 JUNE 2025

		Group		Fund	
	Note	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Cash flows from operating activities					
Profit before taxation		115,135	47,314	115,135	47,314
<i>Adjustments for:</i>					
Deferred lease incentives		(2,103)	(7,077)	(2,103)	(7,077)
Changes in fair value on investment properties	6	(61,767)	4,230	(61,767)	4,230
Interest expense on borrowings		24,538	16,399	186	397
Interest expense on advances from a subsidiary		-	-	24,352	16,002
Interest income		(1,132)	(857)	(1,132)	(857)
Interest expense on lease liabilities	8	53	36	53	36
Depreciation for right of use assets	8	269	196	269	196
Depreciation of equipment	5	562	554	562	554
Amortisation of transaction costs		389	290	389	290
Bad debts written off		106	59	106	59
Provision/(Reversal) for impairment on receivables		20	(47)	20	(47)
Operating income before changes in working capital		76,070	61,097	76,070	61,097
Net change in trade and other receivables		29,112	(27,926)	29,112	(27,926)
Net change in payables and accruals		25,360	3,634	25,411	3,583
Net cash generated from operating activities		130,542	36,805	130,593	36,754
Cash flows from investing activities					
Purchase of equipment	5	(530)	(440)	(530)	(440)
Additions of investment properties	6	(11,130)	(14,453)	(11,130)	(14,453)
Acquisition of investment properties	6	(357,400)	(80,000)	(357,400)	(80,000)
Deposit and other related acquisition cost		(15,974)	-	(15,974)	-
Placement of fixed deposit with maturity period of more than 3 months		(17)	(572)	(17)	(572)
Advances to a subsidiary		-	-	(6,211)	-
Interest received		1,057	808	1,057	808
Net cash used in investing activities		(383,994)	(94,657)	(390,205)	(94,657)
Cash flows from financing activities					
Proceeds from issuance of new units		148,500	10,000	148,500	10,000
Payment of issuing expenses		(1,630)	(159)	(1,630)	(159)
Interest paid on borrowings		(23,853)	(16,275)	(186)	(544)
Income distribution paid to unitholders	20	(45,483)	(39,497)	(45,483)	(39,497)
Interest paid on advances from a subsidiary		-	-	(23,667)	(15,731)
Repayment to a subsidiary		-	-	-	(3,308)
Interest paid on lease	8	(53)	(36)	(53)	(36)
Lease payment (principal portion)	8	(233)	(170)	(233)	(170)
Payment for transaction costs		(1,624)	(452)	-	-
Repayment on borrowings		-	(20,000)	-	(20,000)
Proceeds from borrowings		200,000	110,000	200,000	110,000
Net cash generated from financing activities		275,624	43,411	277,248	40,555

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CASH FLOWS

FOR THE FINANCIAL YEAR ENDED 30 JUNE 2025

	Note	Group		Fund	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Net increase/(decrease) in cash and cash equivalents		22,172	(14,441)	17,636	(17,348)
Cash and cash equivalents at beginning of the financial year		34,320	48,761	23,581	40,929
Cash and bank balances at end of the financial year	10	56,492	34,320	41,217	23,581
Cash in hand		-*	-*	-	-
Bank balances		34,213	12,009	33,941	11,213
Short term deposits placed with licensed bank		22,868	22,883	7,865	12,940
		57,081	34,892	41,806	24,153
Less: Deposit with maturity period of more than 3 months		(589)	(572)	(589)	(572)
Cash and cash equivalents		56,492	34,320	41,217	23,581
Pledged deposits		17,981	12,252	2,979	2,309

* Denotes RM2

The reconciliation of liabilities arising from financing activities is as follows:-

	Borrowings RM'000	Lease liabilities RM'000	Total RM'000
Group			
2025			
At 1 July 2024	423,326	1,304	424,630
<u>Cash flows:</u>			
Proceeds from borrowings	200,000	-	200,000
Payment of transaction costs	(1,624)	-	(1,624)
Interest paid on borrowings	(23,853)	-	(23,853)
Repayment of lease liabilities	-	(286)	(286)
<u>Non-cash changes:</u>			
Interest expense	24,538	53	24,591
Amortisation of transaction costs	389	-	389
At 30 June 2025	622,776	1,071	623,847

The accompanying notes form an integral part of the financial statements.

The reconciliation of liabilities arising from financing activities is as follows (Cont'd):-

	Borrowings RM'000	Lease liabilities RM'000	Total RM'000
Group (Cont'd)			
2024			
At 1 July 2023	333,217	-	333,217
<u>Cash flows:</u>			
Proceeds from borrowings	110,000	-	110,000
Repayment of borrowings	(20,000)	-	(20,000)
Payment of transaction costs	(452)	-	(452)
Interest paid on borrowings	(16,275)	-	(16,275)
Repayment of lease liabilities	-	(206)	(206)
<u>Non-cash changes:</u>			
Interest expense	16,399	36	16,435
Amortisation of transaction costs	437	-	437
Recognition of lease liabilities	-	1,474	1,474
At 30 June 2024	423,326	1,304	424,630

	Borrowings RM'000	Lease liabilities RM'000	Amount due to a subsidiary* RM'000	Total RM'000
Fund				
2025				
At 1 July 2024	-	1,304	412,638	413,942
<u>Cash flows:</u>				
Proceeds from borrowings	12,000	-	188,000	200,000
Advances to a subsidiary	-	-	(6,211)	(6,211)
Interest paid on borrowings	(186)	-	(23,667)	(23,853)
Repayment of lease liabilities	-	(286)	-	(286)
<u>Non-cash changes:</u>				
Interest expense	186	53	24,352	24,591
Amortisation of transaction costs	-	-	389	389
At 30 June 2025	12,000	1,071	595,501	608,572

* Included within payables and accruals in Note 13 to the financial statements.

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CASH FLOWS

FOR THE FINANCIAL YEAR ENDED 30 JUNE 2025

The reconciliation of liabilities arising from financing activities is as follows (Cont'd):-

	Borrowings RM'000	Lease liabilities RM'000	Amount due to a subsidiary* RM'000	Total RM'000
Fund (Cont'd)				
2024				
At 1 July 2023	20,000	-	305,385	325,385
<u>Cash flows:</u>				
Proceeds from borrowings	-	-	110,000	110,000
Repayment of borrowings	(20,000)	-	(3,308)	(23,308)
Interest paid on borrowings	(544)	-	(15,731)	(16,275)
Repayment of lease liabilities	-	(206)	-	(206)
<u>Non-cash changes:</u>				
Interest expense	544	36	16,002	16,582
Amortisation of transaction costs	-	-	290	290
Recognition of lease liabilities	-	1,474	-	1,474
At 30 June 2024	-	1,304	412,638	413,942

* Included within payables and accruals in Note 13 to the financial statements.

The presentation of the reconciliation of liabilities arising from financing activities of the Group and of the Fund have been enhanced by showing a detailed breakdown of cash flow items and non-cash changes to improve clarity. Accordingly, the comparative figures have been restated to reflect these changes. The changes made do not have an impact to the Group's and the Fund's financial position, results of operation and cash flows for the financial year ended 30 June 2024.

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1 GENERAL

KIP Real Estate Investment Trust ("KIP REIT" or "Fund") is a Malaysia-domiciled real estate investment trust ("REIT") established on 2 November 2016 pursuant to the deed of trust dated 2 November 2016, an amended and restated deed dated 12 December 2019, and a supplementary deed dated 29 September 2020 (collectively referred to as the ("Deeds")) between the KIP REIT Management Sdn. Bhd. ("Manager") and Pacific Trustees Berhad ("Trustee"), listed on Main Market of Bursa Malaysia Securities Berhad ("Bursa Securities") on 6 February 2017 and regulated by the Securities Commission Act 1993, the Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines"), the Listing Requirements of Bursa Securities, the Rules of Bursa Malaysia Depository ("Depository") and taxation laws and rulings. The addresses of the Manager's registered office and principal place of business are as follows:-

Registered office

Unit 27.2, Menara 1MK
Kompleks 1 Mont Kiara
No. 1 Jalan Kiara, Mont Kiara
50480 Kuala Lumpur, Malaysia

Principal place of business

Unit B-6, Blok B, Tingkat 6, Menara KIP
No. 1, Jalan Seri Utara 1
Sri Utara Off Jalan Ipoh
68100 Kuala Lumpur, Malaysia

The principal investment policy of KIP REIT is to invest, directly and indirectly, in a portfolio of income producing real estate used for retail purposes, and for industrial or commercial purposes, including, without limiting the generality of the foregoing, warehousing facilities, logistic facilities and manufacturing sites as well as real estate-related assets. The nature of KIP REIT's investment shall be long-term, with a period of at least five years.

The financial statements as at and for the financial year ended 30 June 2025 comprise KIP REIT and its wholly-owned subsidiary, KIP REIT Capital Sdn. Bhd. ("Group"), a company incorporated in Malaysia, of which the principal activity is to raise financing for and on behalf of KIP REIT.

The Manager's key objective is to provide unitholders with regular and stable distributions, sustainable long term Unit price and distributable income and capital growth, while maintaining an appropriate capital structure.

The financial statements were approved by the Board of Directors of the Manager with a resolution of the Board of Directors on 10 September 2025.

KIP REIT entered into several service agreements in relation to the management of KIP REIT and its property operations. The fee structures are as follows:-

(a) Property management fees

The property manager of KIP REIT, Nawawi Tie Leung Property Consultants Sdn. Bhd. is entitled to property management fee of RM16,782 per month (excluding sales and service tax). In addition, the property manager is also entitled to full disbursement of costs and expenses properly incurred in the operation, maintenance, management and marketing of the properties held by KIP REIT ("Permitted Expenses") as well as fees and reimbursements for Permitted Expenses payable to its service providers.

(b) Manager's management fees

Pursuant to the Deeds, the Manager is entitled to receive the following fees from KIP REIT, in the forms of cash, new Units or a combination thereof at the election of the Management Company in its sole discretion:-

- (i) a base fee ("Base Fee") of up to 1.0% per annum of the Total Asset Value of KIP REIT (excluding cash and bank balances which are held in non-interest bearing accounts).
- (ii) a performance fee ("Performance Fee") of up to 5.0% per annum of the Net Property Income of KIP REIT.

NOTES TO THE FINANCIAL STATEMENTS

1 GENERAL (CONT'D)

(b) Manager's management fees (Cont'd)

(iii) Acquisition Fee

1.0% of each of the following as is applicable (subject to there being no double-counting):

- (a) in relation to an acquisition (whether directly or indirectly through the Trustee or one or more Special Purpose Vehicle ("SPV") of KIP REIT) of any Real Estate or Real Estate-Related Assets, the transaction value (being the total purchase price) of any Real Estate or any Real Estate-Related Assets purchased by KIP REIT or its SPV (pro-rated, if applicable, to the proportion of KIP REIT's interest); or
- (b) in relation to an acquisition (whether directly or indirectly through one or more SPV of KIP REIT) of any SPV or holding entities which holds Real Estate, the underlying value of any Real Estate (pro-rated, if applicable, to the proportion of KIP REIT's interest).

Any payment to third party agents or brokers in connection with the acquisition of any Real Estate and Real Estate-Related Assets for KIP REIT shall not be paid by the Manager out of the acquisition fee received or to be received by the Manager (but shall be borne by KIP REIT).

For the avoidance of doubt, no acquisition fee is payable with respect to the acquisition of the Subject Properties in connection with the Listing of KIP REIT but acquisition fee is payable with respect to all other transactions (which includes related party and non-related party transactions), including acquisitions from the sponsor.

(iv) Divestment Fee

0.5% of each of the following as is applicable (subject to there being no double-counting):

- (a) in relation to a disposal (whether directly or indirectly through the Trustee or one or more SPV of KIP REIT) of any Real Estate or Real Estate-Related Assets, the transaction value (being the total sale price) of any Real Estate or Real Estate-Related Assets disposed of by KIP REIT or its SPV (pro-rated, if applicable, to the proportion of KIP REIT's interest); or
- (b) in relation to a disposal (whether directly or indirectly through one or more SPV of KIP REIT) of any SPV or holding entities which holds Real Estate, the underlying value of any Real Estate (pro-rated, if applicable, to the proportion of KIP REIT's interest).

Any payment to third party agents or brokers in connection with the sale or divestment of any Real Estate and Real Estate-Related Assets for KIP REIT shall not be paid by the Manager out of the divestment fee received or to be received by the Manager (but shall be borne by KIP REIT).

The Divestment Fee is payable with respect to all transactions (which includes related party and non-related party transactions), including divestments to the Promoters, as well as for compulsory acquisitions.

The payment of the Manager's management fee in the form of new Units will be in accordance with the following formula:

$$\text{New units to be issued as payment of the Manager's management fee} = \frac{\text{Manager's management fee payable in Units}}{\text{Market Price}}$$

1 GENERAL (CONT'D)

(b) Manager's management fees (Cont'd)

(iv) Divestment Fee (Cont'd)

For this purpose, "Market Price" means the volume weighted average market price of Units for the last 5 Market Days preceding the following events:

- (i) in respect of the Base Fee and Performance Fee, the announcement of the relevant quarterly reports; or
- (ii) in respect of the Acquisition Fee and Divestment Fee, the completion of the relevant acquisition/divestment,

(each a "Trigger Event").

With reference to any Book Closing Date, where the Trigger Event is before but the issuance of the new Units relating to such Trigger Event is after the said Books Closing Date, the Market Price will be further adjusted for the entitlement relating to such Books Closing Date.

The Manager will make immediate announcements to Bursa Securities disclosing the number of new Units issued and the Issue Price when new Units are issued as payment for Management Fee. Payment of the Management fees in Units shall be subject to KIP REIT complying with the public spread requirements stated in the Listing Requirements and there being no adverse implications under the Malaysian Code on Take-Overs and Mergers 2010.

(c) Trustee's fees

The Trustee fee payable is RM100,000 per annum payable upon the execution of the Deed for the first three years up to November 2019 and thereafter at such rate to be mutually agreed between the Manager and the Trustee. In any case, the annual trustee's fee in aggregate shall be up to the maximum rate of 0.05% per annum of the NAV of KIP REIT.

The trustee of KIP REIT Capital Sdn. Bhd., Malaysian Trustees Berhad, is entitled to receive a predetermined annual fixed fee.

2 BASIS OF PREPARATION

(a) Statement of compliance

The financial statements of the Group and the Fund have been prepared in accordance with the provisions of the Deeds, REIT Guidelines, Malaysian Financial Reporting Standards ("MFRS") and International Financial Reporting Standards.

The financial statements have been prepared under the historical cost convention except as disclosed in the material accounting policies.

The preparation of financial statements in conformity with MFRS requires the use of certain critical accounting estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the reported period. It also requires Directors of the Manager to exercise their judgement in the process of applying KIP REIT's accounting policies. Although these estimates and judgement are based on the Directors of the Manager's best knowledge of current events and actions, actual results could differ. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 4.

NOTES TO THE FINANCIAL STATEMENTS

2 BASIS OF PREPARATION (CONT'D)

(b) Standards that are effective and applicable

The Group and the Fund have applied the following standards and amendments for the first time for the financial year beginning on 1 July 2024:

- Amendments to MFRS 101 Classification of liabilities as current or non-current (2020 amendments) and Non-current Liabilities with Covenants (2022 amendments)
- Amendments to MFRS 16 Lease Liability in a Sale and Leaseback
- Amendments to MFRS 107 and MFRS 7 Supplier Finance Arrangements

The adoption of new standards and amendments listed above did not have any material impact on the financial statements in the current financial year or any prior period.

(c) Standards issued but not yet effective

The Group and the Fund intend to apply the following accounting standards, interpretation and amendments from the annual periods beginning on or after 1 July 2025:

The new standards and amendments to standards, and interpretations that are effective for the financial years on or after 1 July 2025 and are applicable to the Group and the Fund are as follows:

- Amendments to MFRS 121 Lack of Exchangeability (effective 1 January 2025)
- Amendments to MFRS 9 and MFRS 7 Amendments to the Classification and Measurement of Financial Instruments (effective 1 January 2026)
- Annual improvements to MFRS Accounting Standards for enhanced consistency (effective 1 January 2026)
- Amendments to MFRS 9 and MFRS 7 Contracts Referencing Nature-dependent Electricity (effective 1 January 2026)
- MFRS 18 Presentation and Disclosures in Financial Statements (effective 1 January 2027)
- MFRS 19 Subsidiaries without Public Accountability Disclosures (effective 1 January 2027)

The initial application of the above standards, amendments and interpretation are not expected to have any material financial impact on the Group's and the Fund's financial statements, except for MFRS 18 Presentation and Disclosures in Financial Statements.

MFRS 18 'Presentation and Disclosure in Financial Statements' (effective 1 January 2027) replaces MFRS 101 'Presentation of Financial Statements'. The new MFRS introduces a new structure of profit or loss statement.

- Income and expenses are classified into 3 new main categories:
 - Operating category which typically includes results from the main business activities;
 - Investing category that presents the results of investments in associates and joint ventures and other assets that generate a return largely independently of other resources; and
 - Financing category that presents income and expenses from financing liabilities.
- Entities are required to present two new specified subtotals: 'Operating profit or loss' and 'Profit or loss before financing and income taxes'.

Management-defined performance measures are disclosed in a single note and reconciled to the most similar specified subtotal in MFRS Accounting Standards.

Changes to the guidance on aggregation and disaggregation which focus on grouping items based on their shared characteristics.

3 MATERIAL ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to the period presented in these financial statements by KIP REIT.

(a) Consolidation

(i) Business combination under common control

KIP REIT applies predecessor accounting to account for business combinations under common control on 6 February 2017. Under the predecessor accounting, assets and liabilities acquired are not restated to their respective fair values but at the carrying amounts from the consolidated financial statements of the holding company. The difference between any consideration given and the aggregate carrying amounts of the assets and liabilities (at the date of the transaction) of the acquired business is recorded as an adjustment to retained earnings. No additional goodwill is recognised. Acquisition-related costs are expensed as incurred. The acquired business' results and the related statement of financial position items are recognised prospectively from the date on which the business combination between entities under common control occurred.

(ii) Subsidiary

Inter-company transactions, balances and unrealised gains on transactions between Group and Company are eliminated.

(ii) Investment in subsidiary

In the Fund's separate financial statements, investment in subsidiary is carried at cost less accumulated impairment losses. On disposal of investment in subsidiary, the difference between disposal proceeds and the carrying amount of the investment is recognised in statement of comprehensive income.

The amount due from subsidiary of which the Fund does not expect repayment in the foreseeable future are considered as part of the Fund's investment in the subsidiary.

(b) Investment properties

The fair value of the investment property reflects the market conditions at the reporting date. It reflects, among others, rental income from current leases and reasonable and supportable assumptions that represent what market participants would assume about rental income from future leases in the light of current conditions.

Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the Group and the Fund, and the cost of the item can be measured reliably. All other repairs and maintenance costs are expensed when incurred. When part of an investment property is replaced, the carrying amount of the replaced part is derecognised.

Changes in fair values are recognised in statement of comprehensive income for the period in which it arises.

NOTES TO THE FINANCIAL STATEMENTS

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(c) Equipment

Equipment are stated at cost less accumulated depreciation and accumulated impairment losses.

Cost of equipment includes purchase price and any directly attributable costs.

All other repairs and maintenance are charged to the statement of comprehensive income during the period in which they are incurred.

Equipment are depreciated on a straight line basis to write-off the cost of the assets to their expected residual values over their estimated useful lives, summarised as follows:-

Equipment and appliance	20%
Furniture and fittings	10%
Signage	30%
Office equipment	20%
Renovation	20%

Residual values and useful lives of assets are reviewed, and adjusted if appropriate, at each reporting date. The assessment of expected residual values and estimated useful lives of assets is carried out on an annual basis.

At each reporting date, the Group and the Fund assess whether there is any indication of impairment. If such indications exist, an analysis is performed to assess whether the carrying amount of the asset is fully recoverable. A write-down is made if the carrying amount exceeds the recoverable amount.

Gains and losses on disposals are determined by comparing net disposal proceeds with carrying amount and are included in net property income in the statement of comprehensive income.

(d) Financial assets

(i) Classification

The Group and the Fund have applied MFRS 9 and classified the financial assets at amortised cost.

(ii) Recognition and derecognition

Financial assets are recognised on trade date, the date which the Group and the Fund commit to purchase or sell the assets. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group and the Fund have transferred substantially all the risks and rewards of ownership.

(iii) Measurement

At initial recognition, the Group and the Fund measure a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss ('FVTPL'), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVTPL are expensed in the statement of comprehensive income.

Debt instrument

The Group and the Fund classify its debt instrument into financial assets at amortised cost.

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(d) Financial assets (Cont'd)

(iv) Subsequent measurement – Impairment

The Group and the Fund assess on a forward looking basis the expected credit loss ('ECL') associated with its debt instruments carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

While cash and cash equivalents are also subject to the impairment requirements of MFRS 9, the identified impairment loss was immaterial.

ECL represents a probability-weighted estimate of the difference between present value of cash flows according to contract and present value of cash flows the Group and the Fund expect to receive, over the remaining life of the financial instrument.

Simplified approach for trade receivables

The Group and the Fund apply the MFRS 9 simplified approach to measure ECL which uses a lifetime ECL for all trade receivables. Note 25.1(b) sets out the measurement details of ECL.

General 3-stage approach for other receivables and non-trade intercompany balances

At each reporting date, the Group and the Fund measure ECL through loss allowance at an amount equal to 12 month ECL if credit risk on a financial instrument or a group of financial instruments has not increased significantly since initial recognition. For all other financial instruments, a loss allowance at an amount equal to lifetime ECL is required. Note 25.1(b) sets out the measurement details of ECL.

Significant increase in credit risk

The Group and the Fund consider the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period. To assess whether there is a significant increase in credit risk, the Group and the Fund compare the risk of a default occurring on the asset as at the reporting date with the risk of default as at the date of initial recognition. It considers available reasonable and supportable forward-looking information.

Definition of default and credit-impaired financial assets

The Group and the Fund define a financial instrument as default, which is fully aligned with the definition of credit-impaired, when it meets the following criteria:

Quantitative criteria:

The Group and the Fund define a financial instrument as default, when the counterparty fails to make contractual payment within 90 days of when they fall due.

Write-off

i. Trade receivables

Trade receivables are written off when there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Group and the Fund, and/or legal action is taken against the debtor.

Impairment losses on trade receivables are presented as net impairment losses within net property income. Subsequent recoveries of amounts previously written off are credited against the same line item.

NOTES TO THE FINANCIAL STATEMENTS

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(d) Financial assets (Cont'd)

(iv) Subsequent measurement – Impairment (Cont'd)

Write-off (Cont'd)

ii. Other receivables

The Group and the Fund write off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded there is no reasonable expectation of recovery. The assessment of no reasonable expectation of recovery is based on unavailability of debtor's sources of income or assets to generate sufficient future cash flows to repay the amount. The Group and the Fund may write-off financial assets that are still subject to enforcement activity. Subsequent recoveries of amounts previously written off will result in impairment gains.

(e) Cash and cash equivalents

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash in hand, deposits held at call with licensed financial institutions, other short term and highly liquid investments with original maturities of three (3) months or less, that are readily convertible to known amounts of cash and which are subject to insignificant risk of changes in value.

(f) Unitholders' capital

An equity instrument is any contract that evidences a residual interest in the assets of the Group and the Fund after deducting all of its liabilities. Units are equity instruments.

Units are recorded at the proceeds received, net of directly attributable incremental transaction costs. Units are classified as equity. Distributions on units are recognised in equity in the period in which they are declared and authorised by the Trustee.

(g) Borrowings and borrowing costs

Borrowings are recognised initially at fair value, net of transaction costs incurred. In subsequent periods, borrowings are stated at amortised cost using the effective interest method; any difference between proceeds (net of transaction costs) and the redemption value is recognised in the statement of comprehensive income over the period of borrowings. Borrowings are classified as current liabilities unless the Group and the Fund have an unconditional right to defer settlement of the liability for at least twelve (12) months after the reporting date.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn-down. In this case, the fee is deferred until the draw-down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn-down, the fee is capitalised as a prepayment for liquidity and amortised over the period of the facility to which it relates.

All other borrowing costs are recognised in statement of comprehensive income in the period in which they are incurred.

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(h) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the performance of services in the ordinary course of the Group and the Fund's activities. Revenue is shown net of rebates and discounts.

Lease income on operating leases

Rental income is recognised in accordance with the accounting policy set out in Note 3(i)(i)(b).

Revenue from contracts with customers

Revenue which represents income from the Group and the Fund's principal activities within the ordinary course of business and is recognised by reference to each distinct performance obligation promised in the contract with customer when or as the Group and the Fund transfers the control of the goods or services promised in a contract and the customer obtains control of the goods or services. Depending on the substance of the respective contract with customer, the control of the promised goods or services may transfer over time or at a point in time.

Revenue from sales of utilities reimbursement is recognised when services are being rendered. The credits on utilities reimbursement from tenants can be deferred up to the point of utilisation, which such amounts are recognised as income. Credits of utilities are recognised as revenue when services are rendered.

Property related income and advertising income are included in other income and recognised in the accounting period in which the services being rendered.

Interest income

Interest income is recognised on an effective yield basis.

Interest income is calculated by applying the effective interest rate to the gross carrying amount of a financial asset except for financial assets that subsequently become credit-impaired. For credit-impaired financial assets the effective interest rate is applied to the net carrying amount of the financial asset (after deduction of the loss allowance).

(i) Leases

i) Recognition and measurement

(a) As a lessee

Leases are recognised as right-of-use ('ROU') asset and a corresponding liability at the date on which the leased asset is available for use (i.e. the commencement date).

In determining the lease term, facts and circumstances that create an economic incentive to exercise an extension option, or not to exercise a termination option are considered. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not to be terminated).

The lease term is reassessed upon the occurrence of a significant event or change in circumstances that is within the control of the Group and the Fund and affect whether the Group and the Fund are reasonably certain to exercise an option not previously included in the determination of lease term, or not to exercise an option previously included in the determination of lease term. A revision in lease term results in remeasurement of the lease liabilities.

Contracts may contain both lease and non-lease components. Consideration in the contract is allocated to the lease and non-lease components based on their relative standalone prices.

NOTES TO THE FINANCIAL STATEMENTS

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(i) Leases (Cont'd)

i) Recognition and measurement (Cont'd)

(a) As a lessee (Cont'd)

ROU assets

ROU assets are initially measured at cost comprising the amount of the initial measurement of lease liability.

ROU assets that are not investment properties are subsequently measured at cost, less accumulated depreciation and impairment loss (if any). The ROU assets are generally depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Group and the Fund are reasonably certain to exercise a purchase option, the ROU assets are depreciated over the underlying asset's useful life. In addition, the ROU assets are adjusted for certain remeasurement of the lease liabilities.

Lease liabilities

Lease liabilities are initially measured at the present value of the lease payments that are not paid at that date.

(b) As a lessor

As a lessor, the Group and the Fund determine at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group and the Fund make an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset to the lessee. As part of this assessment, the Group and the Fund consider certain indicators such as whether the lease is for the major part of the economic life of the asset.

Operating leases

The Group and the Fund classify a lease as an operating lease if the lease does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset to the lessee.

The Group and the Fund recognise lease payments received under operating lease as lease income on a straight-line basis over the lease term.

When assets are leased out under an operating lease, the asset is included in the lessor's statement of financial position based on the nature of the asset.

Rental income on operating leases is recognised over the term of the lease on a straight-line basis. Rental income is shown net of rebates and discounts. Rental income includes base rent, percentage rent and other rent related income from tenants. Base rent is recognised on a straight-line basis over the lease term. Percentage rent is recognised based on sales reported by tenants. When the Group and the Fund provide incentives or rebates to the tenants, the cost of incentives or rebates is recognised over the lease term, on a straight-line basis, as a reduction of rental income. Initial direct cost incurred by the Group and the Fund in negotiating and arranging an operating lease is recognised as an asset and amortised over the lease term on the same basis as the rental income.

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(i) Leases (Cont'd)

i) Recognition and measurement (Cont'd)

(b) As a lessor (Cont'd)

Operating leases (Cont'd)

Rental rebates offered to tenants by the Group and the Fund which are not based on terms contained in the original tenancy agreements are accounted for as a lease modification, as the rebate has changed the total lease consideration. The rental rebates are treated as a new operating lease from the effective date of modification, where lease income based on the revised total lease consideration is recognised over the remaining lease term on a straight-line basis.

Rental of concession space such as promotional areas is recognised on a straight-line basis over the lease term.

Separating lease and non-lease components

If an arrangement contains lease and non-lease components, the Group and the Fund allocate the consideration in the contract to the lease and non-lease components based on the stand-alone selling prices in accordance with the principles in MFRS 15 "Revenue from Contracts with Customers".

(j) Functional and presentation currency

Items included in the financial statements of the Fund are measured using the currency of the primary economic environment in which the Fund operates ("functional currency"). The financial statements are presented in Ringgit Malaysia, which is the Fund's functional and presentation currency.

(k) Earnings per unit

The Group's and the Fund's earnings per Unit ("EPU") are presented on basic and diluted format.

Basic EPU is calculated by dividing the profit or loss attributable to unitholders of the Group and the Fund by the weighted average number of Units outstanding during the period.

Diluted EPU is determined by adjusting the comprehensive income attributable to unitholders against the weighted average number of units outstanding adjusted for the effects of all dilutive potential units.

(l) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the senior management team.

The senior management team, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Chief Executive Officer and the Chief Financial Officer of the Manager that makes strategic decisions.

(m) Net asset value ("NAV") disclosed in statement of financial position

In accordance with the REIT Guidelines, NAV is the value of the Group's and the Fund's assets less the value of the Group's and the Fund's liabilities.

NOTES TO THE FINANCIAL STATEMENTS

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(n) Recognition of distribution of income to unitholders

Distribution of income should only be made from realised gains or realised income in accordance with REIT Guidelines.

Distribution of income should be made after the Manager has taken into consideration the total returns for the period, income for the period, cash flow for distribution, stability and sustainability of income and the investment objective and distribution policy of the Group and the Fund.

Liability is recognised for the amount of any distribution declared, being appropriately authorised and no longer at the discretion of the Group and the Fund, on or before the end of the reporting period but not distributed at the end of the reporting period.

Distribution adjustments made in accordance with the REIT Guidelines are disclosed in Note 20.

(o) Realised and unrealised profit or loss analysis in statement of comprehensive income

In accordance with the REIT Guidelines, a charge or a credit to the statement of comprehensive income is deemed as realised when it is resulted from the consumption of resource of all types and form, regardless of whether it is consumed in the ordinary course of business or otherwise. A resource may be consumed through sale or use.

Where a credit or a charge to the statement of comprehensive income upon initial recognition or subsequent measurement of an asset or a liability is not attributed to consumption of resource, such credit or charge should be deemed as unrealised until the consumption of resource could be demonstrated. Unrealised profit or loss comprises mainly the changes in fair value on investment properties.

4 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

Estimates and judgements are continually evaluated by the Directors of the Manager and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The Group and the Fund make estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, rarely equal the related actual results. To enhance the information content of the estimates, certain key variables that are anticipated to have material impact to the Group's and the Fund's results and financial position are tested for sensitivity to changes in the underlying parameters. The estimates and assumptions that may have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are outlined below.

(a) Significant assumptions for estimation of fair value of investment properties

Investment properties are stated at fair value based on valuations performed by Rahim & Co International Sdn. Bhd. ("the Valuers"). The Valuers are independent professional valuers who hold a recognised relevant professional qualification and has recent experience in the locations and categories of the investment properties valued.

The significant assumptions underlying estimation of fair value of investment properties are those related to capitalisation rates for term period and reversionary period, outgoing expense, allowance of void, car park income and other income.

The valuations are compared with actual market yield data, actual transactions and those reported by the market, when available. Assumptions used are mainly based on market conditions existing at each reporting date.

Sensitivity analysis on fair value of investment properties as valued by the Valuers is disclosed in Note 6.

5 EQUIPMENT

	Equipment and appliance RM'000	Furniture and fittings RM'000	Signage RM'000	Office equipment RM'000	Renovation RM'000	Total RM'000
Group and Fund						
Cost						
As at 1 July 2024	1,658	846	408	760	431	4,103
Additions	280	30	37	171	12	530
As at 30 June 2025	1,938	876	445	931	443	4,633
Accumulated depreciation						
As at 1 July 2024	1,191	395	332	425	354	2,697
Depreciation charge for the financial year	238	86	28	150	60	562
As at 30 June 2025	1,429	481	360	575	414	3,259
Carrying amounts						
As at 30 June 2025	509	395	85	356	29	1,374
Group and Fund						
Cost						
As at 1 July 2023	1,455	826	323	644	415	3,663
Additions	203	20	85	116	16	440
As at 30 June 2024	1,658	846	408	760	431	4,103
Accumulated depreciation						
As at 1 July 2023	938	311	319	292	283	2,143
Depreciation charge for the financial year	253	84	13	133	71	554
As at 30 June 2024	1,191	395	332	425	354	2,697
Carrying amounts						
As at 30 June 2024	467	451	76	335	77	1,406

NOTES TO THE FINANCIAL STATEMENTS

6 INVESTMENT PROPERTIES

	Group and Fund	
	2025 RM'000	2024 RM'000
Valuation per valuer's report	1,494,000	1,061,600
Less: Deferred lease incentives	(9,180)	(7,077)
	<u>1,484,820</u>	<u>1,054,523</u>
As at 1 July	1,054,523	964,300
Acquisitions	357,400	80,000
Additions	11,130	14,453
Fair value gain/(loss)	61,767	(4,230)
As at 30 June	<u>1,484,820</u>	<u>1,054,523</u>

One of the acquisition of investment properties, Industrial Property Lot 35, during the financial year at a consideration of RM22.6 million is a related party transaction where the transaction price of the acquisition is on a willing-buyer and willing-seller basis.

The title deeds to the investment properties' land are currently being held in trust by the trustees. All the investment properties, except for KIPMall Senawang, TFVG and CR35, with a total carrying amount of RM1,275 million (2024: RM931 million), are pledged as securities for borrowings as disclosed in Note 12.

Investment properties are stated at fair value based on valuations performed by independent registered valuers, ("the Valuers"), who hold a recognised relevant professional qualification and have relevant experience in valuing investment properties.

Based on the valuation reports dated 30 June 2025 issued by the Valuers, the fair values of the investment properties as at 30 June 2025 were RM1,494.0 million (2024: RM1,061.6 million).

Fair value is determined based on income approach method using Level 3 inputs (defined as unobservable inputs for asset or liability) in the fair value hierarchy of MFRS 13 'Fair Value Measurement'. Under the income approach method, the fair value of the investment properties is derived from an estimate of the market rental which the investment properties can reasonably be let for. Rental evidence may be obtained from actual passing rents commanded by the investment properties if they are tenanted. Outgoings, such as quit rent and assessment, utilities costs, reimbursable manpower costs, repair and maintenance, insurance premium, asset enhancement initiatives as well as management expenses, are then deducted from the rental income. Thereafter, the net annual rental income is capitalised at an appropriate current market yield to arrive at its fair value. Changes in fair value are recognised in the statement of comprehensive income during the period in which they are reviewed.

There has been no change to the valuation techniques used during the financial year.

In assessing the provision of deferred tax assets and liabilities on the fair value gain or loss arising from investment properties, the Manager considers the business model and the objective of KIP REIT. No deferred tax assets or liabilities are recognised because KIP REIT is expected to consume substantially all economic benefits through generation of rental income and these income will be subject to income tax at prevailing rate. However, since KIP REIT has distributed more than 90% of its total income as disclosed in Note 18, the expected tax rate levied will be zero.

6 INVESTMENT PROPERTIES (CONT'D)

The Level 3 inputs or unobservable inputs include:-

Term rental	the expected rental that the investment properties are expected to achieve and is derived from the current passing rental, (including revision upon renewal of tenancies during the year which is part of passing rental);
Reversionary rental	the expected rental that the investment properties are expected to achieve upon expiry of term rental;
Other income	comprises percentage rent, advertising income and others;
Outgoings	comprises quit rent and assessment, utilities costs, reimbursable manpower costs, repair and maintenance, insurance premium, asset enhancement expense and management expenses;
Capitalisation rate	based on actual location, size and condition of the investment properties and taking into account market data at the valuation date based on the Valuers' knowledge of the factors specific to the investment properties;
Allowance for void	refers to allowance provided for vacancy periods.

The valuation techniques and significant unobservable inputs used in determining the fair value measurement of Level 3 financial instruments as well as the relationship between significant unobservable inputs and fair value, is detailed in the table below:

Description of valuation technique and inputs used	Significant unobservable inputs	Inter-relationship between significant unobservable inputs and fair value measurement
Income approach involves capitalisation of the net annual income stream that is expected to be received from the property after deducting the annual outgoing and other operating expenses incidental to the property with allowance for void by using an appropriate market derived discount rate.	- Term capitalisation rate of 6.00% to 7.00% (2024: 6.25% to 6.50%) - Reversionary capitalisation rate of 6.50% to 7.50% (2024: 6.75% to 7.00%) - Allowance for void of 5% to 10% (2024: 5% to 10%) - Average term rental per square feet of RM1.00 to RM8.96 (2024: RM1.00 to RM8.90), based on the property being valued. - Average reversionary rental per square feet of RM1.20 to RM9.58 (2024: RM1.20 to RM9.01) - Outgoings per square feet of RM0.00 to RM2.50 (2024: RM0.01 to RM1.90), based on the type, size and location of the property being valued.	The estimated fair value would increase/(decrease) if: - Term capitalisation rate was lower/ (higher) - Reversionary capitalisation rate was lower/(higher) - Allowance for void was lower/(higher) - Rental per square feet increase/ (decrease)

6 INVESTMENT PROPERTIES (CONT'D)

The fair value measurements using Level 3 inputs as at 30 June 2025 are as follows:-

Group and Fund

Property	Valuation technique	Fair value RM'000	Parameters				Sensitivity analysis on fair value measurements*	
			Term Capitalisation rate %	Reversionary Capitalisation rate %	Outgoings RM psf	Allowance for void %	Impact of lower rate RM'000	Impact of higher rate RM'000
KIPMall Tampoi ("KMT")	Income approach	193,000	7.00	7.25	1.70	5.00	7,000	(6,000)
KIPMall Kota Tinggi ("KMKT")	Income approach	65,000	6.50	7.00	1.90	5.00	2,000	(2,000)
KIPMall Masai ("KMM")	Income approach	197,000	7.00	7.25	1.90	5.00	7,000	(6,000)
KIPMall Senawang ("KMSNW")	Income approach	30,000	6.50	7.00	1.50	5.00	1,000	(1,000)
KIPMall Melaka ("KMMLK")	Income approach	66,000	6.50	7.00	1.55	5.00	2,000	(1,000)
KIPMall Bangi ("KMBG")	Income approach	132,000	6.50	7.00	0.90	5.00	5,000	(4,000)
KIPMall Kota Warisan ("KMKW")	Income approach	103,000	6.50	7.00	1.80	5.00	3,000	(3,000)
DPulze Shopping Centre ("DPULZE")	Income approach	328,000	6.00	6.50	2.50	5.00	7,000	(7,000)
AEON Mall Kinta City ("AMKC")	Income approach	258,000	6.50	6.75	0.15	10.00	10,000	(9,000)
TF Value-Mart Gerik ("TFVG")	Income approach	17,000	7.00	7.50	-	5.00	1,000	(1,000)
Industrial Property Lot 5 ("KV 5")	Income approach	28,000	6.50	7.00	0.01	10.00	1,000	(1,000)
Industrial Property Lot 9 ("KV 9")	Income approach	29,000	6.50	7.00	0.01	10.00	1,000	(1,000)
Industrial Property Lot 3A ("KV 3A")	Income approach	25,000	6.50	7.00	0.01	10.00	1,000	(1,000)
Industrial Property Lot 35 ("CR35")	Income approach	23,000	6.50	6.75	-	10.00	-	(1,000)
		<u>1,494,000</u>					<u>48,000</u>	<u>(44,000)</u>

* Changes to capitalisation rates during the committed tenancy period ("term") and reversion periods by 25 basis points.

6 INVESTMENT PROPERTIES (CONT'D)

The details of the investment properties as at 30 June 2025 are as follows:-

Group and Fund

Property	Date of acquisition	Date of valuation	Location	Tenure	Expiry date of leasehold land	Occupancy rates as at 30.06.2025 %	Fair value as at 30.06.2025 RM'000	Cost of investment properties RM'000	Percentage of fair value to NAV*1 as at 30.06.2025 %
KMT	06.02.2017	30.06.2025	Johor	Leasehold	24.09.2092	96.46	193,000	150,000	21.58
KMKT	06.02.2017	30.06.2025	Johor	Freehold	-	95.07	65,000	55,000	7.27
KMM	06.02.2017	30.06.2025	Johor	Leasehold	28.12.2108	95.94	197,000	157,000	22.03
KMSNW	06.02.2017	30.06.2025	Seremban	Freehold	-	96.07	30,000	38,000	3.36
KMMLK	06.02.2017	30.06.2025	Melaka	Leasehold	17.11.2112	97.51	66,000	50,000	7.38
KMBG	06.02.2017	30.06.2025	Selangor	Leasehold	14.07.2093	93.91	132,000	130,000	14.76
KMKW	08.02.2024	30.06.2025	Selangor	Freehold	-	100.00	103,000	80,000	11.52
DPULZE	12.12.2024	30.06.2025	Selangor	Freehold	-	100.00	328,000	320,000	36.68
AMKC	31.07.2019	30.06.2025	Perak	Freehold	-	100.00	258,000	208,000	28.85
TFVG	14.11.2024	30.06.2025	Perak	Leasehold	03.10.2112	100.00	17,000	14,800	1.90
KV5	14.12.2022	30.06.2025	Selangor	Leasehold	24.02.2097	100.00	28,000	27,000	3.13
KV9	14.12.2022	30.06.2025	Selangor	Leasehold	24.02.2097	100.00	29,000	28,000	3.24
KV3A	14.12.2022	30.06.2025	Selangor	Leasehold	24.02.2097	100.00	25,000	23,700	2.80
CR35	26.02.2025	30.06.2025	Selangor	Leasehold	30.12.2098	100.00	23,000	22,600	2.57
							<u>1,494,000</u>	<u>1,304,100</u>	

Notes:-

*1 Based on NAV after income distribution.

6 INVESTMENT PROPERTIES (CONT'D)

The fair value measurements using Level 3 inputs as at 30 June 2024 are as follows:-

Group and Fund

Property	Valuation technique	Fair value RM'000	Parameters				Sensitivity analysis on fair value measurements*	
			Term Capitalisation rate %	Reversionary Capitalisation rate %	Outgoings RM psf	Allowance for void %	Impact of lower rate RM'000	Impact of higher rate RM'000
KMT	Income approach	181,000	6.50	7.00	1.90	5.00	13,000	(11,000)
KMKT	Income approach	59,000	6.25	6.75	1.90	5.00	4,000	(4,000)
KMM	Income approach	187,000	6.50	7.00	1.80	5.00	14,000	(12,000)
KMSNW	Income approach	25,000	6.50	7.00	1.05	10.00	2,000	(2,000)
KMMLK	Income approach	60,000	6.50	7.00	1.30	5.00	5,000	(3,000)
KMBG	Income approach	128,000	6.50	7.00	0.90	5.00	9,000	(9,000)
KMKW	Income approach	88,000	6.50	7.00	1.60	5.00	7,000	(6,000)
AMKC	Income approach	254,000	6.25	6.75	0.18	10.00	20,000	(17,000)
KV5	Income approach	27,200	6.50	7.00	0.01	10.00	2,000	(1,700)
KV9	Income approach	28,300	6.50	7.00	0.01	10.00	2,100	(1,800)
KV3A	Income approach	24,100	6.50	7.00	0.01	10.00	1,800	(1,500)
		<u>1,061,600</u>					<u>79,900</u>	<u>(69,000)</u>

* Changes to capitalisation rates during the committed tenancy period ("term") and reversion periods by 50 basis points.

The details of the investment properties as at 30 June 2024 are as follows:-

Group and Fund

Property	Date of acquisition	Date of valuation	Location	Tenure	Expiry date of leasehold land	Occupancy rates as at 30.06.2024 %	Fair value as at 30.06.2024 RM'000	Cost of investment properties RM'000	Percentage of fair value to NAV* ¹ as at 30.06.2024 %
KMT	06.02.2017	30.06.2024	Johor	Leasehold	24.09.2092	98.16	181,000	150,000	26.71
KMKT	06.02.2017	30.06.2024	Johor	Freehold	-	94.25	59,000	55,000	8.71
KMM	06.02.2017	30.06.2024	Johor	Leasehold	28.12.2108	97.19	187,000	157,000	27.60
KMSNW	06.02.2017	30.06.2024	Seremban	Freehold	-	30.36	25,000	38,000	3.69
KMMLK	06.02.2017	30.06.2024	Melaka	Leasehold	17.11.2112	97.57	60,000	50,000	8.85
KMBG	06.02.2017	30.06.2024	Selangor	Leasehold	14.07.2093	87.45	128,000	130,000	18.89
KMKW	08.02.2024	30.06.2024	Selangor	Freehold	-	98.89	88,000	80,000	12.99
AMKC	31.07.2019	30.06.2024	Perak	Freehold	-	100.00	254,000	206,813	37.48
KV5	14.12.2022	30.06.2024	Selangor	Leasehold	24.02.2097	100.00	27,200	27,000	4.01
KV9	14.12.2022	30.06.2024	Selangor	Leasehold	24.02.2097	100.00	28,300	28,000	4.18
KV3A	14.12.2022	30.06.2024	Selangor	Leasehold	24.02.2097	100.00	24,100	23,700	3.56
							<u>1,061,600</u>	<u>945,513</u>	

Notes:-

*¹ Based on NAV after income distribution.

7 INVESTMENT IN A SUBSIDIARY

	Fund	
	2025 RM'000	2024 RM'000
At cost		
Unquoted shares	—*	—*

* Denotes RM2

Name of company	Principal activity	Place of incorporation	Group's effective interest (%)	
			2025	2024
KIP REIT Capital Sdn. Bhd.	A special purpose vehicle to raise financings for and on behalf of KIP REIT.	Malaysia	100	100

8 LEASES

(a) RIGHT OF USE ASSETS

	Office RM'000	Car park RM'000	Total RM'000
Group and Fund			
<u>Carrying amount</u>			
At 1 July 2024	207	1,071	1,278
Depreciation charged for the financial year	(55)	(214)	(269)
At 30 June 2025	152	857	1,009
<u>Carrying amount</u>			
At 1 July 2023	—	—	—
Addition during the financial year	221	1,253	1,474
Depreciation charged for the financial year	(14)	(182)	(196)
At 30 June 2024	207	1,071	1,278

NOTES TO THE FINANCIAL STATEMENTS

8 LEASES (CONT'D)

(b) LEASE LIABILITIES

Group and Fund	Office RM'000	Car park RM'000	Total RM'000
<u>Carrying amount</u>			
At 1 July 2024	208	1,096	1,304
Interest expense	8	45	53
Payment during the financial year	(60)	(226)	(286)
At 30 June 2025	156	915	1,071
Of which are:			
Current liabilities	68	235	303
Non-current liabilities	88	680	768
Interest expense	8	45	53
Total cash outflow for leases	(60)	(226)	(286)
<u>Carrying amount</u>			
At 1 July 2023	-	-	-
Addition during the financial year	221	1,253	1,474
Interest expense	2	34	36
Payment during the financial year	(15)	(191)	(206)
At 30 June 2024	208	1,096	1,304
Of which are:			
Current liabilities	52	181	233
Non-current liabilities	156	915	1,071
Interest expense	2	34	36
Total cash outflow for leases	(15)	(191)	(206)

9 TRADE AND OTHER RECEIVABLES

	Group		Fund	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
<u>Non-current assets</u>				
Deferred lease incentives	9,180	7,077	9,180	7,077
Other non-current assets	15,974	-	15,974	-
	25,154	7,077	25,154	7,077
<u>Current assets</u>				
Trade receivables	895	622	895	622
Less: Allowance for impairment of trade receivables (Note 25.1(b))	(199)	(162)	(199)	(162)
Trade receivables – net	696	460	696	460
Other receivables	4,504	1,969	4,504	1,969
Less: Allowance for impairment of trade receivables (Note 25.1(b))	(48)	(65)	(48)	(65)
Other receivables – net	4,456	1,904	4,456	1,904
Deposit recoverable	1,171	32,257	1,171	32,257
Amounts due from related companies	4	73	4	73
Prepayments	5,631 1,282	34,234 2,078	5,631 1,282	34,234 2,078
	6,913	36,312	6,913	36,312
Current receivables	7,609	36,772	7,609	36,772
Total trade and other receivables	32,763	43,849	32,763	43,849

Other non-current assets pertain to the earnest deposit and directly attributable cost paid for the acquisition of investment properties upon the signing of the Sale and Purchase Agreement ("SPA"). The completion of the acquisition is subject to the fulfillment of conditions precedent in the SPA.

The carrying amounts of trade and other receivables as at 30 June 2025 and 2024 approximated their fair values.

The credit terms of trade receivables were seven (7) days (2024: 7 days).

The amounts due from related companies are unsecured, interest free and with credit terms of ninety (90) days (2024: 90 days).

NOTES TO THE FINANCIAL STATEMENTS

10 CASH AND BANK BALANCES

	Group		Fund	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Cash in hand	-*	-*	-	-
Bank balances	34,213	12,009	33,941	11,213
Short term deposits placed with licensed banks	22,868	22,883	7,865	12,940
Cash and bank balances	57,081	34,892	41,806	24,153
Less:				
Deposit with maturity period of more than 3 months	(589)	(572)	(589)	(572)
Cash and cash equivalents	56,492	34,320	41,217	23,581
Pledged deposits	17,398	12,252	2,396	2,309

* Denotes RM2

Bank balances are deposits held at call with banks and earns no interest.

The weighted average effective interest rate of short-term deposits placed with licensed banks that was effective at the reporting date was 3.39% per annum at Group and 3.00% per annum at Fund (2024: Group at 3.27% per annum and Fund at 3.02% per annum).

Short term deposits placed with licensed banks have an average maturity of 80 days at Group and 58 days at Fund (2024: Group at 60 days and Fund at 37 days).

The Group's short term deposits placed with licensed banks include a total of restricted amount of RM17.4 million (2024: RM12.2 million) which includes:

- (i) the pledged deposits of RM2.4 million (2024: RM2.3 million) that relates to letter of guarantee issued by the Bank to Tenaga Nasional Berhad and Suruhanjaya Tenaga to guarantee the deposit payable by the Fund; and
- (ii) an additional restricted amount of RM15.0 million (2024: RM9.9 million) which are maintained in a Debt Service Reserve Account to cover a minimum of six (6) months interest for Medium Term Notes ("MTN") granted to the Group (Note 12).

11 UNITHOLDERS' CAPITAL

	Group and Fund	
	2025 Number of units '000	2024 Number of units '000
Approved fund size:		
As at beginning of the financial year	618,630	606,360
11 December 2023	-	12,270
3 December 2024	180,000	-
As at end of the financial year	798,630	618,630

	Group and Fund			
	2025 Number of units '000	2025 Value RM'000	2024 Number of units '000	2024 Value RM'000
Issued and fully paid up:				
As at 1 July/30 June	798,630	730,496	618,630	583,626

12 BORROWINGS

	Group		Fund	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Current (secured):				
STRC	12,000	-	12,000	-
MTN	4,844	314,159	-	-
Unamortised transaction cost	(441)	(290)	-	-
	16,403	313,869	12,000	-
Non-current (secured):				
MTN	608,000	110,000	-	-
Unamortised transaction cost	(1,627)	(543)	-	-
	606,373	109,457	-	-
Total borrowings	622,776	423,326	12,000	-

The trustee, on behalf of the Group and the Fund, as borrower, has obtained the credit facilities ("the Facilities") comprising the following:-

- (a) MTN of up to RM608 million (2024: RM420 million); and
- (b) A Short-term Revolving Credit ("STRC") of up to RM12 million (2024: RM Nil).

NOTES TO THE FINANCIAL STATEMENTS

12 BORROWINGS (CONT'D)

The weighted average effective interest rate as at the reporting date was as follows:-

	Group		Fund	
	2025	2024	2025	2024
	% per annum	% per annum	% per annum	% per annum
MTN	4.62	4.69	-	-
STRC	4.63	-	4.63	-

KIP REIT's wholly owned subsidiary, KIP REIT Capital Sdn. Bhd., has a Medium Term Note Programme ("MTN Programme") of up to RM2.0 billion in nominal value. It is a perpetual programme that commenced on 16 July 2019. Details of the MTN issued are set out as follows.

On 31 July 2019, KIP REIT Capital Sdn. Bhd. issued RM310.0 million MTN Issue 1.0 ("MTN1") in nominal value pursuant to the MTN Programme. The MTN1 of RM310.0 million was issued to re-finance KIP REIT's previous financing facilities, i.e., term loan (TL). Out of the total RM310.0 million issuance, RM210.0 million has been assigned a long-term final rating of AAA/Stable from RAM Rating Services Berhad ("RAM"). The expected maturity date is 5 years from the issuance date and the legal maturity date is 7 years from the issuance date. The transaction costs related to the MTN1 are amortised and charged to profit or loss over its expected tenure. Subsequently, MTN1 expired on 31 July 2024. MTN 1 was fully settled on 31 July 2024.

On 22 January 2024, KIP REIT Capital Sdn. Bhd. issued RM30.0 million MTN Issue 2.0 ("MTN2") in nominal value pursuant to the MTN Programme. The MTN2 of RM30.0 million was issued for working capital and repayment of short-term revolving credit ("STRC") of RM20.0 million. The MTN2 has a floating interest rate of 4.88% per annum and the expected maturity date is 5 years from the issuance date and the legal maturity date is 7 years from the issuance date. The transaction costs related to the MTN2 are amortised and charged to profit or loss over its expected tenure.

From MTN Programme of up to RM2.0 billion in nominal value, KIP REIT Capital Sdn. Bhd. has a term sheet of MTN of up to RM120.0 million under Issue 3 ("MTN3"). Details of the MTN3 issued are set out as follows:

On 8 February 2024, KIP REIT Capital Sdn. Bhd. issued total of RM48.0 million MTN3 in nominal value pursuant to the MTN Programme. The MTN3 of RM48.0 million was issued to finance the balance purchase consideration for KIPMall Kota Warisan. The MTN3 has a floating interest rate of 4.86% per annum. From the issuance of RM48.0 million, RM12.5 million has an expected maturity date of 5 years from the issuance date and a legal maturity date of 7 years from the issuance date, a further RM12.5 million has an expected maturity date of 6 years from issuance date and a legal maturity date of 8 years, whilst the remaining RM23.0 million has an expected maturity date of 7 years from issuance date and a legal maturity date of 9 years from the issuance date. The transaction costs related to the MTN3 are amortised and charged to profit or loss over its expected tenure.

On 4 June 2024, KIP REIT Capital Sdn. Bhd. issued RM32.0 million MTN Issue 3.0 Tranche 2 ("MTN3-T2") in nominal value pursuant to the MTN Programme. The MTN3-T2 of RM32.0 million was issued to partial finance the purchase consideration for DPulze Shopping Centre. The RM32.0 million has floating interest rate of 4.86% per annum. From the issuance of RM32.0 million, RM8.3 million has an expected maturity date of 5 years from the issuance date and a legal maturity date of 7 years from the issuance date, a further RM8.3 million has an expected maturity date of 6 years from issuance date and a legal maturity date of 8 years, whilst the remaining RM15.4 million has an expected maturity date of 7 years from issuance date and a legal maturity date of 9 years from the issuance date. The transaction costs related to the MTN3-T2 are amortised and charged to profit or loss its expected tenure.

12 BORROWINGS (CONT'D)

On 31 July 2024, KIP REIT Capital Sdn. Bhd. raised RM340.0 million MTN Issue 4.0 ("MTN4") in nominal value pursuant to the MTN Programme. The MTN4 of RM340.0 million was issued to refinance KIP REIT's MTN1 amounting to RM310.0 million, whilst the remaining RM30.0 million was issued for working capital purposes. Out of the total RM340.0 million issuance of MTN4, RM240 million has been assigned a long-term final rating of AAA/Stable from RAM at a fixed interest rate of 4.17% per annum, whilst the remaining of RM100 million has a floating interest rate of 4.77% per annum. The MTN4 has an expected maturity date of 5 years from the issuance date and a legal maturity date is 7 years from the issuance date. The transaction costs related to the MTN4 are amortised and charged to profit or loss over its expected tenure.

From MTN Programme of up to RM2.0 billion in nominal value, KIP REIT Capital Sdn. Bhd. has a term sheet of MTN of up to RM200.0 million under Issue 5 ("MTN5"). Details of the MTN5 issued are set out as follows:

On 12 December 2024, KIP REIT Capital Sdn. Bhd. issued total of RM148.0 million MTN5 in nominal value pursuant to the MTN Programme. The MTN5 of RM148.0 million was issued to finance the balance purchase consideration for DPulze Shopping Centre. The RM148.0 million has floating interest rate of 5.04% per annum and has an expected maturity date of 5 years from the issuance date and a legal maturity date of 7 years from the issuance date. The transaction costs related to the MTN5 are amortised and charged to profit or loss over its expected tenure.

On 16 April 2025, KIP REIT Capital Sdn. Bhd. issued RM10.0 million MTN Issue 5.0 Tranche 2 ("MTN5-T2") in nominal value pursuant to the MTN Programme. The MTN5-T2 of RM10.0 million was issued to partially finance purchase consideration for KIPMall Desa Coalfields and KIPMall Kuantan. The RM10.0 million has floating interest rate of 5.04% per annum and has an expected maturity date of 5 years from the issuance date and a legal maturity date of 7 years from the issuance date. The transaction costs related to the MTN5-T2 are amortised and charged to profit or loss over its expected tenure.

The MTN is secured over the investment properties including KIPMall Tampoi, KIPMall Kota Tinggi, KIPMall Masai, KIPMall Melaka, KIPMall Bangi, KIPMall Kota Warisan, DPulze Shopping Centre, AMKC, KV5, KV3A and KV9 and pledged deposits as indicated in Note 6 and Note 10 to the financial statements. The STRC is secured by a legal charge over KIPMall Senawang.

13 PAYABLES AND ACCRUALS

		Group		Fund	
	Note	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Non-current payables					
Tenants' deposits	a	22,482	12,185	22,482	12,185
Amount due to a subsidiary	b	-	-	595,501	108,404
		22,482	12,185	617,983	120,589
Current payables					
Trade payables	c	1,439	398	1,439	398
Tenants' deposits	a	17,740	17,823	17,740	17,823
		19,179	18,221	19,179	18,221
Amount due to a subsidiary	b	-	-	-	304,234
Other payables and accrued expenses		16,061	3,283	16,061	3,232
Amount due to related company	d	1,327	-	1,327	-
Total current payables and accruals		36,567	21,504	36,567	325,687
Total payables and accruals		59,049	33,689	654,550	446,276

NOTES TO THE FINANCIAL STATEMENTS

13 PAYABLES AND ACCRUALS (CONT'D)

- (a) Tenants' deposits are in respect of refundable deposits received from tenants for tenancy related agreements. Tenancy tenures are generally for a period of one (1) to four (4) years (2024: one (1) to three (3) years) except for industrial properties for a period of thirteen (13) years (2024: fourteen (14) years).
- (b) Amount due to a subsidiary is deemed as a borrowing as it represents advances from KIP REIT Capital Sdn. Bhd. on the MTN issuance of RM608 million (2024: RM424 million) (refer to Note 12). The expected repayment period mirrors the MTN maturity dates.
- (c) Credit terms for trade payables range from 30 days to 60 days (2024: 30 days to 60 days).
- (d) Amount due to related company is unsecured, interest free and repayable on demand.

14 GROSS REVENUE

	Group and Fund	
	2025 RM'000	2024 RM'000
Lease income:		
Gross rental income	113,804	91,358
Promotion area	6,115	3,960
	<u>119,919</u>	<u>95,318</u>
Revenue from contracts with customers:		
Utilities reimbursement	12,158	6,235
Car park	2,548	-
Property related income and other advertising income	1,508	606
	<u>16,214</u>	<u>6,841</u>
Gross revenue	<u>136,133</u>	<u>102,159</u>
Revenue from contracts with customers is represented by:		
Point in time	4,056	606
Over time	12,158	6,235
	<u>16,214</u>	<u>6,841</u>

Gross rental income included variable lease payments related to sales generated from tenants which approximates to 3.91% (2024: 1.27%) of gross rental income. There are no other variable lease payments that depends on an index or rate.

15 REIMBURSEMENT COSTS

Included in reimbursement costs are the following expenses:-

	Group and Fund	
	2025 RM'000	2024 RM'000
Staff salaries	5,270	3,559
Bonus	704	152
Statutory contribution	904	575
Training expenses	11	29
Others	519	162
	7,408	4,477

The reimbursement cost is in relation to staff costs and expenses incurred by the service provider, KIP Property Services Sdn. Bhd. for the provision of services in managing KIP REIT's operation, maintenance, management and marketing of the investment properties.

16 MANAGER'S MANAGEMENT FEES

	Group and Fund	
	2025 RM'000	2024 RM'000
Base fee	12,200	5,806
Performance fee	2,835	1,229
Acquisition fee*	-	-
	15,035	7,035

During the financial year, the Manager received a base fee of 0.8% (2024: 0.6%) per annum of the Total Asset Value (excluding cash and bank balances which are held in non-interest bearing accounts) of KIP REIT, an acquisition fee of 1% (2024: 1%) of acquisition price, and a performance fee of 3.0% (2024: 1.0%) per annum of Net Property Income.

For the financial year ended 30 June 2025, 91% (2024: 100%) of the total Manager's management fees has been paid in cash.

*The acquisition fee was capitalised as part of the acquisition cost of investment properties.

17 BORROWING COSTS

	Group		Fund	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Interest on advances from a subsidiary	-	-	24,352	16,002
Interest on borrowings	24,538	16,399	186	397
Amortisation of transaction cost	389	290	389	290
	24,927	16,689	24,927	16,689

NOTES TO THE FINANCIAL STATEMENTS

18 TAXATION

The explanation of the relationship between tax expense and profit before taxation is as follows:

	Group and Fund	
	2025 RM'000	2024 RM'000
Reconciliation of tax expense		
Profit before taxation	115,135	47,314
Income tax using Malaysian tax rate of 24% (2024: 24%)	27,632	11,355
Non-deductible expenses	2,165	1,633
Utilisation of previously unrecognised deductible temporary differences	(8,174)	(2,244)
Non-taxable income	(15,613)	(1,839)
Effect of income exempted from tax	(6,010)	(8,905)
	-	-

Pursuant to Section 61A of the Malaysian Income Tax Act, 1967 ("Act"), income of KIP REIT will be exempted from tax provided that at least 90% of its total taxable income (as defined in the Act) is distributed to the investors in the basis period of KIP REIT for that year of assessment within two (2) months after the close of the financial year. If the 90% distribution condition is not complied with or the 90% distribution is not made within two (2) months after the close of KIP REIT financial year which forms the basis period for a year of assessment, KIP REIT will be subject to income tax at the prevailing rate on its total taxable income. Income which has been taxed at the KIP REIT level will have tax credits attached when subsequently distributed to unitholders.

As income distribution to unitholders for the financial year ended 30 June 2025 is more than 90% of total distributable income, no provision for income taxation has been made for the current year.

19 EARNINGS PER UNIT ("EPU") - BASIC AND DILUTED

The calculation of EPU is based on total comprehensive income attributable to unitholders divided by the weighted average number of units.

	Group and Fund	
	2025 RM'000	2024 RM'000
Total comprehensive income		
- Realised	51,265	44,467
- Unrealised	63,870	2,847
Total	115,135	47,314
Weighted average number of units ('000)		
Weighted average number of units in issue	722,192	613,165
Weighted average number of units for diluted EPU	722,192	613,165
Basic/Diluted EPU (sen)		
- Realised	7.0985	7.2520
- Unrealised	8.8439	0.4643
Total	15.9424	7.7163

Dilutive earnings per unit equals to basic earnings per unit as there are no potential dilutive units in issue.

20 DISTRIBUTION TO UNITHOLDERS

		Group and Fund	
		2025 RM'000	2024 RM'000
Total comprehensive income		115,135	47,314
Distribution adjustments	(a)	(62,412)	(1,737)
Distributable income		52,723	45,577
Distributions proposed and declared:			
Distribution per unit (sen)			
- for the period from 1 July 2023 to 30 September 2023		-	1.550
- for the period from 1 October 2023 to 31 December 2023		-	1.550
- for the period from 1 January 2024 to 31 March 2024		-	1.600
- for the period from 1 April 2024 to 30 June 2024		-	1.965
- for the period from 1 July 2024 to 30 September 2024		1.522	-
- for the period from 1 October 2024 to 30 November 2024		1.180	-
- for the period from 1 December 2024 to 31 December 2024		0.480	-
- for the period from 1 January 2025 to 31 March 2025		1.600	-
- for the period from 1 April 2025 to 30 June 2025		2.018	-
		6.800	6.665
<u>Sources of distributions</u>			
Net property income		96,823	77,817
Interest income		1,132	857
Changes in fair value on investment properties		61,767	(4,230)
		159,722	74,444
Less: Expenses		(44,587)	(27,130)
Total comprehensive income		115,135	47,314
Distribution adjustments	(a)	(62,412)	(1,737)
Prior year realised gain		26,156	20,076
Distributable income carried forward		78,879	65,653
Distribution of:			
- 1.750 sen for the period from 1 April 2023 to 30 June 2023		-	(10,611)
- 1.550 sen for the period from 1 July 2023 to 30 September 2023		-	(9,399)
- 1.550 sen for the period from 1 October 2023 to 31 December 2023		-	(9,589)
- 1.600 sen for the period from 1 January 2024 to 31 March 2024		-	(9,898)
- 1.965 sen for the period from 1 April 2024 to 30 June 2024		(12,156)	-
- 1.522 sen for the period from 1 July 2024 to 30 September 2024		(9,416)	-
- 1.180 sen for the period from 1 October 2024 to 30 November 2024		(7,300)	-
- 0.480 sen for the period from 1 December 2024 to 31 December 2024		(3,833)	-
- 1.600 sen for the period from 1 January 2025 to 31 March 2025		(12,778)	-
Distributions recognised in statements of changes in net assets value		(45,483)	(39,497)
Income retained		33,396	26,156

NOTES TO THE FINANCIAL STATEMENTS

20 DISTRIBUTION TO UNITHOLDERS (CONT'D)

	Group and Fund	
	2025 RM'000	2024 RM'000
Note (a):-		
Distribution adjustments comprise:-		
Amortisation of transaction costs	389	290
Depreciation of equipment	562	554
Depreciation for right of use assets	269	196
Interest expense on lease liabilities	53	36
Deferred lease incentives	(2,103)	(7,077)
Changes in fair value on investment properties	(61,767)	4,230
Provision/(Reversal) for impairment on receivables	20	(47)
Bad debts written off	106	59
Rental rebate	59	22
	(62,412)	(1,737)

The final distributable income for the 3 months ended 30 June 2025 is proposed to be 2.018 sen per unit for the period from 1 April 2025 to 30 June 2025, which was declared on 8 August 2025 and is payable on 29 August 2025. The financial statements for the current year ended 30 June 2025 do not reflect this final distributable income. This will be accounted in the statement of changes in net asset value as an appropriation of retained earnings in the next financial year ending 30 June 2026.

Withholding tax will be deducted for distributions as follows:-

	Withholding Tax rate	
	2025	2024
Resident corporate	N/A [^]	N/A [^]
Resident non-corporate	10%	10%
Non-resident individual	10%	10%
Non-resident corporate	24%	24%
Non-resident institutional	10%	10%

[^] to tax at prevailing rate

21 PORTFOLIO TURNOVER RATIO

	Group and Fund	
	2025	2024
Portfolio Turnover Ratio ("PTR") (times)	0.44	0.12

The calculation of PTR is based on the average value of total acquisitions and disposals of investments in KIP REIT for the financial year to the average NAV during the financial year which is calculated on a quarterly basis.

Since the basis of calculating PTR can vary among REITs, there is no consistent or coherent basis for providing an accurate comparison of KIP REIT's PTR against other REITs.

22 MANAGEMENT EXPENSE RATIO

	Group and Fund	
	2025	2024
Management expense ratio ("MER") (%)	2.45%	1.56%

The calculation of the MER is based on the Fund's total operating expenses (Manager's management fees, trustees' fees, auditors' remuneration, valuers' fee and other trust expenses) incurred for the financial year ended 30 June 2025 to the average NAV (after income distribution) as at 30 June 2025, which is in accordance with the REIT Guidelines.

Since the basis of calculating MER can vary among REITs, there is no consistent or coherent basis for providing an accurate comparison of KIP REIT's MER against other REITs.

23 SEGMENT REPORTING

The senior management team makes the strategic resource allocations on behalf of the Manager. The Manager has determined the operating segments based on the reports reviewed by the senior management team that are used to make strategic decisions.

The operating segments is determined to be both business and geographical segments perspective as the Group's risks and rates of return are affected predominantly by differences in net property income ("NPI") margin from different product and services provided in different markets.

The Group comprises the following business segments:

- (a) Retail - renting of retail premises to tenants, with three main geographical areas based on the location of the Group's assets:
 - (i) Central region - the operations in this region include KIPMall Bangi, KIPMall Senawang, KIPMall Kota Warisan and DPulze Shopping Centre;
 - (ii) Southern region - the operations in this region include KIPMall Melaka, KIPMall Tampoi, KIPMall Masai and KIPMall Kota Tinggi; and
 - (iii) Northern region - the operations in this region include AEON Mall Kinta City and TF Value-Mart Gerik.
- (b) Industrial - renting of industrial premises to tenants

With the expansion of the Group's portfolio of investment properties, the business segments have been reassessed and identified as Retail segment, comprising Central region, Southern region and Northern region, and Industrial segment. The comparatives for segmental information have been restated to be consistent with the present reporting structure.

Revenue derived from the Northern region amount to approximately 14.2% (2024: 22.5%) of total gross revenue are derived from a single tenant.

The Manager assesses the financial performance of the operating segments based on, including but not limited to, NPI and NPI margin. The NPI enables financial performance benchmarking as such basis eliminates the effect of financing and investment decisions which may not be made at operating level.

NOTES TO THE FINANCIAL STATEMENTS

23 SEGMENT REPORTING (CONT'D)

Geographical segments

The following table provides an analysis of the Group's revenue, results, assets, liabilities and other information by geographical segments:-

	Retail				Industrial	Group 2025
	Southern region RM'000	Central region RM'000	Northern region RM'000	Total RM'000	RM'000	Total RM'000
Revenue						
Lease income	49,260	44,300	18,619	112,179	5,637	117,816
Deferred lease incentives	-	-	735	735	1,368	2,103
Revenue from contracts with customers	4,752	11,462	-	16,214	-	16,214
Gross revenue	54,012	55,762	19,354	129,128	7,005	136,133
Segmental net property income	37,862	33,297	18,703	89,862	6,961	96,823
Changes in fair value on investment properties	32,959	24,506	3,229	60,694	1,073	61,767
Interest income	450	340	264	1,054	78	1,132
Borrowing costs	(9,572)	(8,440)	(5,186)	(23,198)	(1,729)	(24,927)
Trust and other expenses	(7,793)	(6,918)	(3,663)	(18,374)	(1,286)	(19,660)
Profit before taxation	53,906	42,785	13,347	110,038	5,097	115,135
Taxation	-	-	-	-	-	-
Total comprehensive income attributable to unitholders	53,906	42,785	13,347	110,038	5,097	115,135
Assets						
Segment assets	524,248	596,263	275,130	1,395,641	105,226	1,500,867
Unallocated assets						
- Cash and bank balances						57,081
- Trade and other receivables						19,099
Total assets						1,577,047
Liabilities						
Segment liabilities	124,992	253,951	215,217	594,160	47,270	641,430
Unallocated liabilities						
- Payables and accruals						4,926
- Borrowings						36,540
Total liabilities						682,896
Other segment information						
Additions to non-current assets:						
- Acquisition of investment properties	-	320,000	14,800	334,800	22,600	357,400
- Asset enhancement of investment properties	1,041	7,495	2,236	10,772	358	11,130
- Purchase of equipment	292	238	-	530	-	530

23 SEGMENT REPORTING (CONT'D)

Geographical segments (Cont'd)

The following table provides an analysis of the Group's revenue, results, assets, liabilities and other information by geographical segments: - (Cont'd)

	Retail				Industrial	Group 2024
	Southern region RM'000	Central region RM'000	Northern region RM'000	Total RM'000	RM'000	Total RM'000
Revenue						
Lease income	39,996	25,192	17,918	83,106	5,135	88,241
Deferred lease incentives	-	-	5,109	5,109	1,968	7,077
Revenue from contracts with customers	2,226	4,615	-	6,841	-	6,841
Gross revenue	42,222	29,807	23,027	95,056	7,103	102,159
Segmental net property income	31,973	16,408	22,385	70,766	7,051	77,817
Changes in fair value on investment properties	1,994	1,584	(6,140)	(2,562)	(1,668)	(4,230)
Interest income	410	182	243	835	22	857
Borrowing costs	(5,393)	(3,415)	(6,616)	(15,424)	(1,265)	(16,689)
Trust and other expenses	(4,515)	(3,079)	(2,269)	(9,863)	(578)	(10,441)
Profit before taxation	24,469	11,680	7,603	43,752	3,562	47,314
Taxation	-	-	-	-	-	-
Total comprehensive income attributable to unitholders	24,469	11,680	7,603	43,752	3,562	47,314
Assets						
Segment assets	430,186	302,700	254,410	987,296	79,600	1,066,896
Unallocated assets						
- Cash and bank balances						34,892
- Trade and other receivables						34,160
Total assets						1,135,948
Liabilities						
Segment liabilities	79,547	137,885	207,510	424,942	23,034	447,976
Unallocated liabilities						
- Payables and accruals						2,804
- Borrowings						7,539
Total liabilities						458,319
Other segment information						
Additions to non-current assets:						
- Acquisition of investment properties	-	80,000	-	80,000	-	80,000
- Asset enhancement of investment properties	2,006	11,416	1,031	14,453	-	14,453
- Purchase of equipment	170	270	-	440	-	440

NOTES TO THE FINANCIAL STATEMENTS

24 FINANCIAL INSTRUMENTS

		Group		Fund	
		2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Financial assets at amortised cost					
<u>Assets as per statement of financial position:-</u>					
Trade and other receivables (excluding prepayment and deferred lease liabilities)	9	6,327	34,234	6,327	34,234
Cash and bank balances	10	57,081	34,892	41,806	24,153
Total financial assets		63,408	69,126	48,133	58,387
Financial liabilities at amortised cost					
<u>Liabilities as per statement of financial position:-</u>					
Borrowings	12	622,776	423,326	12,000	-
Trade and other payables	13	52,586	33,689	648,087	446,276
Total financial liabilities		675,362	457,015	660,087	446,276

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

25.1 Financial risk factors

KIP REIT's activities expose it to a variety of financial risks: interest rate risk (including fair value interest rate risk), credit risk and liquidity and cash flow risk. KIP REIT's overall financial risk management objective is to ensure that it creates value for its unitholders. KIP REIT focuses on the unpredictability of financial markets and seeks to mitigate potential adverse effects on the financial performance of KIP REIT. Financial risk management is carried out through risk reviews and internal control systems. The Manager regularly reviews the risk profile and ensure adherence to the KIP REIT's financial risk management policies.

(a) Interest rate risk

KIP REIT's exposure to changes in interest rates relate primarily to interest-earning financial assets and interest bearing financial liabilities. Interest rate risk is managed by the Manager on an ongoing basis with the primary objective of limiting the extent to which interest expense could be affected by adverse movements in interest rate.

For the purpose of this disclosure, only the Group level interest rate risk is disclosed as the risk at Fund level mirrors the Group's exposure, being the exposure to the MTN and STRC (refer note 12 and 13 for more details).

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONT'D)

25.1 Financial risk factors (Cont'd)

(a) Interest rate risk (Cont'd)

The interest rate profile of KIP REIT's significant interest bearing financial instruments, based on carrying amounts as at the end of reporting period is as follows:-

	Group	
	2025 RM'000	2024 RM'000
Fixed rate instrument		
MTN - rated	240,000	210,000
Floating rate instrument		
STRC	12,000	-
MTN - unrated	368,000	210,000

Interest rate risk sensitivity analysis

If the interest rates have been higher or lower and all other variables were held constant, the Group's profit after taxation for the financial year would increase or decrease accordingly as a result from the Group's exposure to interest rates on its borrowing which is not hedged. The Group has performed the following interest rate sensitivity analysis to show the Group's sensitivity to interest rates exposure:

	Group	
	2025 RM'000	2024 RM'000
<u>Floating rate instrument</u>		
25 basis point increase	(950)	(525)
25 basis point decrease	950	525

(b) Credit risk

Credit risk is the risk of a financial loss to KIP REIT if the tenants or counterparty to a financial instrument fails to meet its contractual obligations. At the reporting date, the maximum exposure to credit risk is represented by the carrying amount of each financial asset in the statement of financial position.

KIP REIT is not exposed to significant credit risk. The risk of non-collectability of monthly rentals is also mitigated with rental deposits collected from the tenants. Other than AEON from AMKC, which contributes to 15.4% (2024: 24.1%) of the rental income, the Group and the Fund do not have any significant exposure to any individual or group of tenants or counterparties.

NOTES TO THE FINANCIAL STATEMENTS

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONT'D)

25.1 Financial risk factors (Cont'd)

(b) Credit risk (Cont'd)

Simplified approach for trade receivables

The Group and the Fund apply simplified approach which requires expected lifetime losses to be recognised from initial recognition of the trade receivables. To measure the expected credit loss, the expected loss rates are based on the historical payment profiles of tenants and the corresponding historical credit losses experienced. The historical loss rates are adjusted to reflect current and forward-looking information on factors affecting the ability of the tenants to settle the receivables. The Group and the Fund have identified the credit profile and sales performance of tenants to be the most relevant forward looking factors, and accordingly adjusted the historical loss rates based on expected changes in these factors. The Group and the Fund have determined the default rate for trade receivables based on their historical default rate and applied the historical default rate on trade receivables balance in the financial year.

Credit risk with respect to trade receivables is limited due to the nature of business which is mainly rental related and cash-based. Furthermore, the tenants have placed security deposits in the form of cash which act as collateral. In view of the above, no additional credit risk beyond amounts allowed for collection losses is inherent in KIP REIT's trade receivables.

Bank deposits are placed with licensed financial institutions with high credit ratings assigned by credit rating agencies. Hence, the risk of material loss in the event of non-performance by a financial counterparty could be considered to be unlikely.

General 3-stage approach for other receivables and non-trade intercompany receivables

The other receivables and non-trade intercompany receivables impairment is assessed collectively to determine whether there was objective evidence that an impairment had been incurred but not yet identified. Loss allowance is measured at a probability-weighted amount that reflects the possibility that a credit loss occurs and the possibility that no credit loss occurs.

The analysis of credit risk exposure of trade and other receivables are as follows:-

Group and Fund

	As at June 2025 RM'000	Not past due RM'000	0-31 days RM'000	32-61 days RM'000	62-91 days RM'000	92-181 days RM'000	>181 days RM'000
Trade receivables (gross)	895	-	647	31	7	24	186
Impairment	(199)	-	-	-	-	(13)	(186)
	696	-	647	31	7	11	-
Expected loss rate						53.4%	100.0%
Non-trade receivables (gross)	4,504	4,371	56	8	4	12	53
Impairment	(48)	-	-	-	-	-	(48)
	4,456	4,371	56	8	4	12	5
Expected loss rate						-	90.7%

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONT'D)

25.1 Financial risk factors (Cont'd)

(b) Credit risk (Cont'd)

The analysis of credit risk exposure of trade and other receivables are as follows:- (Cont'd)

Group and Fund (Cont'd)

	As at June 2024 RM'000	Not past due RM'000	0-31 days RM'000	32-61 days RM'000	62-91 days RM'000	92-181 days RM'000	>181 days RM'000
Trade receivables (gross)	622	-	196	144	56	62	164
Impairment	(162)	-	-	-	-	(20)	(142)
	<u>460</u>	<u>-</u>	<u>196</u>	<u>144</u>	<u>56</u>	<u>42</u>	<u>22</u>
Expected loss rate						31.9%	86.4%
Non-trade receivables (gross)	1,969	1,743	77	45	10	17	77
Impairment	(65)	-	-	-	-	(4)	(61)
	<u>1,904</u>	<u>1,743</u>	<u>77</u>	<u>45</u>	<u>10</u>	<u>13</u>	<u>16</u>
Expected loss rate						25.7%	79%

The movement of provision for impairment on receivables is as follows:-

	Group and Fund	
	2025 RM'000	2024 RM'000
<u>Trade</u>		
As at 1 July	163	186
Provision for impairment on receivables	36	-
Reversal for impairment on receivables	-	(23)
As at 30 June	<u>199</u>	<u>163</u>
<u>Non-trade</u>		
As at 1 July	64	88
Reversal for impairment on receivables	(16)	(24)
As at 30 June	<u>48</u>	<u>64</u>

The maximum exposure to credit risk at the reporting date is the carrying value of each class of receivables.

NOTES TO THE FINANCIAL STATEMENTS

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONT'D)

25.1 Financial risk factors (Cont'd)

(c) Liquidity and cash flow risk

The rolling forecasts of liquidity requirements are monitored to ensure there is sufficient cash to meet operational needs while maintaining sufficient headroom on the committed borrowing facilities (Note 12).

Adequate cash, cash equivalents and bank facilities are maintained and monitored to finance the operations, to distribute income to unitholders, and to mitigate the effects of fluctuations in cash flows. In addition, the Manager also monitors and observes the REIT Guidelines concerning limits on total borrowings of the investment trust.

Cash and cash equivalents as at 30 June 2025 of RM56.5 million (2024: RM34.3 million) are expected to assist in the liquidity and cash flow risk management.

The analysis of the non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date are as follows:-

	<1 year RM'000	1 to 2 years RM'000	2 to 3 years RM'000	>3 years RM'000	Total RM'000
Group					
At 30 June 2025					
Borrowings	40,463	28,093	28,093	644,131	740,780
Payables and accruals	36,567	22,482	-	-	59,049
Lease liabilities	286	297	264	329	1,176
Fund					
At 30 June 2025					
Borrowings	12,370	-	-	-	12,370
Amount due to a subsidiary	28,093	28,093	28,093	644,131	728,410
Payables and accruals	36,567	22,482	-	-	59,049
Lease liabilities	286	297	264	329	1,176
Group					
At 30 June 2024					
Borrowings	321,690	5,384	5,384	115,384	447,842
Payables and accruals	21,504	12,185	-	-	33,689
Lease liabilities	286	297	264	329	1,176
Fund					
At 30 June 2024					
Amount due to a subsidiary	321,690	5,384	5,384	115,384	447,842
Payables and accruals	21,504	12,185	-	-	33,689
Lease liabilities	286	297	264	329	1,176

Note: The amounts are contractual and undiscounted cash flows.

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONT'D)

25.2 Capital risk management

Capital is the unitholders' capital and borrowings from bank and intercompany, as shown in the statement of financial position.

The overall capital management objectives are to safeguard the ability to continue as a going concern in order to provide returns for unitholders and other stakeholders as well as to maintain a more efficient capital structure.

The Manager's on-going capital management strategy involves maintaining an appropriate gearing level and adopting an active interest rate management strategy to manage the risks associated with refinancing and changes in interest rates. The Manager intends to implement this strategy by:

- (i) diversifying sources of debt funding to the extent appropriate,
- (ii) maintaining a reasonable level of debt service capability,
- (iii) securing favourable terms of funding,
- (iv) managing its financial obligations, and
- (v) where appropriate, managing the exposures arising from adverse market interest rates, such as through fixed rate borrowings, to improve the efficiency for the cost of capital.

Amount due to a subsidiary (Note 13) is deemed as a borrowing as it represents advances of MTN proceeds from the subsidiary.

The total borrowings to total assets ratio is as follows:-

	Group		Fund	
	2025 RM'000	2024 RM'000	2025 RM'000	2024 RM'000
Total borrowings	622,776	423,326	607,501	412,638
Total assets	1,577,047	1,135,948	1,561,772	1,125,209
Borrowings to total assets ratio (%)	39.49%	37.27%	38.90%	36.67%

The total borrowings should not exceed 50% of the total assets at the time the borrowings are incurred in accordance with the REIT Guidelines. The total borrowings include the MTN proceeds from the bank, the advances of MTN proceeds from the subsidiary and the STRC proceeds from the bank. The Group and the Fund complied with the borrowing limit requirement for the financial year ended 30 June 2025 and 30 June 2024.

The Deeds provides that the Manager shall, with the approval of the Trustee, for each distribution period, distribute all (or such other percentage as determined by the Manager at its absolute discretion) of KIP REIT's distributable income. It is the intention of the Manager to distribute at least 90% of KIP REIT's distributable income on a quarterly basis (or such other interval as determined by the Manager at its absolute discretion).

25.3 Fair value

The assets and liabilities measured at fair value and classified by level of the fair value measurement hierarchy are as follows:-

- (a) quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1);
- (b) inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly (Level 2); and
- (c) inputs for the asset or liability that are not based on observable market data i.e. unobservable inputs (Level 3).

NOTES TO THE FINANCIAL STATEMENTS

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONT'D)

25.3 Fair value (Cont'd)

	Level 3	
	2025 RM'000	2024 RM'000
Recurring fair value measurements:		
Investment properties	1,494,000	1,061,600
Less: Deferred lease incentives	(9,180)	(7,077)
Net investment properties	1,484,820	1,054,523

Level 3 fair values of the investment properties have been derived from the income approach based on valuations performed by the Valuers, who holds a relevant professional qualification and has recent experience in the locations and categories of the investment properties valued. The valuation techniques, significant parameters and movement in fair values are as disclosed in Note 6.

Assets and liabilities not carried at fair value

The carrying amounts of financial assets and liabilities that are not carried at fair value as at reporting date approximate their fair values. The fair value of tenants' deposits received from tenants at the reporting date is not materially different from their carrying value as the impact of discounting is not expected to be significant. For floating rate loans, the carrying value is generally a reasonable estimate of fair value.

26 SIGNIFICANT RELATED PARTY TRANSACTIONS

The significant related party transactions are carried out in the normal course of business on terms and conditions negotiated between the contracting parties.

Related party	Relationship
KIP REIT Management Sdn. Bhd.	REIT Manager
KIP REIT Capital Sdn. Bhd.	Subsidiary Company
KIP Property Services Sdn. Bhd.	Common Shareholder
Teju Logistic Sdn. Bhd.	Common Shareholder
Hextar Chemicals Sdn. Bhd.	Common Shareholder
Cahaya Serijaya Sdn. Bhd.	Common Shareholder
Sin Chee Heng Sdn. Bhd.	Common Shareholder

KIP REIT Management Sdn. Bhd. is jointly controlled by KIP REIT's substantial unitholders, Dato' Ong Kook Liong and Dato' Ong Choo Meng.

KIP Property Services Sdn. Bhd. is controlled by KIP REIT's substantial unitholder, Dato' Ong Kook Liong.

Teju Logistic Sdn. Bhd. is controlled by KIP REIT's substantial unitholder, Dato' Ong Choo Meng; Hextar Chemicals Sdn. Bhd. and Sin Chee Heng Sdn. Bhd. which are ultimately controlled by KIP REIT's substantial unitholder, Dato' Ong Choo Meng.

26 SIGNIFICANT RELATED PARTY TRANSACTIONS (CONT'D)

	Group		Fund	
	2025	2024	2025	2024
Significant related parties transactions for the financial year:	RM'000	RM'000	RM'000	RM'000
<u>Rental income derived from</u>				
Teju Logistic Sdn. Bhd.	3,380	3,379	3,380	3,379
Hextar Chemicals Sdn. Bhd.	1,755	1,755	1,755	1,755
Sin Chee Heng Sdn. Bhd.	502	-	502	-
<u>Rental income reimbursement from</u>				
Cahaya Serijaya Sdn. Bhd.	-	1,310	-	1,310
<u>Purchases of services</u>				
1) Reimbursement cost				
- KIP Property Services Sdn. Bhd.	7,465	4,477	7,465	4,477
- Cahaya Serijaya Sdn. Bhd.	960	661	960	661
2) Management fees				
- KIP REIT Management Sdn. Bhd.	15,035	7,035	15,035	7,035
3) Interest on advances from a subsidiary				
- KIP REIT Capital Sdn. Bhd.	-	-	24,352	16,292
4) Acquisition on investment properties				
- Cahaya Serijaya Sdn. Bhd.	-	80,000	-	80,000
- Sin Chee Heng Sdn. Bhd.	22,600	-	22,600	-
Significant related parties balances as at reporting date:				
<u>Amounts due from</u>				
KIP REIT Management Sdn. Bhd.	-	41	-	41
KIP Property Services Sdn. Bhd.	4	32	4	32
<u>Amount due to</u>				
KIP REIT Management Sdn. Bhd.	1,327	-	1,327	-
KIP REIT Capital Sdn. Bhd.	-	-	595,501	412,638

The amounts due from related parties are mainly due to advance payment in relation to operation of investment properties.

The amount due to related parties are related to services rendered by the related company, as well as advances pertaining to MTN issuance (Note 12).

NOTES TO THE FINANCIAL STATEMENTS

27 OPERATING LEASES

Leases as lessor

The Group and the Fund lease out the investment properties (Note 6) under operating leases. Subject to full receipts and/or recoveries of all trade receivables, and assuming no existing tenancies are prematurely terminated, all expiring tenancies will be renewed at the same passing rent rates and no rental support, incentive or waiver will be given to tenants.

The future aggregate minimum rentals receivable under non-cancellable operating leases are as follows:

	Group and Fund	
	2025 RM'000	2024 RM'000
No later than 1 year	99,148	39,003
Later than 1 year but no later than 2 years	61,752	52,077
Later than 2 years but no later than 3 years	33,630	39,823
Later than 3 years but no later than 4 years	28,856	28,763
Later than 4 years but no later than 5 years	29,088	29,132
Later than 5 years	85,230	78,002

28 CAPITAL COMMITMENT

	Group and Fund	
	2025 RM'000	2024 RM'000
Significant capital expenditure commitments:		
<u><i>Investment properties</i></u>		
Contracted but not provided for and payable:		
More than one year but less than two years		
KIPMall Bangi Facelift	1,268	1,217
KIPMall Senawang	498	1,087
DPulze Shopping Centre	-	288,000
KIPMall Tampoi	787	-
KIPMall Kota Warisan	434	-
KIPMall Kota Tinggi	24	-
KIPMall Melaka Footfall	27	-
KIPMall Desa Coalfields and Kuantan	106,200	-
Three (3) Industrial Properties (Bintulu, Johor, Port Klang)	71,915	-

29 SIGNIFICANT EVENTS DURING THE YEAR

(a) Refinance MTN1 to MTN4

On 31 July 2024, KIP REIT Capital Sdn. Bhd. raised RM340.0 million MTN Issue 4 ("MTN4") in nominal value pursuant to the MTN Programme. The MTN4 of RM340.0 million was issued to refinance KIP REIT's MTN1 amounting to RM310.0 million. Out of the total RM340.0 million issuance of MTN4, RM240.0 million has been assigned a long-term final rating of AAA/Stable from RAM Rating Services Berhad. The MTN4 is expected maturity date is 5 years from the issuance date and the legal maturity date is 7 years from the issuance date. The transaction costs related to the MTN4 are amortised and charged to profit or loss over its expected tenure.

29 SIGNIFICANT EVENTS DURING THE YEAR (CONT'D)**(b) Acquisition of DPulze Shopping Centre**

On 27 May 2024 and 30 May 2024, the Manager announced that the Trustee of KIP REIT has entered into a conditional sale and purchase agreement with DPulze Ventures Sdn Bhd for the proposed acquisition of DPulze Shopping Centre for a cash purchase consideration of RM320.0 million ("Proposed Acquisition"). In conjunction with the Proposed Acquisition, the Board proposed to undertake the private placement of up to 180,000,000 new units in KIP REIT, at an issue price to be determined later to raise approximately RM172.3 million.

On 2 October 2024, the Manager announced that unitholders of KIP REIT had at the Unitholders' Meeting convened and held on 2 October 2024, approved the Proposed Acquisition on 27 May 2024 and 30 May 2024.

On 12 December 2024, the Manager announced the completion of the Proposed Acquisition with the settlement of the balance of purchase price.

(c) Completion of private placements

On 27 May 2024 and 30 May 2024, the Manager announced that the Board proposed to undertake the private placement of up to 180,000,000 new units in KIP REIT, at an issue price to be determined later to raise approximately RM172.3million in conjunction with the Proposed Acquisition.

On 2 October 2024, the Manager announced that unitholders approved the Proposed Acquisition and Proposed Private Placement of up to 180,000,000 new units as announced on 27 May 2024 and 30 May 2024.

On 15 November 2024, the Manager announced that the issue price for the Placement Units in respect of the Proposed Private Placement has been fixed at RM0.825 per Placement Unit. The issue price of RM0.825 represents a discount of RM0.0778 or approximately 8.62% to the 5-day volume weighted average market price ("VWAP") of KIP REIT Units up to and including 14 November 2024 of RM0.9028, being the market day immediately preceding the price-fixing date.

On 12 December 2024, the Manager announced that the Placement was completed following the listing and quotation of 180,000,000 Placement Units on the Main Market of Bursa Securities on 3 December 2024. The Proposed Acquisition has been completed following with the settlement.

(d) Acquisition of TF Value-Mart, Gerik, Perak

On 23 August 2024, the Manager announced that the Trustee of KIP REIT has entered into a conditional sale and purchase agreement with Bluebros Hypermarket Sdn Bhd for the proposed acquisition of TF Value-Mart for a cash purchase consideration of RM14.8 million ("TF Value-Mart Proposed Acquisition").

On 14 November 2024, the Manager announced that the Trustee of KIP REIT had completed the TF Value-Mart Proposed Acquisition in Gerik, Perak with the terms and conditions of the SPA dated 23 August 2024.

(e) Proposed acquisition of 4 Industrial Properties (Port Klang, Cheras, Bintulu, Johor)

On 29 August 2024, the Manager announced that the Trustee of KIP REIT has entered into four (4) proposed acquisitions.

For proposed acquisition 1, KIP REIT entered into a conditional sale and purchase agreement with Sin Chee Heng Sdn Bhd for the proposed acquisition of Industrial Property located in Cheras for a cash purchase consideration of RM22.6 million.

For proposed acquisition 2, KIP REIT entered into a conditional sale and purchase agreement with Teju Logistics Sdn Bhd for the proposed acquisition of Industrial Property located in Bintulu for a cash purchase consideration of RM28.7 million.

NOTES TO THE FINANCIAL STATEMENTS

29 SIGNIFICANT EVENTS DURING THE YEAR (CONT'D)

(e) Proposed acquisition of 4 Industrial Properties (Port Klang, Cheras, Bintulu, Johor) (Cont'd)

For proposed acquisition 3, KIP REIT entered into a conditional sale and purchase agreement with Channel Legion Sdn Bhd for the proposed acquisition of Industrial Property located in Port Klang for a cash purchase consideration of RM23.7 million.

For proposed acquisition 4, KIP REIT entered into a conditional sale and purchase agreement with PK Fertilizers Sdn Bhd for the proposed acquisition of Industrial Property located in Johor for a cash purchase consideration of RM23.3 million.

On 23 January 2025, the Manager announced that unitholders of KIP REIT had at the Unitholders' Meeting convened and held on 23 January 2025, approved the four (4) Proposed Acquisitions as announced on 29 August 2024.

On 27 February 2025, the Manager announced that the Trustee of KIP REIT had completed the Proposed Acquisition 1 in Cheras on 26 February 2025 with the terms and conditions of the SPA dated 29 August 2024 and 25 February 2025.

On 28 May 2025, the Manager announced that the Trustee mutually agreed to extend the conditional period of the Proposed Acquisition 3 and 4 from 28 May 2025 until 28 August 2025 to fulfil the remaining conditions precedent of the SPA dated 29 August 2024 and 25 February 2025.

On 28 July 2025, the Manager announced that the proposed acquisitions 2 and 4 had become unconditional on 25 July 2025, upon the fulfillment of conditions precedent.

(f) Proposed acquisition of 4 Retail Properties (KIPMall Desa Coalfields and KIPMall Kuantan - Lotus's Indera Mahkota, 3 units of double storey shop office and lower ground car park, a double storey commercial building)

On 9 April 2025, the Manager announced that the Trustee of KIP REIT has entered into four (4) proposed acquisitions.

For proposed acquisition 1, KIP REIT entered into a conditional sale and purchase agreement with Senz Yang Realty Sdn Bhd for the proposed acquisition of KIPMall Desa Coalfields for a cash purchase consideration of RM62 million.

For proposed acquisition 2, KIP REIT entered into a conditional sale and purchase agreement with Genuine Icon Sdn Bhd for the proposed acquisition of Retail Property (Lotus's Indera Mahkota) located in Kuantan for a cash purchase consideration of RM39 million.

For proposed acquisition 3, KIP REIT entered into a conditional sale and purchase agreement with Genuine Icon Sdn Bhd for the proposed acquisition of Retail Property (3 units of double storey shop office and lower ground car park) located in Kuantan for a cash purchase consideration of RM12 million.

For proposed acquisition 4, KIP REIT entered into a conditional sale and purchase agreement with Genuine Icon Sdn Bhd and KIP Holdings Sdn Bhd for the proposed acquisition of Retail Property (a double storey commercial building) located in Kuantan for a cash purchase consideration of RM5 million.

In conjunction with the proposed acquisitions, the Board proposes to undertake the proposed private placement of up to 160,000,000 new units in KIP REIT, representing approximately 20% of the existing issued units, at an issue price to be determined later to partly fund the purchase considerations.

On 22 July 2025, the Manager announced that unitholders of KIP REIT had at the Unitholders' Meeting convened and held on 22 July 2025, approved the proposed acquisitions and proposed private placement of up to 160,000,000 new units as announced on 9 April 2025.

On 22 August 2025, the Manager announced the completion of the proposed acquisition 1 with the settlement of the balance of purchase price.

On 9 September 2025, the Manager announced that the proposed acquisitions 2 had become unconditional on 8 September 2025, upon the fulfillment of conditions precedent.

30 SUBSEQUENT EVENTS

(a) Proposed acquisition of 4 Retail Properties (KIPMall Desa Coalfields and KIPMall Kuantan - Lotus's Indera Mahkota, 3 units of double storey shop office and lower ground car park, a double storey commercial building)

On 22 July 2025, the Manager announced that unitholders of KIP REIT had at the Unitholders' Meeting convened and held on 22 July 2025, approved the proposed acquisitions and proposed private placement of up to 160,000,000 new units as announced on 9 April 2025.

(b) Completion of private placements

On 7 August 2025, the Manager announced that the issue price for the Placement Units in respect of the Proposed Private Placement has been fixed at RM0.81 per Placement Unit. The issue price of RM0.81 represents a discount of approximately 6.30% to the 5-day VWAP of KIP REIT Units up to and including 6 August 2025 of RM0.8645, being the market day immediately preceding the price-fixing date and 3.38% to the adjusted 5-day VWAP of KIP REIT Units up to and including 6 August 2025 of RM0.8383 after taking into account the income distribution of 2.018 sen per unit for the period from 1 April 2025 to 30 June 2025 and the advanced income distribution of 0.60 sen per unit for the period from 1 July 2025 to 31 July 2025.

On 22 August 2025, the Manager announced that the first tranche of the Placement was completed following the listing and quotation of 123,000,000 Placement Units on the Main Market of Bursa Securities on 22 August 2025. The proposed acquisition of KIPMall Desa Coalfields has been completed following the settlement of the purchase consideration with the proceeds of the private placement.

On 9 September 2025, the Manager announced that the proposed acquisitions of Lotus's Indera Mahkota had become unconditional on 8 September 2025, upon the fulfillment of conditions precedent.

OTHER DISCLOSURE INFORMATION

UTILISATION OF PROCEEDS FROM PRIVATE PLACEMENT

The private placement was completed on 3 December 2024 upon the subscription and listing of 180,000,000 Placement Units on the Main Market of Bursa Securities. The gross proceeds raised from the private placement amounted to RM148.50 million were fully utilised as follows: -

	Details of utilisation of proceeds			%	Timeframe for utilisation from the listing date
	Proposed RM'000	Actual RM'000	Balance RM'000		
Partial settlement of the balance purchase price of DPulze Shopping Centre	147,213	147,213	-	100.00	Immediate
Defrayment of expenses in relation to the Private Placement	1,287	1,287	-	100.00	Immediate
Total	148,500	148,500	-	100.00	

AUDIT AND NON-AUDIT FEES

The details of the fees paid/payable to the External Auditor for both audit and non-audit services rendered for the FYE 2025 are as follows: -

	Fund Level RM	Group Level RM
Audit services rendered	139,100	142,310
Audit services rendered - Statement on Risk Management and Internal Control	9,844	9,844
Non-audit services:		
- Tax Compliance	5,000	8,200
- Transfer Pricing	16,500	22,500
Total	170,444	182,854

MATERIAL CONTRACTS

(a) Acquisition of DPulze Shopping Centre

On 27 May 2024, Pacific Trustees Berhad, acting as the trustee for and on behalf of KIP REIT ("Trustee") had entered into a conditional SPA with DPulze Ventures Sdn Bhd for the proposed acquisition of DPulze Shopping Centre for a cash consideration of RM320.0 million ("Proposed Acquisition of DPulze Shopping Centre").

In conjunction with the Proposed Acquisition of DPulze Shopping Centre, the Board proposed to undertake the following: -

- (i) proposed placement of up to 180,000,000 new units in KIP REIT ("Placement Units") at an issue price to be determined later by way of bookbuilding ("Proposed Placement A"); and
- (ii) proposed placement of up to 15,000,000 Placement Units to Dato' Ong Kook Liong, a major unitholder of KIP REIT, and/or persons connected with him, pursuant to the Proposed Placement ("Proposed Placement to Dato' Ong Kook Liong").

The Proposed Acquisition of DPulze Shopping Centre and the expenses incidental to the said proposals would be funded by a combination of bank borrowings and proceeds to be raised from the Proposed Placement A.

On 30 May 2024, the Trustee had entered into a supplemental agreement to the SPA with DPulze Ventures Sdn Bhd to vary the conditions precedent of the SPA.

The Proposed Acquisition of DPulze Shopping Centre and the Proposed Placement A were approved by the unitholders at the Unitholders' Meeting held on 2 October 2024. On 15 November 2024, the issue price of the placement units in respect of the Proposed Placement A was fixed at RM0.825 per unit.

MATERIAL CONTRACTS (CONT'D)**(a) Acquisition of DPulze Shopping Centre (Cont'd)**

On 3 December 2024, the Proposed Placement A was completed following the listing of and quotation for 180,000,000 Placement Units in KIP REIT on the Main Market of Bursa Securities. On 12 December 2024, the Manager announced that the Proposed Acquisition of DPulze Shopping Centre had been completed following the settlement of balance purchase consideration in cash.

None of the Directors, major shareholders and chief executive of the Manager and/or major unitholders of KIP REIT and/or persons connected with them has any interest, direct or indirect, in the Proposed Acquisition of DPulze Shopping Centre.

Save as disclosed below, none of the Directors, major shareholders and chief executive of the Manager and/or major unitholders of KIP REIT and/or persons connected with them has any interest, direct or indirect, in the Proposed Placement A and the Proposed Placement to Dato' Ong Kook Liong: -

- (i) Dato' Ong Kook Liong is the Managing Director and major shareholder of the Manager and major unitholder of KIP REIT; and
- (ii) Ms. Ong Pui Shan, the Executive Director / CEO of the Manager and daughter of Dato' Ong Kook Liong, is a person connected with Dato' Ong Kook Liong.

As at 30 June 2025, the direct and indirect unitholdings of Dato' Ong Kook Liong and Ms. Ong Pui Shan in KIP REIT are as follows: -

Directors	Direct		Indirect	
	No. of Units	%	No. of Units	%
Dato' Ong Kook Liong	71,586,283	8.96	3,678,492 ⁽¹⁾	0.46
Ms. Ong Pui Shan	3,810,000	0.48	-	-

Note: -

⁽¹⁾ Deemed interested by virtue of his interest held through his spouse pursuant to Section 59(11)(c) of the CA 2016.

The Proposed Acquisition of DPulze Shopping Centre disclosed above should read in conjunction with KIP REIT's announcements made to Bursa Securities dated 27 May 2024, 30 May 2024, 9 September 2024, 2 October 2024, 15 November 2024, 2 December 2024 and 12 December 2024 and the circular to unitholders dated 17 September 2024.

(b) Acquisition of Four (4) Industrial Properties

On 29 August 2024, the Trustee had entered into the following agreements: -

- (i) conditional SPA with Sin Chee Heng Sdn Bhd ("SCHSB") for the proposed acquisition of the leasehold interest with an unexpired term of approximately 74 years in a single storey detached factory with a mezzanine floor and a four (4) storey office building annexed bearing postal address No. 35, Jalan CJ 1/1, Kawasan Perusahaan Cheras Jaya, 43200 Cheras, Selangor Darul Ehsan held under Title No. HS(M) 13156, Lot No. PT 23677, Tempat of Cheras Jaya, Mukim of Cheras, District of Ulu Langat, State of Selangor ("Cheras Property"), for a cash consideration of RM22.60 million ("Proposed Acquisition 1");
- (ii) conditional SPA with Teju Logistics Sdn Bhd ("TLSB") for the proposed acquisition of the leasehold interest with an unexpired term of approximately 34 years in a double storey office cum six (6) storey processing plant and ancillary building bearing postal address Lot 3122, Blk 26, Kemena Land District, Kidurong Light Industrial Estate, Jalan Tanjung Kidurong, 97000 Bintulu, Sarawak held under Title No. Lot 3122 Block 26 Kemena Land District, TRN 09-LCLS-032-026-03122, Locality of Jalan Kidurong, Division of Bintulu, State of Sarawak ("Bintulu Property"), for a cash consideration of RM28.70 million ("Proposed Acquisition 2");

OTHER DISCLOSURE INFORMATION

MATERIAL CONTRACTS (CONT'D)

(b) Acquisition of Four (4) Industrial Properties (Cont'd)

- (iii) conditional SPA with Channel Legion Sdn Bhd ("CLSB") for the proposed acquisition of the remaining lease interest with an unexpired term of approximately 25 years in two (2) single storey warehouses together with two (2) single storey office buildings annexed bearing postal address No. P823, Precinct 8, Jalan FZ1-P8, Port Klang Free Zone/KS12, 42920 Pulau Indah, Selangor Darul Ehsan forming part of Master Title No. PN 7324, Lot 67894, Mukim of Klang, District of Klang, State of Selangor ("Klang Property"), for a cash consideration of RM23.70 million ("Proposed Acquisition 3"); and
- (iv) conditional SPA with PK Fertilizers Sdn Bhd ("PKFSB") for the proposed acquisition of the remaining lease interest with an unexpired term of approximately 26 years in a single storey detached warehouse with a double storey office annexed bearing postal address Lot 117, Jalan Pukal, Kawasan Perindustrian Lembaga Pelabuhan Johor, 81700 Pasir Gudang, Johor Darul Takzim held under Title No. GRN 489953, Lot No. 66247, Mukim of Plentong, District of Johor Bahru, State of Johor ("Johor Property") for a cash consideration of RM23.30 million ("Proposed Acquisition 4").

(All "Proposed Acquisition 1", "Proposed Acquisition 2", "Proposed Acquisition 3" and "Proposed Acquisition 4" are hereby collectively referred as the "Proposed Acquisitions A".)

The Proposed Acquisitions A was approved by the unitholders at the Unitholders' Meeting held on 23 January 2025.

In conjunction with the Proposed Acquisitions A, the Trustee, on behalf of KIP REIT ("Lessor") and the lessees to the Cheras Property, Bintulu Property, Klang Property and Johor Property ("Lessees") will sign in escrow, the lease agreements whereby the Trustee shall lease these properties to the Lessees which shall commence only upon the completion of the SPA ("Proposed Leases"): -

	Lease Agreement 1	Lease Agreement 2	Lease Agreement 3	Lease Agreement 4
Property Lessee	Cheras Property SCHSB	Bintulu Property Hextar Solutions Sdn Bhd ("HSSB")	Klang Property TLSB	Johor Property PKFSB

Save as disclosed below, none of the Directors, major unitholders and chief executive of the Manager and/or major unitholders of KIP REIT and/or persons connected with them has any interest, direct or indirect, in the Proposed Acquisitions A and the Proposed Leases: -

- (i) Dato' Ong Choo Meng, being the indirect major unitholder of KIP REIT via his indirect interest through Hextar Rubber Sdn Bhd, is also the indirect major shareholder of the Manager via his indirect interest through KIP Homes Sdn Bhd and is also the major shareholder of: -
 - (a) SCHSB via his indirect interest in Hextar Industries Berhad through Hextar Holdings Sdn Bhd;
 - (b) TLSB;
 - (c) CLSB via his indirect interest in Hextar Technologies Solutions Berhad through Hextar Tech Sdn Bhd;
 - (d) PKFSB via his indirect interest in Hextar Fertilizers Group Sdn Bhd through Hextar Industries Berhad through Hextar Holdings Sdn Bhd; and
 - (e) HSSB via his indirect interest in Hextar Fertilizers Group Sdn Bhd through Hextar Industries Berhad through Hextar Holdings Sdn Bhd.
- (ii) Ms. Ong Tzu Chuen, being the Executive Director of the Manager and major unitholder of KIP REIT via her indirect interest through Hextar Rubber Sdn Bhd, is also the sister of Dato' Ong Choo Meng.
- (iii) Hextar Rubber Sdn Bhd is the direct major unitholder of KIP REIT. Dato' Ong Choo Meng and Ms. Ong Tzu Chuen hold 90% and 10% direct equity interests respectively in Hextar Rubber Sdn Bhd.

MATERIAL CONTRACTS (CONT'D)**(b) Acquisition of Four (4) Industrial Properties (Cont'd)**

As at 30 June 2025, the direct and indirect unitholdings of Hextar Rubber Sdn Bhd, Dato' Ong Choo Meng and Ms. Ong Tzu Chuen in KIP REIT are as follows: -

Unitholders	Direct		Indirect	
	No. of Units	%	No. of Units	%
Hextar Rubber Sdn Bhd	11,857,000	1.48	-	-
Dato' Ong Choo Meng	79,000,000	9.89	11,857,000 ⁽¹⁾	1.48
Ms. Ong Tzu Chuen	-	-	11,857,000 ⁽¹⁾	1.48

Note: -

⁽¹⁾ Deemed interested by virtue of his/ her interest in Hextar Rubber Sdn Bhd pursuant to Section 8 of the CA 2016.

The aforementioned Proposed Acquisitions A and Proposed Leases should be read in conjunction with KIP REIT's announcements made to Bursa Securities dated 29 August 2024, 25 February 2025, 27 February 2025 and 28 May 2025, and the circular to unitholders dated 26 December 2024. The Proposed Acquisition 1 was completed on 26 February 2025 and thereby initiating the commencement of the Lease Agreement 1 with immediate effect on the same day.

(c) Acquisition of Four (4) Retail Properties

On 9 April 2025, the Trustee had entered into the following agreements: -

- (i) conditional SPA with Senz Yang Realty Sdn Bhd ("SYRSB") for the proposed acquisition of all that piece of freehold land held under Title No. HSD 292124, PT 40872, Mukim of Ijok, District of Kuala Selangor, Selangor with a two-and-a-half (2½) storey retail centre known as KIPMall Desa Coalfields and a single storey drive thru building, from SYRSB, for a cash consideration of RM62.00 million ("Proposed Acquisition 5");
- (ii) conditional SPA with Genuine Icon Sdn Bhd ("Genuine") for the proposed acquisition of all that piece of leasehold land held under Title No. HSM 101556, PT 157750, Mukim of Kuala Kuantan, District of Kuantan, Pahang with a single storey hypermarket building known as Lotus's Indera Mahkota, from Genuine, for a cash consideration of RM39.00 million ("Proposed Acquisition 6");
- (iii) conditional SPA with Genuine for the proposed acquisition of a part of all that piece of leasehold land held under Title No. PM 29824, Lot 144748, Mukim of Kuala Kuantan, District of Kuantan, Pahang with three (3) units of double storey shop office and lower ground car park, from Genuine, for a cash consideration of RM12.00 million ("Proposed Acquisition 7"); and
- (iv) conditional SPA with Genuine and KIP Holdings Sdn Bhd ("KHSB") for the proposed acquisition of a part of all that piece of leasehold land held under Title No. PM 29824, Lot 144748, Mukim of Kuala Kuantan, District of Kuantan, Pahang with a double storey commercial building, from Genuine and KHSB, for a cash consideration of RM5.00 million ("Proposed Acquisition 8").

(All "Proposed Acquisition 5", "Proposed Acquisition 6", "Proposed Acquisition 7" and "Proposed Acquisition 8" are hereby collectively referred as the "Proposed Acquisitions B".)

In conjunction with the Proposed Acquisitions B, the Board proposed to undertake placement of up to 160,000,000 new units in KIP REIT ("Placement Units B") at an issue price to be determined later by way of bookbuilding ("Proposed Placement B").

The Proposed Acquisitions B and the Proposed Placement B were approved by the unitholders at the Unitholders' Meeting held on 22 July 2025. On 7 August 2025, the issue price of the placement units in respect of the Placement B was fixed at RM0.81 per unit.

OTHER DISCLOSURE INFORMATION

MATERIAL CONTRACTS (CONT'D)

(c) Acquisition of Four (4) Retail Properties (Cont'd)

Save as disclosed below, none of the Directors, major shareholders and chief executive of the Manager and/or major unitholders of KIP REIT and/or persons connected with them has any interest, direct or indirect, in the Proposed Acquisitions B: -

- (i) Dato' Ong Kook Liong, being the Managing Director and a major shareholder of the Manager, is also a director and a major shareholder of SYRSB, Genuine and KHSB.
- (ii) Ms. Ong Pui Shan, being the Executive Director / Chief Executive Officer of the Manager and the daughter of Dato' Ong Kook Liong, is also director of KHSB; and alternate director of SYRSB and Genuine.

As at 30 June 2025, the direct and indirect unitholdings of Dato' Ong Kook Liong and Ms. Ong Pui Shan in KIP REIT are as follows: -

Directors	Direct		Indirect	
	No. of Units	%	No. of Units	%
Dato' Ong Kook Liong	71,586,283	8.96	3,678,492 ⁽¹⁾	0.46
Ms. Ong Pui Shan	3,810,000	0.48	-	-

Note: -

⁽¹⁾ Deemed interested by virtue of his interest held through his spouse pursuant to Section 59(11)(c) of the CA 2016.

None of the directors, major shareholders and chief executive of the Manager, major unitholders of KIP REIT and/or persons connected to them have any interest, whether direct or indirect, in the Proposed Placement B.

The Proposed Acquisitions B and the Proposed Placement B disclosed above should read in conjunction with KIP REIT's announcement made to Bursa Securities dated 9 April 2025, 29 May 2025, 12 June 2025, 1 July 2025, 28 July 2025 and 7 August 2025.

RECURRENT RELATED PARTY TRANSACTIONS ("RRPT") OF REVENUE OR TRADING NATURE

During FYE 2025, there was no RRPT entered which requires unitholders' mandate.

ANALYSIS OF UNITHOLDINGS

AS AT 29 AUGUST 2025

ISSUED UNITS OF THE COMPANY

Total Number of Issued Units & Class of Units	:	921,629,900 Units
Number of Unitholders	:	15,017
Voting Rights	:	One Vote per Unit

ANALYSIS BY SIZE OF UNITHOLDINGS

Size of Unitholdings	No. of Unitholders	%	No. of Units Held	%
Less than 100	43	0.3	803	(1) -
100 - 1,000	2,397	15.9	1,431,632	0.2
1,001 - 10,000	7,174	47.8	36,270,030	3.9
10,001 - 100,000	4,593	30.6	151,689,471	16.5
100,001 to less than 5% of issued units	810	5.4	732,237,964	79.4
5% and above of issued units	-	-	-	-
Total	15,017	100.0	921,629,900	100.0

Note: -

(1) Less than 0.1%.

LIST OF SUBSTANTIAL UNITHOLDERS

Name	Direct	No. of Units %	Indirect	%
Dato' Ong Choo Meng	84,006,000	9.12	11,857,000 (1)	1.29
Dato' Ong Kook Liong	71,586,283	8.96	3,678,492 (2)	0.46

Notes:

(1) Deemed interest by virtue of his interest in Hextar Rubber Sdn Bhd pursuant to Section 8 of the Companies Act 2016.

(2) Deemed interest by virtue of interest held through his spouse pursuant to Section 59(11)(c) of the Companies Act 2016.

DIRECTORS' UNITHOLDINGS

Name	Direct	No. of Units %	Indirect	%
Dato' Dr Syed Hussain bin Syed Husman, PJN. JP	60,000	0.01	-	-
Dato' Ong Kook Liong	71,586,283	8.96	3,678,492 (1)	0.46
Ong Pui Shan	3,810,000	0.41	-	-
Ong Tzu Chuen	-	-	11,857,000 (2)	1.29
Datuk Mohamed Arsad bin Sehan	300,000	0.03	-	-
Chiam Tau Meng	-	-	-	-

Notes:

(1) Deemed interest by virtue of interest held through his spouse pursuant to Section 59(11)(c) of the Companies Act 2016.

(2) Deemed interest by virtue of her interest in Hextar Rubber Sdn Bhd pursuant to Section 8 of the Companies Act 2016.

ANALYSIS OF UNITHOLDINGS

AS AT 29 AUGUST 2025

LIST OF THIRTY LARGEST UNITHOLDERS

	Name	No. of Units Held	%
1.	Maybank Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Ong Kook Liong	42,329,600	4.59
2.	Citigroup Nominees (Tempatan) Sdn Bhd Exempt AN for AIA Bhd.	42,000,000	4.56
3.	Affin Hwang Nominees (Tempatan) Sdn. Bhd. Pledged Securities Account for Ong Choo Meng (Dato')	34,743,000	3.77
4.	Affin Hwang Nominees (Tempatan) Sdn. Bhd. Pledged Securities Account for Ong Choo Meng (Dato')	30,257,000	3.28
5.	Maybank Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Teoh Siew Chin	28,447,288	3.09
6.	DB (Malaysia) Nominee (Tempatan) Sendirian Berhad Deutsche Trustees Malaysia Berhad for Hong Leong Value Fund	22,000,000	2.39
7.	CIMSEC Nominees (Tempatan) Sdn Bhd CIMB for Dato' Ong Choo Meng (PB)	19,006,000	2.06
8.	Alliancegroup Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Ong Kook Liong (7003599)	17,900,000	1.94
9.	CIMSEC Nominees (Tempatan) Sdn Bhd CIMB for Brahm A/L Vasudevan (PB)	17,000,000	1.84
10.	Yayasan Guru Tun Hussein Onn	17,000,000	1.84
11.	Citigroup Nominees (Tempatan) Sdn Bhd Kumpulan Wang Persaraan (Diperbadankan) (Kenanga)	16,795,000	1.82
12.	Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board	15,618,300	1.69
13.	Tan Jyh Yaong	14,882,500	1.61
14.	Citigroup Nominees (Tempatan) Sdn Bhd Great Eastern Life Assurance (Malaysia) Berhad (Par 1)	13,625,600	1.48
15.	Cartaban Nominees (Asing) Sdn Bhd Exempt AN for Standard Chartered Bank (Hong Kong) Limited (HK PVB CL AC)	12,500,000	1.36
16.	Cartaban Nominees (Asing) Sdn Bhd Exempt AN for Standard Chartered Bank Singapore Branch (BJSSHKBR-CL FR)	12,500,000	1.36
17.	HLB Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Hextar Rubber Sdn. Bhd. (PJCAC)	11,857,000	1.29
18.	Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board (CIMB Prin)	11,500,025	1.25
19.	Citigroup Nominees (Tempatan) Sdn Bhd Great Eastern Life Assurance (Malaysia) Berhad (LEEF)	10,090,000	1.09
20.	Essential Family Ventures Sdn. Bhd.	9,550,000	1.04
21.	Affin Hwang Nominees (Tempatan) Sdn. Bhd. Pledged Securities Account for Ong Kook Liong	8,600,000	0.93
22.	Alliancegroup Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Teoh Siew Chin (7004885)	8,200,000	0.89
23.	Maybank Nominees (Tempatan) Sdn Bhd Etika Life Insurance Berhad (Life Par)	7,620,000	0.83
24.	Citigroup Nominees (Tempatan) Sdn Bhd Great Eastern Life Assurance (Malaysia) Berhad (LGF)	6,412,100	0.70
25.	Maybank Nominees (Tempatan) Sdn Bhd Etika Life Insurance Berhad (Life Non Par)	6,338,900	0.69
26.	Alliancegroup Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Kok Pick Tong (7004042)	5,500,000	0.60
27.	Kok Pick Tong	4,348,298	0.47
28.	HSBC Nominees (Tempatan) Sdn Bhd HSBC (M) Trustee Bhd for Principal Small Cap Opportunities Fund	3,738,100	0.41
29.	Christopher Mah Siew Houk	3,702,200	0.40
30.	Lee Guan Hong	3,620,000	0.39
	Total	457,680,911	49.66

CORPORATE DIRECTORY

MANAGER

KIP REIT Management Sdn Bhd

[Registration No. 201501044317 (1169638-M)]

REGISTERED OFFICE OF THE MANAGER

Unit 27.2, Menara 1MK
Kompleks 1 Mont Kiara
No. 1 Jalan Kiara, Mont Kiara
50480 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel : +603-6203 5828/ +603-6201 8080
Fax : +603-6203 2788
Email : slfgroup@slfch.com

PRINCIPAL PLACE OF BUSINESS OF THE MANAGER

Unit B-6, Blok B, Tingkat 6, Menara KIP
No. 1, Jalan Seri Utara 1
Sri Utara Off Jalan Ipoh
68100 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No : +603-6259 1133
Fax No : +603-6259 1212
Email : info@kipreit.com.my
Website : www.kipreit.com.my

COMPANY SECRETARY OF THE MANAGER

Foo Siew Loon

(MAICSA 7006874)

(SSM Practising Certificate No. 202008002104)

TRUSTEE

Pacific Trustees Berhad

[Registration No. 199401031319 (317001-A)]
A-11-8, 11th Floor Megan Avenue 1
No. 189, Jalan Tun Razak
Off Persiaran Hampshire
50400 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No : +603-2166 8830
Fax No : +603-2166 3830
Email : operation@pacifictrustees.com

SECURITY TRUSTEE

Malaysian Trustees Berhad

[Registration No. 197501000080 (21666-V)]
Level 11, Tower Three, RHB Centre
Jalan Tun Razak
50400 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No : +603-9280 5950
Fax No : +603-9280 5947
Email : operations.mtb@rhbgroupp.com

BOARD OF DIRECTORS

Datuk Dr Syed Hussain bin Syed Husman, PJN. JP
Chairman / Senior Independent Non-Executive Director

Dato' Ong Kook Liong
Managing Director

Ms. Ong Pui Shan
Executive Director / Chief Executive Officer

Ms. Ong Tzu Chuen
Executive Director

Datuk Mohamed Arsad bin Sehan
Independent Non-Executive Director

Mr. Chiam Tau Meng
Independent Non-Executive Director

AUDIT AND RISK MANAGEMENT COMMITTEE

Mr. Chiam Tau Meng (*Chairman*)
Datuk Mohamed Arsad bin Sehan
Datuk Dr Syed Hussain bin Syed Husman, PJN. JP

NOMINATION COMMITTEE

Datuk Mohamed Arsad bin Sehan (*Chairman*)
Datuk Dr Syed Hussain bin Syed Husman, PJN. JP
Mr. Chiam Tau Meng

REMUNERATION COMMITTEE

Mr. Chiam Tau Meng (*Chairman*)
Datuk Mohamed Arsad bin Sehan
Datuk Dr Syed Hussain bin Syed Husman, PJN. JP

INVESTMENT STEERING COMMITTEE

Dato' Ong Kook Liong (*Chairman*)
Ms. Ong Tzu Chuen (*Deputy Chairman*)
Ms. Ong Pui Shan
Mr. Sean Lim Seng Yeow
Ms. Lim Boon Boon
Mr. Northon Lee Tze Siang

REGISTRAR

Boardroom Share Registrars Sdn Bhd

[Registration No. 199601006647 (378993-D)]
11th Floor, Menara Symphony,
No. 5, Jalan Prof Khoo Kay Kim, Seksyen 13,
46200 Petaling Jaya
Selangor, Malaysia
Tel No : +603-7890 4700
Fax No : +603-7890 4670
Website : www.boardroomlimited.com
Email : bsr.helpdesk@boardroomlimited.com

CORPORATE DIRECTORY

PROPERTY MANAGER

Nawawi Tie Leung Property Consultants Sdn Bhd

[Registration No. 200201011415 (579078-V)]
Suite 34.01, Level 34, Menara Citibank
165 Jalan Ampang, 50450 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No : +603-2161 7228
Fax No : +603-2161 1633
Website : www.ntl.my

INDEPENDENT PROPERTY VALUERS

Rahim & Co International Sdn Bhd

[Registration No. 201501001265 (1126597-X)]
Level 10, Menara Perak
No. 24, Jalan Perak
50450 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No : +603-2691 9922
Fax No : +603-2691 9992
Website : https://www.rahim-co.com/

EXTERNAL AUDITOR

PricewaterhouseCoopers PLT

(LLP0014401-LCA & AF1146)
Level 10, Menara TH 1 Sentral
Jalan Rakyat, Kuala Lumpur Sentral
PO Box 10192
50706 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No : +603-2173 1188
Fax No : +603-2173 1288
Website : www.pwc.com/my/en

INTERNAL AUDITOR

Baker Tilly Monteiro Heng Governance Sdn Bhd

[Registration No. 199501022568 (351771-X)]
Baker Tilly Tower, Level 10, Tower 1, Avenue 5
Bangsar South City
59200 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No : +603-2297 1000
Fax No : +603-2282 9980
Website : www.bakertilly.my

TAX CONSULTANT

PricewaterhouseCoopers Taxation Services Sdn Bhd

[Registration No. 199801008604 (464731-M)]
Level 10, Menara TH 1 Sentral
Jalan Rakyat, Kuala Lumpur Sentral
PO Box 10192
50706 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No : +603-2173 1188
Fax No : +603-2173 1288
Website : www.pwc.com/my/en

PRINCIPAL BANKER

Maybank Investment Bank Berhad

[Registration No. 197301002412 (15938-H)]
32nd Floor, Menara Maybank
100 Jalan Tun Perak
50050 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No : +603-2059 1888
Fax No : +603-2078 4194
Website : www.maybank-ib.com

STOCK EXCHANGE LISTING

Bursa Malaysia Securities Berhad

Stock Name : KIPREIT
Stock Code : 5280

INVESTOR RELATIONS AND CORPORATE COMMUNICATIONS

Email : info@kipreit.com.my
Tel No : +603-6259 1133

Imej Jiwa Communications Sdn Bhd

[Registration No. 201201037966 (1022448-X)]
Unit 28-7, Oval Tower @ Damansara
No. 685, Jalan Damansara
60000 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No : +603-7733 7752
Website : www.imejjiwa.com

NOTICE OF NINTH ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN THAT the Ninth Annual General Meeting of the Unitholders of KIP Real Estate Investment Trust ("**KIP REIT**") will be held physically at the Main Function Room, Level 5, KIP Hotel, No. 77, Jalan Seri Utara 1, Sri Utara Off Jalan Ipoh, 68100 Kuala Lumpur on Wednesday, 29 October 2025 at 10.00 a.m., or at any adjournment thereof, to transact the following businesses:

AGENDA

ORDINARY BUSINESS

1. To lay the Audited Financial Statements of KIP REIT for the financial year ended 30 June 2025 together with the Trustee's Report to the Unitholders issued by Pacific Trustees Berhad, as trustee for KIP REIT and Statement by the Manager issued by KIP REIT Management Sdn Bhd, as the Manager for KIP REIT and the Auditors' Report thereon.

*Please refer to
Explanatory Note 1*

SPECIAL BUSINESS

To consider and, if thought fit, to pass with or without any modification, the following resolution:

2. **PROPOSED AUTHORITY TO ISSUE AND ALLOT NEW UNITS PURSUANT TO PARAGRAPH 6.59 OF THE MAIN MARKET LISTING REQUIREMENTS OF BURSA MALAYSIA SECURITIES BERHAD ("PROPOSED AUTHORITY")**

*Ordinary
Resolution*

"THAT pursuant to the Main Market Listing Requirements of Bursa Malaysia Securities Berhad and the approval of the relevant regulatory authorities, where such approval is required, authority be and is hereby given to the Directors of KIP REIT Management Sdn. Bhd. ("**the Manager**") to issue and allot new units in KIP REIT ("**New Units**") from time to time to such persons and for such purposes as the Directors of the Manager may in their absolute discretion deem fit and in the best interest of KIP REIT, provided that the aggregate number of New Units to be issued and allotted pursuant to this resolution, when aggregated with the number of units in KIP REIT issued during the preceding 12 months, must not exceed 20% of the approved fund size of KIP REIT;

THAT the Proposed Authority shall be effective and continue to be in force from the date of receipt of all relevant authorities' approval or the date the Unitholders pass this resolution, whichever may be the later, until:

- (a) the conclusion of the next annual general meeting ("**AGM**") of the Unitholders, at which time it shall lapse, unless by a resolution passed at the meeting, the authority is renewed; or
- (b) the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
- (c) the Proposed Authority is revoked or varied by the Unitholders in a Unitholders' meeting;

whichever occurs first ("**Validity Period**");

THAT the New Units to be issued pursuant to the Proposed Authority shall, upon issuance and allotment, rank pari passu in all respects with the existing Units except that the New Units will not be entitled to any distributable income, right, benefit, entitlement and/or any other distributions that may be declared before the date of issuance and allotment of such New Units;

NOTICE OF NINTH ANNUAL GENERAL MEETING

THAT authority be and is hereby given to the Directors of the Manager and Pacific Trustees Berhad ("Trustee"), acting for and on behalf of KIP REIT, to give effect to the aforesaid Proposed Authority with full powers to assent to any conditions, variations, modifications and/or amendments in any manner as the Manager and the Trustee may deem fit and in the best interest of KIP REIT and/or as may be imposed by the relevant authorities, and to deal with all matters relating thereto;

AND THAT authority be and is hereby given to the Directors of the Manager and the Trustee, acting for and on behalf of KIP REIT, to take all such steps and do all acts, deeds and things in any manner (including the execution of such documents as may be required) as they may deem necessary or expedient to implement, finalise, complete and give full effect to the Proposed Authority."

By Order of the Board of

KIP REIT Management Sdn. Bhd.

Registration No. 201501044317 (1169638-M)
(the Manager for KIP REIT)

Foo Siew Loon (MAICSA7006874)
(SSM Practising Certificate No. 202008002104)
Company Secretary

Kuala Lumpur
23 September 2025

Notes:

1. A unitholder who is entitled to participate in the AGM is entitled to appoint not more than 2 proxies to participate instead of him/her. A proxy need not be a unitholder. Where a unitholder appoints more than 1 proxy, the appointments shall be invalid unless he/she specifies the proportions of his/her holdings (expressed as a percentage of the whole) to be represented by each proxy.
2. Where a unitholder is a corporation, its duly authorised representative shall be entitled to participate at the AGM and shall be entitled to appoint another person (whether a unitholder or not) as its proxy to participate and vote.
3. Where a unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint not more than 2 proxies in respect of each securities account it holds with units standing to the credit of the said securities account. Where a unitholder appoints more than 1 proxy, the appointments shall be invalid unless it specifies the proportions of its holdings (expressed as a percentage of the whole) to be represented by each proxy.
4. The instrument appointing a proxy shall be in writing under the hand of the appointor or of his/her attorney duly authorised in writing or if such appointor is a corporation, either under its common seal or under the hand of an officer or attorney so authorised.
5. The form of proxy and the power of attorney or other authority (if any) under which it is signed or a notarial certified copy of such power or authority shall be deposited at the registered office of the Manager at Unit 27.2, Menara 1MK, Kompleks 1 Mont Kiara, No. 1 Jalan Kiara, Mont Kiara, 50480 Kuala Lumpur, Malaysia no later than Tuesday, 28 October 2025 at 10.00 a.m. being 24 hours before the time appointed for holding the AGM or any adjournment thereof. Alternatively, you may choose to submit the proxy appointment via electronic means through Boardroom Smart Investor Portal at <https://investor.boardroomlimited.com> before the form of proxy submission cut-off time as mentioned above.
6. Only unitholders registered in the Record of Depositors of KIP REIT as at 21 October 2025 shall be entitled to participate, vote and speak at the AGM or appoint proxy(ies) to participate and vote on his/her behalf.
7. Pursuant to Paragraph 8.29A(1) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad, all resolution(s) set out in the Notice of 9th AGM will be put to vote by way of a poll.
8. Annual Report 2025 is available on KIP REIT's website at www.kipreit.com.my which unitholders can view or download at their convenience.

Explanatory Notes:**(I) Ordinary Business**

The Audited Financial Statements laid at this meeting pursuant to clause 13.18(b) of the Guidelines on Listed Real Estate Investment Trusts ("REITs Guidelines") are meant for discussion only. The Audited Financial Statements do not require approval of the unitholders and therefore, shall not be put forward for voting.

(II) Special Business**Proposed Authority**

The Manager proposes to renew the authority to issue and allot up to 20% of the total number of Units issued in KIP REIT, to facilitate KIP REIT in raising funds via the proposed placement. The Proposed Authority, if passed, will empower the Directors of the Manager with the flexibility to issue and allot New Units at any time via the proposed placement to any such persons, upon such terms and conditions as they may, in their absolute discretion, deem fit and in the best interest of KIP REIT, provided that the aggregate number of New Units to be issued pursuant to the Proposed Authority, when aggregated with the number of Units issued during the preceding 12 months, does not exceed 20% of the total number of Units issued in KIP REIT.

With the Proposed Authority, delays and further costs involved in convening separate Unitholders' meeting to approve such issue of New Units to raise funds can be avoided. The Manager will have the flexibility to raise funds via the proposed placement for KIP REIT, as and when such need arises.

Any issuance and allotment of New Units pursuant to the Proposed Authority will be subject to the relevant approvals of Bursa Malaysia Securities Berhad and relevant regulatory authorities.

The Directors of the Manager had implemented a Proposed Placement of up to 160,000,000 units ("New Units") in KIP REIT. The New Units were issued pursuant to the mandate obtained at the Unitholders' meeting held on 22 July 2025 and listed on Bursa Malaysia Securities Berhad on 22 August 2025. KIP REIT's fund size had then increased to 921,629,900 units.

Personal Data Policy

By registering for the meeting, submitting any instrument appointing proxy(ies) and/or representative(s) or otherwise engaging with KIP REIT in any capacity as a Unitholder, the Unitholder hereby provide your explicit, informed, and irrevocable consent to the collection, processing, use, storage, transfer, and disclosure of your personal data by KIP REIT, its appointed agents, service providers, registrars, and authorised third parties.

KIP REIT processes your personal data for legitimate business purposes including the administration and management of unitholder accounts and meetings, maintenance of statutory registers and records as required by law, compliance with securities laws, listing rules, corporate regulations, tax requirements, and other applicable legislation, communication of notices, announcements, reports and other materials required or permitted under law, facilitation of attendance, voting, and participation in general meetings, fulfilment of disclosure requirements to regulatory authorities and stock exchanges, internal operations including risk management, audit, compliance monitoring, and operational efficiency, and investigation and resolution of complaints, disputes, or legal proceedings.

The processing of your personal data is predicated upon your explicit consent as provided herein, contractual necessity for the performance of KIP REIT's obligations to you as a Unitholder, legal obligations imposed by applicable laws and regulations, and the legitimate interests of KIP REIT in conducting its business operations in accordance with applicable laws and industry standards.

ADMINISTRATIVE GUIDE FOR THE 9TH ANNUAL GENERAL MEETING

Administrative Guide for the 9th Annual General Meeting of KIP Real Estate Investment Trust ("KIP REIT")

Date and Time	:	Wednesday, 29 October 2025, at 10.00 a.m. or at any adjournment thereof
Venue	:	Main Function Room, Level 5, KIP Hotel, No. 77, Jalan Seri Utara 1, Sri Utara Off Jalan Ipoh, 68100 Kuala Lumpur
Mode	:	Physical Attendance

(1) Digital Copies of Annual Report 2025

As part of our commitment to environmental sustainability by encouraging digital access to reduce paper consumption, the following documents are available on our website at www.kipreit.com.my:

- (a) Annual Report 2025
- (b) Notice of the 9th Annual General Meeting, Form of Proxy and Administrative Guide



Or you can scan the QR code to download the above documents.

You may request for a printed copy of the Annual Report by logging in to at <https://investor.boardroomlimited.com> by selecting "Request for Annual Report and Circular" under the "Investor Services", or email to info@kipreit.com.my. We will send to you by ordinary post within 7 working days from the date of receipt of your request.

(2) Entitlement to Participate the Annual General Meeting ("AGM")

In respect of deposited securities, only Unitholders whose names appear on the Record of Depositors on 21 October 2025 shall be eligible to participate the meeting or appoint proxy(ies) to participate and vote on his/her behalf.

(3) Registration

- (a) Registration will start at 8.00 a.m. and will end at the time directed by the Chairman of the Meeting.
- (b) Please present your original MYKAD or Passport [for foreigners] during registration for verification. No photocopy of MYKAD or Passport will be accepted. No person will be allowed to register on behalf of another person even with the original MYKAD or Passport of that other person. Please make sure you collect your MYKAD or Passport thereafter.
- (c) After verification and registration, you will be provided with a barcoded wristband/tag. If you are attending the AGM as a Unitholder as well as Proxy, you will be registered once and will only be given one barcoded wristband to enter the meeting hall. No person will be allowed to enter the meeting hall without wearing the barcoded wristband. The barcoded wristband must be worn throughout the AGM. There will be no replacement in the event that you lose/misplace the barcoded wristband.

(4) Lodgement of Form of Proxy

The appointment of Proxy may be made in a hardcopy form or by electronic means as follows:

In Hardcopy Form

The Hardcopy Form of Proxy shall be in writing under the hand of the appointor or of his/her attorney duly authorised in writing, or if such appointor is a corporation, either under its common seal or under the hand of an officer or attorney so authorised.

The Form of Proxy shall be deposited at the registered office of the Manager of KIP REIT at Unit 27.2, Menara 1MK, Kompleks 1 Mont Kiara, No. 1, Jalan Kiara, Mont Kiara, 50480 Kuala Lumpur, no later than Tuesday, 28 October 2025 at 10.00 a.m. being 24 hours before the time appointed for holding the Annual General Meeting or any adjournment thereof.

By Electronic Means (following the steps below)

For Individual Unitholders, Corporate Shareholders

- (a) Open an internet browser. Latest versions of Chrome, Firefox, Safari, Edge or Opera are recommended.
- (b) Log in to Boardroom Smart Investor Portal ("BSIP") website at <https://investor.boardroomlimited.com>
- (c) Login your BSIP account with your registered email address and password.
- (d) Click "**Meeting Event**" and select "**KIP REAL ESTATE INVESTMENT TRUST 9TH ANNUAL GENERAL MEETING**" from the list of companies and click "**Enter**".

By Shareholder and Corporate Holder	By Nominees Company
- Select the Company that you are representing - for Corporate Account user only. - Go to "PROXY" and click on "Submit eProxy Form". - Click on "Submit eProxy Form" - Enter your 9 digits CDS account number and number of securities held. - Select your proxy/proxies appointment – either the Chairman of the meeting or individual named proxy/proxies. - Read and accept the Terms and Conditions and click "Next". - Enter the required particulars of your proxy/proxies. - Indicate your voting instructions for each Resolution – FOR, AGAINST, ABSTAIN or DISCRETIONARY. If DISCRETIONARY is selected, your proxy/proxies will decide on your votes during poll at the meeting. - Review and confirm your proxy/proxies appointment and click "Submit". - Download or print the eProxy Form as acknowledgement.	- Select the Nominees Company that you are representing. - Go to "PROXY" and click on "Submit eProxy Form". - Click on "Download Excel Template" to download. - Insert the appointment of proxy/proxies for each CDS account with the necessary data and voting instructions in the downloaded excel file template. Ensure inserted data is correct and in order. - Proceed to upload the duly completed excel file. - Review and confirm your proxy/proxies appointment and click "Submit". - Download or print the eProxy form as acknowledgement.

Please note that the closing date and time to submit your form of proxy/proxies is by Tuesday, 28 October 2025 at 10.00 a.m.

Note: If you do not have an account with BSIP, please register with BSIP for free. For further information, kindly refer to:-

For Individual Holder:-

https://investor.boardroomlimited.com//document/tutorial/BSIP_Registration_edit%20profile.pdf

For Corporate Holder:-

https://investor.boardroomlimited.com//document/tutorial/BSIP_Corporate%20Account%20Registration.pdf

ADMINISTRATIVE GUIDE 9TH ANNUAL GENERAL MEETING

(5) Revocation of Proxy

If a Unitholder has submitted his/her form of proxy prior to the AGM and subsequently decides to appoint another person or wishes to participate in the AGM by himself/herself, please revoke the appointment of proxy/proxies at least **twenty-four (24) hours** before the AGM. Please find the below step for revocation on eProxy form or physical proxy form:-

eProxy Form	Physical Proxy Form
- Go to "Meeting Event" and select "KIP REAL ESTATE INVESTMENT TRUST 9TH ANNUAL GENERAL MEETING" from the list of companies and click "Enter". - Go to "PROXY" and click on "Submit Another eProxy Form". - Go to "Submitted eProxy Form List" and click "View" for the eProxy form. - Click "Cancel/Revoke" at the bottom of the eProxy form. - Click "Proceed" to confirm.	Please write in to bsr.helpdesk@boardroomlimited.com to revoke the appointment of proxy/proxies.

Upon revocation, proxy/proxies appointed earlier will not be allowed to participate at the AGM. In such event, Unitholders should advise their proxy/proxies accordingly.

(6) Voting At AGM

- (i) The voting at the AGM will be conducted on a poll pursuant to Paragraph 8.29A of the Main Market Listing Requirements (MMLR) of Bursa Securities Malaysia Berhad (Bursa Malaysia). KIP REIT has appointed Boardroom as the Poll Administrator to conduct the poll by way of electronic voting (e-Voting) and Sky Corporate Services Sdn. Bhd. as Independent Scrutineers to verify the poll results.
- (ii) e-Voting for all the resolutions set out in the Notice of the AGM will take place concurrently after the relevant questions in respect of these resolutions have been addressed.
- (iii) When the Chairman opens the poll, please vote at the voting kiosk using the barcoded wristband given during registration. As such, all unitholders and proxies attending the AGM are advised to maintain the barcoded wristband during registration in order to vote.
- (iv) The resolutions proposed at the AGM and the results of the voting will be announced at the AGM and subsequently via an announcement made by the KIP REIT through Bursa Malaysia at www.bursamalaysia.com.

(7) Submission Of Questions For The AGM

(i) Prior to the AGM

Members and proxies may submit questions before the AGM to the Chairman or the Board of Directors via BSIP at <https://investor.boardroomlimited.com> using the same user ID and password provided by Boardroom no later than Friday, 24 October 2025 at 5.30 p.m. Click **"Submit Question"** after selecting **"KIP REAL ESTATE INVESTMENT TRUST 9TH ANNUAL GENERAL MEETING"** from **"Meeting Event"** to submit your questions.

Alternatively, you may also send your questions for the AGM to ir@kipreit.com.my prior to the meeting.

(ii) During the AGM

Verified Unitholder(s), proxy(ies) and corporate representative(s) will be able to ask questions in person at the meeting venue. The Chairman or the Board of Directors will endeavour to address all questions received in relation to the AGM.

(8) Complimentary Parking

Parking is available at KIP Hotel on a first-come, first-served basis. Please validate your parking ticket at the lobby counters.

(9) No Distribution of Door Gifts

There will be no distribution of door gift to Unitholders/proxies who join or participate in the AGM.

(10) Meal Voucher

Unitholders/proxies with valid barcoded wristband may collect meal voucher during registration. Please note that only one (1) meal voucher will be issued per unitholder/proxy.

(11) Enquiry

For enquiries and administrative details relating to the meeting, please contact Boardroom during office hours from Monday to Friday (8.30 a.m. to 5.30 p.m.), the details of which are as follows:

Boardroom Share Registrars Sdn. Bhd.

Address : 11TH Floor, Menara Symphony
No. 5 Jalan Professor Khoo Kay Kim
Seksyen 13, 46200 Petaling Jaya
Selangor Darul Ehsan Malaysia

General Line : 603-7890 4700 (Helpdesk)

Fax Number : 603-7890 4670

Email : bsr.helpdesk@boardroomlimited.com

(12) Personal Data Policy

By registering for the meeting, submitting any instrument appointing proxy(ies) and/or representative(s) or otherwise engaging with KIP REIT in any capacity as a Unitholder, the Unitholder hereby provide your explicit, informed, and irrevocable consent to the collection, processing, use, storage, transfer, and disclosure of your personal data by KIP REIT, its appointed agents, service providers, registrars, and authorised third parties.

KIP REIT processes your personal data for legitimate business purposes including the administration and management of unitholder accounts and meetings, maintenance of statutory registers and records as required by law, compliance with securities laws, listing rules, corporate regulations, tax requirements, and other applicable legislation, communication of notices, announcements, reports and other materials required or permitted under law, facilitation of attendance, voting, and participation in general meetings, fulfilment of disclosure requirements to regulatory authorities and stock exchanges, internal operations including risk management, audit, compliance monitoring, and operational efficiency, and investigation and resolution of complaints, disputes, or legal proceedings.

The processing of your personal data is predicated upon your explicit consent as provided herein, contractual necessity for the performance of KIP REIT's obligations to you as a Unitholder, legal obligations imposed by applicable laws and regulations, and the legitimate interests of KIP REIT in conducting its business operations in accordance with applicable laws and industry standards.

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KIP REAL ESTATE INVESTMENT TRUST
(Established in Malaysia under the Trust Deed dated 2 November 2016 and amended and restated by the Restated Trust Deed dated 12 December 2019 and a Supplementary Trust Deed dated 29 September 2020 entered into between KIP REIT Management Sdn Bhd and Pacific Trustees Berhad)

FORM OF PROXY

No. of Units held	
CDS Account No.	

I/We (name of unitholder as per NRIC, in capital letters) NRIC No./Passport No./Company No.

Tel/Mobile No of

..... (full address) being a unitholder(s)

of KIP REAL ESTATE INVESTMENT TRUST ("KIP REIT") and entitled to vote hereby appoint:

FIRST PROXY 'A'

Full name		Proportion of unitholdings represented	
Address:	NRIC No./Passport No./ Company No.:	No. of units	%
Email address:	Tel No.:		

and/or failing *him/her

SECOND PROXY 'B'

Full name		Proportion of unitholdings represented	
Address:	NRIC No./Passport No./ Company No.:	No. of units	%
Email address:	Tel No.:		

or failing *him/her, the Chairman of the Meeting as *my/our proxy to vote for *me/us on *my/our behalf at the 9th Annual General Meeting of KIP REIT to be held physically at the Main Function Room, Level 5, KIP Hotel, No. 77, Jalan Seri Utara 1, Sri Utara Off Jalan Ipoh, 68100 Kuala Lumpur on Wednesday, 29 October 2025 at 10.00 a.m., or at any adjournment thereof.

* Strike out whichever not applicable

Resolution	For	Against
Ordinary Resolution - Proposed Authority		

Please indicate with an "X" in the space provided above on how you wish to direct your proxy(ies) to cast his/her/their votes. If you do not do so, the proxy/proxies will vote or abstain from voting at his/her/their discretion.

Dated this.....day of2025

.....
Signature of unitholder/Common Seal
(if unitholder is a corporation)

8

FOLD THIS FLAP FOR SEALING

Notes:

1. A unitholder who is entitled to participate in the AGM is entitled to appoint not more than 2 proxies to participate instead of him/her. A proxy need not be a unitholder. Where a unitholder appoints more than 1 proxy, the appointments shall be invalid unless he/she specifies the proportions of his/her holdings (expressed as a percentage of the whole) to be represented by each proxy.
2. Where a unitholder is a corporation, its duly authorised representative shall be entitled to participate at the AGM and shall be entitled to appoint another person (whether a unitholder or not) as its proxy to participate and vote.
3. Where a unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint not more than 2 proxies in respect of each securities account it holds with units standing to the credit of the said securities account. Where a unitholder appoints more than 1 proxy, the appointments shall be invalid unless it specifies the proportions of its holdings (expressed as a percentage of the whole) to be represented by each proxy.
4. The instrument appointing a proxy shall be in writing under the hand of the appointor or of his/her attorney duly authorised in writing or if such appointor is a corporation, either under its common seal or under the hand of an officer or attorney so authorised.
5. The form of proxy and the power of attorney or other authority (if any) under which it is signed or a notarial certified copy of such power or authority shall be deposited at the registered office of the Manager at Unit 27.2, Menara 1MK, Kompleks 1 Mont Kiara, No. 1 Jalan Kiara, Mont Kiara, 50480 Kuala Lumpur, Malaysia no later than Tuesday, 28 October 2025 at 10.00 a.m. being 24 hours before the time appointed for holding the AGM or any adjournment thereof. Alternatively, you may choose to submit the proxy appointment via electronic means through Boardroom Smart Investor Portal at <https://investor.boardroomlimited.com> before the form of proxy submission cut-off time as mentioned above.
6. Only unitholders registered in the Record of Depositors of KIP REIT as at 21 October 2025 shall be entitled to participate, vote and speak at the AGM or appoint proxy(ies) to participate and vote on his/her behalf.
7. Pursuant to Paragraph 8.29A(1) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad, all resolution(s) set out in the Notice of 9th AGM will be put to vote by way of a poll.
8. Annual Report 2025 is available on KIP REIT's website at www.kipreit.com.my which unitholders can view or download at their convenience.

THEN FOLD HERE

Affix
stamp

The Company Secretary
KIP REIT MANAGEMENT SDN BHD
(The Manager for KIP REAL ESTATE INVESTMENT TRUST)
Unit 27.2, Menara 1 MK, Kompleks 1 Mont Kiara
No. 1 Jalan Kiara, Mont Kiara
50480 Kuala Lumpur
Malaysia

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POWERED BY PEOPLE,
UNITED IN PURPOSE



KIP
REIT

KIP REAL ESTATE INVESTMENT TRUST

KIP REIT MANAGEMENT SDN BHD
(Registration No.201501044317 (1169638-M))
(The Manager for KIP REIT)

Unit B-6, Blok B, Tingkat 6, Menara KIP
No.1, Jalan Seri Utara 1, Sri Utara Off Jalan Ipoh, 68100 Kuala Lumpur
T +603 6259 1133 F +603 6259 1212

www.kipreit.com.my

